Jyoti CNC Auto. (JYOTICNC)

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Call: May 2024

JYOTI CNC AUTOMATION LIMITED
CIN: U29221GJ1991PLC014914
Regd. Off.: G – 506, Lodhika GIDC, Kalawad Road,
Metoda, Rajkot – 360 021.

Date: May 23, 2024

To, To,
The Department of Corporate Services, The Listing Compliance Dept.
BSE Limited, Mumbai National Stock Exchange of India Ltd, Mumbai

BSE Script Code: 544081 NSE Script Symbol: JYOTICNC

Dear Sir/ Madam,

SUB : TRANSCRIPT OF CONFERENCE CALL POST DECLARATION OF THE FINANCIAL RESULTS OF THE FOR THE QUARTER AND FINANCIAL YEAR ENDED ON MARCH 31,2023 -24.

in continuation to our letter dated May 16, 2024 and May 21, 2024 , a Conference Call was hosted with the Management of Jyoti CNC Automation Limited on May 21, 2024 for discussion on the a udited financial results for the quarter and financial year ended on March 31, 2024 with the participants.

A Transcript of the above Conference Call is enclosed herewith.

Please take the same on your records.

Thanking You,
For Jyoti CNC Automation Limited

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Maulik B Gandhi
Compliance Officer and Company Secretary
Membership No.: F8819

Encl.: Transcript as stated above.

“Jyoti CNC Automation Limited
Q4 FY‘24 Earnings Conference Call ”
May 21 , 202 4

MANAGEMENT : MR. PARAKRAM G. JADEJA – CHAIRMAN AND MANAGING DIRECTOR – JYOTI CNC AUTOMATION LIMITED
MR. KAMLESH SOLANKI – CHIEF FINANCIAL OFFICER – JYOTI CNC AUTOMATION LIMITED
MR. MAULIK GANDHI – COMPANY SECRETARY AND COMPLIANCE OFFICER – JYOTI CNC AUTOMATION LIMITED
MS. SHIVANGI LAKHANI –EXECUTIVE HEAD, STRATEGY AND CORPORATE COMMUNICATION - JYOTI CNC AUTOMATION LIMITED

MODERATOR : MR. HARSHIT PATEL – EQUIRUS SECURIT IES

Moderator: Ladies and gentlemen, good day and welcome to Jyoti CNC Automation Limited Q4 FY '24 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on y our touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Harshit Patel from Equirus Securities . Thank you and over to you, Mr. Harshit.
Harshit Patel: Hi, good afternoon everyone. Toda y we have with us Mr. Parakram G . Jadeja, Chairman and Managing Director of Jyoti CNC Automation and Ms. Shivangi Lakhani, who is Executive Head, Strategy and Corporate Communication. I would request Mr. Jadeja to give your brief opening remarks, how the fourth quarter went by and what i s your future outlook on the industry as well as on the company. Over to you, Jadeja sir
P.G. Jadeja: Good afternoon, friends. I am deeply honoured and delighted to extend a warm welcome to each one of you who have chosen to invest in Jyoti CNC. Thank you for the level of trust and confidence you have placed in us.
Your decision to join us as an investor has boosted our confidence to another level. I want to assure you that we are fully committed to maximizing a value of our shareholders. We truly understand and responsibility that comes with your investment and we p romise to deliver the best of us. With your support and backing, we are confident to achieve even greater heights in the days to come. I would like to take this opportunity to express my heartfelt gratitude to each of you for your belief in your company's potentials. Welcome to the Jyoti family.
Thank you. I will take you all with this now the company presentation. Let's say in a quarter four, the Jyoti has plopped a revenue, let's say quarter four from quarter three to quarter four is close to a 19% revenue has been jumped and EBITDA margin has g rown up by 39%. And the PAT level, we have increased close to 108% over here from quarter three to quarter four. This is truly is able to possible due to the our export has went up to 42% and our outside, let's say the Indian operation has done it at clos e to 58%.
In terms of this revenue mix, in this quarter, the aerospace and difference has contributed as close to 41% with the leading of this quarter, next to be a auto and auto components by 25%. General engineering is an 18%, d ies and mo ulds by 7% and the new upcoming industries are going to contributed by EMS, it is 3% over here. In terms of a consolidated financial performance, let's say year-on-year. So year-on-year, our revenue from the operations has jumped from 929 to 1338, so close to 44%.
And in terms of EBITDA percentage has grown up, let's say, is reached from 8.3% to 22.5%. And I'm very happy and delighted to tell you that this year is completely turn around year. And we are now walking to a profitability path. It's the last year we were having a close to INR5 crores of losses, no w this year our PAT has reached to close to INR151 crores there.

And this is all due to this, even though we have a very robust order book, we have seen over here, and in this in this quarter, we have booked close to a INR635 crores of a new orders out of that close to a 21% a new orders has come from the aerospace and defence and 29% we have received from the general engineering that that this quarter order book after the dispatch, the closing order book has reached to a INR3,438 crores of a total order book over here for the opening of this year.
And out of that close to 51% and that 50% 51% is close to let's say, a INR1,761 cro

res of order
book, we have a very strong order book towards to aerospace and defence 526 in auto and auto components 253 is on from the EMS and 522. So this total together is close to 3438 with this opening order book, we are entering in this financial year '25. I would like to tell you something more, let's say, in terms of a company over here in a company profile, let's say, we are having a mission of propelling technology and prospering life.
Meaning of that we are going to be let's say these are the main drivers for us to what is the life, comfort to human life through the technology, happiness for the all the stakeholder, innovation at the core, economical and cultural contributions, patroniz ing technological education, and most preferred organization to work. This is our total mission path to be there. And this in this journey, I would like to brief you because many, many people have been joined new here.

It's a Jyoti has been inception has started in 1989. And we have a now a subsidiary companies in France, Germany, Canada and Turkey implant has and capabilities as let's say close to a 2253,822 square meter. And we have a completely a vertical integrated m anufacturing facility to plant at Rajkot and one plant in Strasbourg, France. We have more than 200 product variants and more than 130,000 machines is on a field today. In this journey, we have a many milestone has been received, let's say by 2007. The fi rst time we have acquired this Huron Graffenstaden , 2008, we have inaugurated our own R&D centers.
2016, we have made a 5-axis machine, the multitasking development with this government of India and IIT Chennai together. And then this journey 2017, we have developed a very special industry 4.0 tool called as a 7th sense and many AI based application we did in 2019. And we realized that in 2022 is a coming for the more and more EV vehicles, so many of a product we have developed on for the electric vehicle over there.
And this year, let's say 2024 as a remarkable year for the Jyoti that and we have a consolidated order book is close to more than INR3,400 crores and company is listed on a 16th January in 2024. We have a very completely a nice, let's say about our team. We are three Directors and three other our Independent Directors are Mr. Vijay Paranj ape is from the ex -Siemens board member. Mr. Yogesh Kat hrecha was an IITian and Ms. Jignasa is basically is an academician and the financial person from Mr. D holakia . Thes e are our board member apart from my two brother over here. And we have a very solid and long, let's say, management team, those who have started this career with me and to working with me.
The Kamlesh is our CFO and the Gandhi, Vijay, Hitesh and these all are the team members are working with the Jyoti since last 20 years with us now here. We are, let's say, a completely

vertically integrated manufacturing facility. We have our own foundry. We have our own machining shop. We have our own sheet metal shop. We are integrated with the paint shop. We have a world -class assembly, sub -assembly and manufacturing at same assembly facilities are having in France. Our key strength into R&D capability is there. In R&D, we have more than 140 employees or designers. Those are dedicated to do day -in, day -out to develop a new product over here. In this last 20, 25 years of journey, we have developed more than 200 plus product variants and across 44 product vertical over there.
In terms of a capacity, let's say this plant has constructed a phase manner. In a phase one, last year in my last speech, I already talked to all the people that we have a 4,400 machine capacity. That is now in an enhancement stage. It is going to be , the construction has already started. One assembly building is ready, already come to a production from this month. Another, the facilities

are on the way. End of this second quarter, the complete plant facility will reach to 6,000 machines per annum over here with all the model mix over here.
Even in Huron, we are extending our new assembly. This assembly also is going to be coming within a September time that whatever our order books are there to execute this order book, we need this capacity to enhance and we already started this activity and will fulfil our activity to be before this second quarter to be there.
I would like to tell you something more about our technological backbone as Huron. Huron is an, let's say, is a technological -- is a strategic location, is a part of central of Europe. Europe is still, is close to a 25 % to 30 % of a global machine to conceptions are there and all world key manufacturers are located to be there. All the technology, you can say the Mecca and Medina on the world machine tools are central part of Europe and Huron has been there , and since Huron has completed more than 190 -plus years over here.
We have a very well market reach into Europe. We have a very good product basket on a five axis machine to broaden to the aerospace and defence to be there and Huron is carrying a lot of our brand values and the great customer base has been given to us over there , and we have a nice technology access about from the European area to be there.
In terms of India and our sales and distribution, I would like to tell you a small brief about that. We have a 29 sales and service centers across the 12 states in India. We have two distributor dealer s in India and around 11 distributor dealer s outside India to be there . And across this globe there we have a presence and now in the next coming years, we are looking to be entering that is in our growth plot. We are looking to be entered into U .S. zone to be more to be there.
In terms of an end user industry segment, we are largely been served by the defence , aerospace, electronics, automobile, railways. Railway is another upcoming industr y, we are working very closely to those kind of customers ; die and mold, infrastructure, oil and gas and healthcare. This is also another area that we are looking into be that and the pumps and valves, power, bearings .
And in terms of our product baskets, we are -- let's say we have divided in terms of strategically is a three areas. We called as a entry level product, second called as a mid -level machine and

third called as a high -level machine. Entry level product, we consider this machine turning and milling and turn mill.

All this category up to INR50 lakhs, we classified as an entry level product. Up to INR50 lakhs -- let's say from INR50 lakhs to INR2 crores, we have identified as a mid -level product and above INR2 crores to INR20 crores , INR25 crores, the machines were considered to be the high value machines like that. We serve one of the most let's say prestigious client base we have it in aerospace and defence .

In India, if we look at that , the HAL and ISRO are our client, and all the Tata Boeing and Tata Airbus and everybody, the new Tata electronics and everybody are our customers. In internationally, we have this Airbus, Boeing, Dassault , Safran, GE, [Turkey Satellite 0:13:43], Havik, Sikorsky. In India, we have Bharat Force, the Brahmos and Tata Advance Systems. Even one of the marquee customers, we have one of the missile manufacturing system from France called as MBDA. These are the key clients on aerospace and defence to be there. In all other area in automobile, we have this Tata Motors, Mahindra, BMW, Audi, Volkswagen and Daimler and Fiat. And in India, we have Ashok Leyland also is one of our customers over here. In other client also, we have a Bosch Rexroth , Havells , this L&T. We have more than 12,000 customers are like that.

So, if I keep the list, this list is very high basicall

y. In this journey, we have recognized of many different awards. The best brand of a metal cutting awards consecutive by a sixth time and we have our association as most, let's say, we got it the best export performance award in 2024 in the machine tools category in India. And many other kind of things like that.

If I talk about the road ahead over here, let's say this market globally is close to $80 billion and China is the number one consumer is close to 34.5 percentage. U .S. is next to the 12.7 percentage. Italy is 7.2, Germany is close to 7, Japan is 5. India has 3.3 and that's why India is fastest growing and we are looking to be a growing forward from here is close to a 20% year - on-year consumption is going to be in India also to be there.

I would like to tell you more about the structural , how Jyoti going ahead. Based on our mission, a propelling technology and prospering life , this is the nose of the aircraft and the entire structure of the aircraft. We feel it like a strong management team, a world -class manufacturing process in the system, a wide product basket, the strong R&D capabilities, the large installation base and the g lobal footprint.

And number four, the key growth engines that what we have it. The number one engine is to be automobile and general engineering. Number two is aerospace and defence . Number three, we are looking to be a very robust. This growth driver is from EMS . And fourth is let's say we are looking to be within the next two, three years another product baskets and the industries we are going to join our R&D teams are working to develop the many machines on the semiconductor industries . And the tailwind , today in India, there is a good tailwind in terms of manufacturing growth and even in the worldwide, all the defence spending globally is going to be increasing dramatically.

So with this, I would like to tell you today we have a two -- the number one growth engine is aerospace and defence . The globally aerospace and defence market size is close to $1.3 trillion and is going to grow 8.2 percentage CAGR up to 2030. And this is the numbers are from all is rapidly increasing because of the geopolitical circumstances to be there.

In EMS, everybody knows that in India, that iPhone has exported from India during FY '24 has reached all -time high by close to a $15 billion and they will grow furthermore over there. So many of EMS players are coming over here and that's why our EMS business is a second growth driver to be there. In this area, we have a strong input has come from our custome rs and they are in the next three to five years, they have acquired more than 1 lakh CNC machine, particularly for the EMS sectors to be over here.

That's the total of these two growth engines we are looking. Further, this electric vehicle is going to grow in the next 7 to 8 years and we have many products to substitute to them and to support to them basically. Semiconductor is an upcoming industry for us. Already, we are developing many high precision stages to support to that industries and very near future, we will update you more insights over here to all of you are here.

And in terms of our next action plan, right now, we are working more and more towards to a

people development because today, the way the growth we are anticipating and the way we have order book are with us and that all we are committed to deliver within a 1.5 year. So we need the people and people is a backbone for the entire, the skill of the people is a very important parameter over here.
So recently, last month, we have designed and developed our center of excellence to quickly ramp up the skill of the people over here to support to our this growth to be executed very properly to be there. In terms of a product development, R&D is our key strength. In the last year, we have develope

d the three more product baskets.
One of the product baskets, we call it as a 5-axis U5 model is going to be supports to be aerospace, defence , and the oil and gas industries to be there. One more machines we have developed for a 5-axis machine for EMS industries, especially for the EMS as well as the healthcare industries. This is a large industries is going to be attract to be there. And the third product we have developed, we called as a fully automatic robotic systems on a production manufacturing over India is also is entering on a large production cycle to be there. So these machines are being fully integrated with the automation o ver here .
In terms of a market expansion, we are working closely and more rapidly to increasing our market share in Germany, France, Italy over there, as well as this year, our focus area has been started and marketing activity when we are going to participate into US exhibitions to be there, because US is the second largest market are there. China, we are fully addressed with this our Huron from the subsidiary there and we have a very good business in China. China is a number one consumer in the machine tools basica lly there.
Even I would like to tell you a little bit about more about the capacity expansion already I have briefed you that we have started way back in last quarter, and one of our assembly building is

completely finished. And the new construction is going on in our machine shop and two subassemblies over there.
Our foundry expansion is almost over now. And with this, our full capacity will be reach out from 4 ,400 machine to 6 ,000 machine by end of this second quarter to be there. That's it. And now let's say my I'm completing my presentation. If anyone has any questions, we can go through the question and answer system to be there.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good evening, sir. And congratulations on a very good quarter and a fiscal. My first question is, how do you see the new EMS orders contribution in FY '25 revenues? I see there's no EMS order inflow in FY '24?
P.G. Jadeja: Mohit, basically in FY '24, we have already having a INR260 crores worth of orders we have received. And then after we were having the first batch of machines to be supplied, and they were supposed to te sted over there. They have tested over there. The testing and everything has been first batch has been completed. And in terms of the order book, we have not put over here before the execution or let's say schedule has been not received. But we have a confirmed return orders with us another INR550 crores from the EMS. It is in line with that basically. That will fall down in the next coming couple of weeks towards to us.
Mohit Kumar: And so my second question is on the defence contribution. I think we had order book of 20 billion from defence at the beginning of FY '24. I think there was a 5 billion contribution in FY '24. How do you see this defence contribution ramping up in FY25 for the fiscal?
P.G. Jadeja: So in defence , let's say this year, we are anticipating close to another based on the pipe what we have. The biggest pipe we have right now, even in India also that. Even I last call I mentioned there. And with the HAL and many people have come forward to buying a more machines and all Indian defence . We are expecting close to a close to INR1,000 crores worth of orders in the next one to two quarter over here there. And the end of the year, we are looking to be another INR1,500 crores to INR2,000 crores crores wo rth of orders and new orders we are expecting in this year from the defence and aerospace sectors to be there.
Mohit Kumar: My question was on the revenue side. How do you see the def

ence revenues going up in FY25?
P.G. Jadeja: So FY25 to the execution side w e are looking to be close to INR1,000 crores will be from the aerospace and defence that's our commitment to deliver to our customers to be there.
Mohit Kumar: My last question if you can talk about Huron’s entry into Indian defence and aerospace. What is the pr ogress? How do you see this Huron 's entry multiplying into order for you?
P. G. Jadeja: I beg your pardon, what you are asking?

Mohit Kumar: My question was on the Huron 's. I think one of the slides you mentioned that Huron is trying to make an entry into India n defence and aerospace segment ? So just trying to how does this -- can you just tell us about some co lor and the progress on the Huron 's entry?
P.G. Jadeja: Yes so all these what are the product I talked to about the Indian defence and all about the HAL, about the ISRO, as well as Tata Advanced Systems a nd now the GE is our one of the biggest customers has also has come to India over h ere. So these are all our overall client and many more engine manufacturers are sitting over here. So Uroa is going to get a better entry of this all the customers over here in Indian defence industries.
Mohit Kumar: Underst ood, sir. Thank you and all the best. Thank you.
P.G. Jadeja: Thank you. Mohit.
Moderator: Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset Managers . Please go ahead.
Kamlesh Jain: Yes. Just one question on the part of EMS. So if you see quarter on quarter our order book has dipped by roughly around 38 % to 40%. So what is the reason for that? Is one of the order got cancel led or it has been deferred by the customer? What has happened over there, sir?
P.G. Jadeja: Kamlesh Bhai tell us what you are asking. There are something I don't understand.
Kamlesh Jain: Yes. Sir last quarter if I see Q3 there was roughly around INR389 crores of order book which was from EMS a nd at the end of Q4 I see INR240 odd crores of order book based on the percentage which has been provided in the presentation. So that suggests roughly around 38% decline in your EMS order book.
P. G. Jadeja: No. O rder book has not been declined basically. W hat this order was there last time, it has been dispatched the parts goods, and net off debt today is INR253 crores . There is n othing has been delayed and nothing has been cancelled to be there. It has been delivered.
Kamlesh Jain: Because if I see order intake you have INR636 crore s and their EMS share is roughly around 2% a nd on the sales side on the order which has been [inaudible 27:16] like say for the revenue which you have reali zed in this particular quarter INR 50 crores and 3% over there. So if you do the math like INR112 odd crores of new orders and INR13 crores of sales booked. So net -net nothing incremental or like the order intake and sale value is the same while your order book has dipped to INR40 crores and which was earlier quarter 3 INR3 89 crores . So I am ref erring from your presentation only. You are referring to which slid e on a presentation.
P. G. Jadeja: You are referring to which slide on a presentation?
Kamlesh Jain: I am referring to your like on Q4, for the Q4 your order book is on slide number 7.
P.G. Jadeja: Okay, I mean, let's say in slide number 7 of today's presentation.
Kamlesh Jain: Yes a nd if I see the sixth slide of Q3 FY24 last quarter, so it was 14%. EMS was 12% which has gone down to 7%?

P.G. Jadeja: Yes, you are referring to the last quarter 3 presentation.
Kamlesh Jain: Yes quarter 3.
P. G. Jadeja: I'm just opening up that. Sir that 13% of the quarter 3 order book was only INR49 crores basically. So the total or that is what you are referring the slide INR377 crores and 13%, correct?

Kamlesh Jain: So INR3,242 crores was your order book.
P.G. Jadeja: That is the total order book ou t of that 12% of the total.
Kamlesh Jain: Was EMS which has gone down to 7% in this quarter.
P.G. Jadeja: I will make a mess and we'll come back to you Kamlesh by parallelly there. Okay, we'll take the questions to be there. Ye s, because no orders has been cancelled and everything is there.
Kamlesh Jain: Yes. Okay. And secondly, can you give us the number of machine -safe data in this quarter? How much was the machine -safe sold in this quarter?
P.G. Jadeja: Number of machines?
Kamlesh Jain: Yes. For the quarter and last quarter and for the third quarter.
P.G. Jadeja: Yes. One second, I'm parallelly here.
P.G. Jadeja: So in terms of a revenue breakup, I am giving you that first. let's say in this quarter, my entry - level product. It's the 2,200 million, let's say INR220 crores. That high -end machine is close to INR162 crores and mid -level machine is close to INR669 crores.
Kamlesh Jain: Okay. And the number of machines?
P.G. Jadeja: And the Q3, let's say Q3 entry -level product was 241 and the high -end machine was 123. So this high-end machine combination has increased from INR123 crores to INR162 crores. And entry - level, let's say in this quarter has been reduced from INR241 crores to INR220 crores to be there.

Yes. So the growth are the numbers also I'm going to give you exactly on the numbers of Q3 and Q4 to be there. Until let's say the next question, we can take it. I'll give you both the numbers.
Kamlesh Jain: Sure. And lastly, like your other expenditure, that has in fact fallen year -over-year as well as quarter -over-quarter. So like around INR29 crores vis -a-vis INR32 crores in the same quarter last year. And on last quarter, it was INR43 crores. Despite the fact that in quarter four, you had a higher revenue quarter -over-quarter. Despite that, your other expenses have fallen very sharply, both on quarter -over-quarter as well as year -over-year. So any provision right back has been there or what ha s gone into that?
P.G. Jadeja: Yes. So I'll give you a quarter -on-quarter. Let's say my employee costs on a quarter three to quarter four. Let's say in quarter three, it was INR55 crores and quarter four is close to INR56 crores. Finance cost has reduced there. And depreciation and amortization also has a little bit reduced. And other expenditure has reduced from INR43 crores to INR28 crores. See, basically,

in a quarter three, we have whatever the exhibition we have participated over there, that cost has come, it is not coming every quarter to be there.
Kamlesh Jain: So you are saying it's more related to exhibition costs?
P.G. Jadeja: Yes, more than exhibitions and marketing costs to be there. Just everything is in on a track there.
Kamlesh Jain: Just last suggestion, if you can provide, like say, how many machines was sold for a quarter? So I'm just giving yo u both in presentation as well. So that would be very helpful.
P.G. Jadeja: Yes. Thank you.
P.G. Jadeja: Thank you, Kamlesh.
Moderator: Thank you. The next question is from the line of Yash from Stallions Assets. Please go ahead.
Yash: Hi, thank you for the opportunity. Sir, I just wanted to understand, what is the expected order inflow for FY '25?
P.G. Jadeja: Order inflow, we are looking in terms of aerospace and defence alone, we are looking to be close to INR1500 crores there. Apart from that, there is an EMS we are looking to be close to INR500 crores. And rest, let's say another INR500 crores to INR700 crores. So INR2,500 to INR3,000 crores order book, we are looking to be in FY '25 to be there.
Yash: Got it. And this is obviously on top of your order execution, that will be there for INR3,400 crores over the next one, one and a half year, right?
P.G. Jadeja: Correct.

Yash: Got it. And so we've seen some volatility in your EBITDA margin. So , in Q3, Q4, we have 30% EBITDA margin. I mean, just for a couple of years going ahead, what is the steady state EBITDA margin that you expect?
P.G. Jadeja: So basically, with this combination of the business in aerospace, defence , and now with this EMS, okay, and with this volume, let's say what EBITDA today we are able to reach to close to 25 to 27 percentage is going to be sustainable. You can look at tha t.
Yash: Got it. That was it, sir. Thank you.
Moderator: Thank you. The next question is from the line of Ja gvir Singh from Shade Capital . Please go ahead.
Jagvir Singh: Yes. Thanks for the opportunity. So, sir, we have a closed order book around INR3,400 crores.
P.G. Jadeja: Correct. \
Jagvir Singh: So, in how much time it will be executed?
P.G. Jadeja: It's in one and a half year.

Jagvir Singh: Okay. So any guidance for this FY25 EBITDA margin and revenue?
P.G. Jadeja: So, you can consider, let's say, this order book has to be executed within a one and a half year time.
Jagvir Singh: Okay. And the EBITDA margin, sir?
P.G. Jadeja: EBITDA margin is a little bit we are improving from here, this level to further more. Once the execution has been increasing, EBITDA margin is a little bit improvements are going to be seen in the next coming days.
Jagvir Singh: Okay. So this is from…
P.G. Jadeja: Largely this year, we are going to execute this order book. And order book, there is a large order book on aerospace and defence . So , our EBITDA margin is going to be , seem to be , improvement in this year.
Jagvir Singh: Okay. So , given the government focus on the manufacturing in India, so how do you see the next

three, four years for the Jyoti CNC ?
P.G. Jadeja: Yes. So, basically, if you look at that, the manufacturing is growing. And the way the machine tool consumptions are required, we are looking the entire consumptions are going to be a 20 % to 25% CHR over here. So, that's the, let's say, India today is close to $3.3 billion of a consumption. And it is going to be a more than double in the next three to four years' time. And there we have a great opportunity to be there. Because out of that, still 65 % of machines are being imports .
Jagvir Singh: And sir, how do you see this supported in export?
P.G. Jadeja: And right now, in aerospace and defence industries, mainly in Europe, we are exporting. And we are looking to be more exports opportunities from that same zone to be there.
Jagvir Singh: Okay. And you are supplying to HAL and these customers, so they have a great, great order book. So , I think it will be helpful for the Jyoti CNC also in the near term ?
P.G. Jadeja: Yes, we are , in the near term, we are looking to be very great business opportunities has already created. And in Indian defence sectors, and even the government has given them a large budget to expand the capacity, even though all the Ordnance factories, now the eight companies are there, they also have come forward, d o investment over there. We already have a big pipe, we already filed the tenders and everything. Once that everything will be open, we'll have a large order book in this year. That's already talked to under my deck.
Jagvir Singh: Is there any impact of new orders due to the elections?
P.G. Jadeja: No, we have not seen any effect to be there, because there's all the defence , aerospace, and there's all EMS customers, these are the all outside customers, they are not looking to be just election and kind of things like that. It's a, it's just a daily , our life to be there.

Jagvir Singh: Okay, thank you very much, sir.
P.G. Jadeja: Thank you.
Moderator: Thank you. The next question is from the line of Pritesh Shah from Lucky Investments . Please go ahead.
Pritesh Shah: Yes. Hello, sir. This is Pritesh.
P.G. Jadeja: Yes Pritesh.
Pritesh Shah: Hello, sir. How many machines did you sell in FY 24?
P.G. Jadeja: Just I'm calculating and come back to you on complex numbers also there.
Pritesh Shah: Okay. So, this 4 ,400 machine capacity will be fully utilized?
P.G. Jadeja: No, no, the total numbers I know that I'm just going to give you third quarter. So , total is 3 ,450 machines we have produced here.
Pritesh Shah: Okay. And what is the progress on the Apple machine?
P.G. Jadeja: Pritesh, I cannot, we have a very tight contract, so I cannot leave a name. But we are, we are already having a good s hape to be there.
Pritesh Shah: Okay. And so lastly, this INR90 crores interest expense, which is there now you've done your fundraise.
P.G. Jadeja: Yes.
Pritesh Shah: So, how w ill this interest expense move?
P.G. Jadeja: So, we are expecting close to INR60 crores to INR65 crore s is going to be reduced.
Pritesh Shah: Okay.
P.G. Jadeja: We have already paid the debt. We already paid the debt.
Pritesh Shah: Okay. And what is the growth rate in the machine tool industry in FY24 in your opinion? Indian market would have grown/
P.G. Jadeja: We are just waiting the consolidated number, but it ha s cros sed more than 23 percentage there.
Pritesh Shah: Okay. Thank you very much.
Moderator: Thank you. The next question is from the line of Harshit Patel from Equirus Securities . Please go ahead.
Harshit Patel: Thank you very much for the opportunity, sir. Firstly, on the aerospace and defence , you mentioned that we would be receiving close to INR1500 crores of orders in financial year '25.

So out of that, what would be booked in Huron and how much could be the inflow from duty standalone perspective from the domestic market?
P.G. Jadeja: So out of that, let's say everything is because of all the Huron product. So it is directly or indirectly it is connected to the Huron. Let's say you can say like that . The 50% is going to be

manufactured over here and 50% has been manufactured there. So that executions are going to be like that. The order is a common pool to be there. You can say that India, we are looking to be close to INR1000 crores to be there and rest we are from other market.
Harshit Patel: Understood. What would be the order intake for Huron in the entire FY '24?
P.G. Jadeja: So that I need to calculate because I have combined over here. But it is close to in FY '24 is close to INR1200 crores to be there.
Harshit Patel: Understood. Second question is on the EMS. So could you explain what are the typical applications within EMS that we are right now catering to and going ahead in the future? What would be the incremental applications that could come into the fold? So in nutshell, how the market is going to expand for us from the applications perspective?
P.G. Jadeja: You are putting me in a little bit of trouble. Okay. So basically in EMS industries.
Harshit Patel: This is not customer specific ? In the broad prospective?
P.G. Jadeja: So broad perspective, let's say broadly, let's say mobile is one of the largest machine consumer. And those companies, those who are making the mobile on a metal bodies. Okay. So out of body, outer body is in part is to be a metal cutting completely. Plus backside glass and everything also is fully machine over there. In a mobile, there is around 66 components are required to be machining over there.
Then there is a tablet. So tablet also is required to be a fully CNC machine as well as watches. Now we're all digital. This watch is electronic watches is also a completely made from the CNC machines to be there. Even the keyboard, even the now the metal body of a laptop and all these started manufacturing over here. So this is how the opportunities are

like that.
Harshit Patel: Understood. Thank you very much for taking my questions.
Moderator: Thank you. The next question is f rom the line of Sampat Naik from Tiger Asset s. Please go ahead.
Sampat Naik: My question has been answered. Thank you.
Moderator: Thank you. The next question is from the line of Darshan Patel, an individual investor. Please go ahead.
Darshan Patel: Sir, my questions have already been answered. Thank you so much.
Moderator: Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.

Kamlesh Jain: Yes, sir. Just one question on the part of your aerospace and defence . So like largely Makino and DMG are they goes machine suppliers there. And on the cost front, like no doubt they are much costlier. But like if we see all these players, like they have a large orders from all their global like GE and all these big players. So how does it make sense or how are we actually making a sense for the customer to buy the machine from us?
And the major part is that in the case of all these big MNC, CNC manufacturers, they have the same recent value is also very strong there. So how are we pushing our products given the steep competition from the global CNC players?
P.G. Jadeja: Yes. Thank you very much for a nice question there. See, basically, I'll tell you this Makino, Morisaki, Mazat are these Japanese manufacturers. There is one company called DMG also to be there. And let's say Huron , we are in aerospace and defence because of the Huron subsidiary. And now subsequently we are making over here.
So Huron was always to be a very high precision and unique machine manufacturer. The earlier part before, let's say, three years back or four years back, Huron was always to be making a very unique application for the aerospace and defence industries. And the machine prices was always even higher than the Makino and the Mazat to be there.
And customers are ready to pay there in Europe because they are producing very precision and unique machines to be there. And that's why Huron always, let's say, very specific the product they were serving. And largely that all this kind of a high precisio n machine was not required to these customers.
So numbers was not increasing. Over a period after the Jyoti started manufacturing all this back - to-back manufacturing in India and supplying this components of assemblies and now fully machine to those customers. So we are able to compete. Earlier we were havi ng always to be 20%-25% was a higher price. Now we are able to compete them and people are ready still to pay of a Huron ’s brand and the product over there. They are able to pay us around 5 percentage higher there. And that's why we are able to incre ase our order book on the same client over there basically. Hope you can understand that.
Kamlesh Jain: Yes, but sir, in aerospace and defence , how much would be your, let's say, the machines going to the PSUs? How large is your PSU customers?
P.G. Jadeja: Let's say in aerospace and defence , we have a large customers in Europe like General Electric,

the Airbus, the MBDA. In China, we have a customer called the Avic. Okay. And globally, we have many customers. In India, we have a Tata Advanced Systems. And in all Indian PSUs, like all ordnanc e factories, the HAL and then ISRO, Bharat Dynamics, those are our customers are here.
Kamlesh Jain: Thank you.
Moderator: The next question is from the line of Depesh Kashyap from Invesco Mutual Fund. Please go ahead.

Depesh Kashyap: Yes, hi, Jadeja sir. Thank you for taking the question.
P.G. Jadeja: Hi, D epesh, how are you?
Depesh Kashyap: Very good. So, sorry, I joined late. So, sorry for the repetition. But just want to understand the muted top -line growth i

n the Indian entity, the standalone. Is it just a timing issue or something is there? If you can just highlight that.
P.G. Jadeja: What do you ask?
Depesh Kashyap: I'm saying in the Q4, in the standalone entity, that is an Indian entity, the top -line growth was not there, right? It's actually a decline. So, was it just a timing issue that the delay in the batch of machines or how to look at it?
P.G. Jadeja: No, so basically, that, De pesh, we were always talking to be on the larger machines, capacity constraint was there. Okay, that's why our assembly we have started. And because of this large high-end machine, we have executed because of the force of the customers was there.
And the assembly was a bottleneck over there. So, there are a number of machines and the top -line has been not increased over here. But the margin we could able to do a better because of this high -end machine has been executed on a Q4 to be there. And that is been now over here.
Our next assembly is constructed and it comes to an assembly stage over there. So, coming forward, we will not see this bottleneck to be there.
Depesh Kashyap: Secondly, sir, on taxation part, I just want to understand that I see that in your standalone entity, you are paying full tax rate, right? And in your subsidiary, there might be no tax because of the committed losses that you have. So, how in the next year, how should we look at the execution and how should we look at the tax rate that you will see on the consolidated basis?
P.G. Jadeja: So, basically, we have a tax losses, carry forward tax losses available at Huron 's level is close to INR90 crores.
Depesh Kashyap: Okay.
P.G. Jadeja: That we can and in France, there is a rules like that we have a EUR 1 million after the profit is completely tax free. And then let us say we have made a EUR 5 million as a profit. So, 1 million is there is no tax. And then after 4 million, 50% goes off. And let us say another, let us say EUR2 million , we have to pay 25% of tax. So, kind of a calculation like that. So, combinedly, we can look at tha t as close to 20% we will come.
Depesh Kashyap: In FY'25?
P.G. Jadeja: In FY '25.
Depesh Kashyap: And lastly, you gave that the new order that you expect in this year, right? So, I just want to understand how much is going to be Huron. And when you say that your HAL , ISRO and all those orders are coming, how much basically it is going to Indian entity versus Huron? Because why I ask this question is because you are increasing the employee count also in France, right?

And I just want to understand what is the new orders that are coming to support that increase that you are doing in France?
P.G. Jadeja: So, basically, this year, we are expecting of a full year, we are expecting from INR1500 crores to INR2,000 crores orders from a Huron 's side. Let us say Huron 's side means that is a 5 -axis and large machines. Machine being manufactured in Indian factory also and machine is being manufactured at France also there now . And this year, we are expecting close to a EUR 50 million to EUR 55 million execution are going to be from that. And our customers , needs are very more machines. So, more machines are going to produce in India and going to supply to them.
Depesh Kashyap: Okay. So, it will be booked as a Huron only. So, execution will be done by Huron?
P.G. Jadeja: Yes.
Depesh Kashyap: And lastly, sir, the inventory days, right? That you have done a good work, it has come down as you have been highlighting. But how much more improvement can we see as a sales ramp up, sir?

P.G. Jadeja: Yes, thank you, De pesh. So, as we have discussed earlier also, once the sales has increasing, inventory is being optimizing there. Let us say today, we are inventory days has come down from 320 to 325 to a 236 days. And we are expecting to be a 160 days to

170 days in between
in FY ’25.
Depesh Kashyap: Great, sir. Thank yo u very much, sir. All the best.
Moderator: Thank you. The next follow -up question is from the line of Yash from Stallion Assets. Please go ahead.
Yash: Thanks again for the opportunity, sir. Just one question. So, out of the INR2,500 crores to INR3,000 crores of order inflow that you are expecting in FY ’25, how much would be the execution on that? Like, how much would we be able to convert to revenue broadly?
P.G. Jadeja: Let us say this, or I can say like that, that next one and a half year with existing order book, we are going to be executed to be there.
Yash: No, so, I understand that. I am just saying that just from my understanding. So, if you get like, let us say INR1,500 crore s order of aerospace and defence, how much time does that normally take? Is it like a year or just depends on specific products?
P.G. Jadeja: It is mainly this manufacturing time is more than a year. So, it is a one and a half to two years there.
Yash: Okay. Broadly, it is one and a half to two years. Got it. Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the m anagement for closing comments. Over to you, sir.

P.G. Jadeja: Kamleshji, there was one answer was pending from my side, let us say. So, there is a 797 is close to 800 machines was been delivered in Q3. And 991 is close to, let us say, 1,000 machine has been delivered on Q4. And total number of machine has reached to 3,495 to be near. Okay. And let us say thank you very much to all of you over here. And thank you for participating into this call to every one of you here, each of you here. And hav e a wonderful year to go ahead. Thank you very much.
Moderator: Thank you. On behalf of Equiru s Securities, that concludes this conference. Than k you for joining us. And you may now disconnect your lines. Thank you.

Call: Aug 2024

JYOTI CNC AUTOMATION LIMITED
CIN: L29221GJ1991PLC014914
Regd. Off.: G – 506, Lodhika GIDC, Kalawad Road,
Metoda, Rajkot – 360 021.

Date: August 17, 2024

To, To,
The Department of Corporate Services, The Listing Compliance Dept.
BSE Limited, Mumbai National Stock Exchange of India Ltd, Mumbai

BSE Script Code: 544081 NSE Script Symbol: JYOTICNC

Dear Sir/ Madam,

SUB : TRANSCRIPT OF CONFERENCE CALL POST DECLARATION OF THE FINANCIAL RESULTS OF THE FOR THE QUARTER ENDED ON JUNE 30, 2024.

In continuation to our letter dated August 09, 2024, a Conference Call was hosted with the Management of Jyoti CNC Automation Limited on August 14, 2024 for discussion on the financial results for the quarter ended on June 30, 2024.

A Transcript of the above Conference Call is enclosed herewith.

Please take the same on your records.

Thanking You,
For Jyoti CNC Automation Limited

____

Maulik B Gandhi
Compliance Officer and Company Secretary
Membership No.: F8819

Encl.: Transcript as stated above.

“Jyoti CNC Automation Limited Q1 FY-25 Earnings Conference Call”

August 14, 2024

MANAGEMENT : MR. PARAKRAM G. JADEJA – MANAGING DIRECTOR,

JYOTI CNC AUTOMATION LIMITED.

MODERATOR : MR. HARSHIT PATEL – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Jyoti CNC Automation Limited Q1 FY25 Results Conference Call hosted by Equirus Securities.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I will now hand the conference over to Mr. Harshit Patel from Equirus Securities. Thank you and over to you, sir.
Harshit Patel: Hi, good evening, everyone. Today we have with us Mr. Parakram G. Jadeja – Managing Director of Jyoti CNC Automation. Jadeja sir if you could start by giving a brief "Overview" about how 1st Quarter FY25 went by in terms of "Orders, Order Book, Revenue" as well as "Margin". And then if you can take us through your "Outlook" for the remaining of FY25 and then we will open it up for Q&A. Over to you Jadeja sir.
Parakram G. Jadeja: Thank you, Harshit. Good evening, everyone. Thank you for joining us on our First Earning Call.
As many of you know, Jyoti CNC listed on January 16th, 2024, and we are excited to present our Financial Performance for Quarter 1 2025.
I am pleased to report a strong start of the year with significant growth across our key financial metrics.
In terms of a top line, our revenue increased substantially from Rs. 208 crores to Rs. 361 crores, representing an impressive growth of 74%. This robust performance underscores the strong demand of our machine tools and the successful execution for our strategic initiatives.
In terms of margin, at an EBITDA level, we have achieved a remarkable increase in EBITDA growth from Rs. 16.3 crore to Rs. 94.1 crore, close to a 476% improvement is there. These growth reflects over successful efforts in operational efficiency and strategic model mix adjustment.
On a PAT level, we have turned around our performance from losses of Rs. 13.6 crore to profit of Rs. 51.8 crore. These shift highlights our commitment to enhancing profitability and generating the value of our shareholders and every stakeholders there.
On average our machine price has gone up from Rs. 39 lakhs to Rs. 45 lakhs.
In terms of our Order Book, the order book, has also we had in this 1st Quarter we have received a very handsome order book up to 306 crores out of that, a close to 32% comes from the

aerospace and defense, 36% into auto and auto component, 27% is general engineering, and 5% into other than. And in terms of total order visibility, what we are seeing today is close to a, let's say Rs. 3403 crores at the 1st Quarter end, after the all the dispatches and all. With the 50% this order book is basically from the aerospace and defense and 16% is from the auto and auto component, 16% is from general engineering, 7.4% in EMS industries, 7% is dye and mold. So, we have a wonderful visibility of our order book.
In terms of margin analysis, I would like to tell you where the improvement has come from. It is a combination of a model mix. Our average price realization has increased from 39 lakhs to 45%. So, based on that, our manpower cost efficiency has improved to 4.42% and then the material margin has improved by 0.6%, and rest other expenses has been improved. So, overall efficiency has been improved, that's why this margin has ramped up from 7.9% Q1 last year to 26%.
In terms of our foreign subsidiary, like in Huron, our 1st Quarter has also been remarkable, and the EBITDA margin is at 28.6% there, and the net margin is close to 13%.
In terms of new business opportunity what we have discussed earlier and what we have discussed in the last call also in EMS business, in a last one quarter we have substantially worked on o

ur
two projects that we have already discussed. Out of that two project, one project has successfully been qualified, and right now in this quarter we were absolutely able to get the new orders, and end of the year we will do a much better execution on EMS business.
In terms of aerospace and defense, it is getting much better and this quarter we have dispatched almost Rs. 153 crore of aerospace and defense machines versus that, we have close to Rs. 97

crores as new orders have been come from similar customers and a repeat order has come from the same customers. And we have a big pipeline of orders with the same customer. So, we are looking increase in our order book situations on aerospace defense as well as in EMS.
The biggest input I would like to give you all about our capacity enhancement. Now, the biggest challenge we are going to see on a capacity enhancement further. During the last call, I have already told to everyone that we have a 4400 machines capacity, and we are expanding it up to 6000 machines and this is almost about to be completed in this quarter end. And based on that, in the next two quarters our execution will be improved furthermore.
In terms of EMS customers, our all the EMS customers are talking about their increased requirements and based on that requirement, we are talking to those customers, and we feel that we have to increase the capacity from 6000 machines to meet those requirements. And all my planning team, as well as our project teams, are working with the customers. And we are looking to put up a very specific manufacturing facility for this EMS client.

In this quarter our EMS machine execution has not been happened because their plants are still under construction, and we got this total delivery reports and everything so the demands will come in the 2nd Quarter. So, this quarter, out of this, our pending order from EMS, close to 100 crore machine will dispatch into a 2nd Quarter, and rest of the machines are going to be dispatched in the 3rd Quarter. This is how our total position is and based on another area that we already discussed last year, we are developing many new product to match our aerospace, as well as to the EMS sectors. And there is one more product we are launching to display to the customer. This is our third customer, and that qualification ground is going to be finished somewhere by October and November.
And going forward from here we are very confident to maintain the same momentum in the next couple of quarters and looking to a better future and to a great year ahead.
Harshit, I have covered in terms of the Financials and all. Now, we can answer any question that you may have.
Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: And my first question is on the India defense opportunity, of course the last we have seen a pretty large order in the last few quarters coming from Indian defense industry. Do, you think that, because the election is a slowdown, there was some kind of slowdown in these order inflow. And given the fact that we are now post-election, do you think the closer of new projects will pick up, new tenders will pick up in the balance nine months?
Parakram G. Jadeja: Thank you, Mohit. Basically the Indian defense, we have not seen any much effect on the process from our customers and in defense companies or ordinance factories, of course their budget and everything has been approved now and the tender are being floated and the final tender has been floated and we are already are into a race. And in September we need to file the tender, and they will evaluate, and most probably before December all these orders will be closed. So, we will get the orders before December in Indian defense sector and on the governm

ent side. Apart from the government, there are many private companies who are coming into a big way like TATA Aerospace and all. Similarly, many foreign companies are coming to manufacture the engines with the partnership of HAL. And there we are already in discussion with the customers. And we are very hopeful that this year will be a great year for us in terms of order booking in aerospace and defense in Indian context.
Mohit Kumar: Understood sir. And second question, is it possible to share the Huron revenues and profit during the, in the Q1 FY25?
Parakram G. Jadeja: Yes. In Huron, we made 64 crores of revenue on a Q1. And we made EBITDA level as 28.5%.

Mohit Kumar: Understood sir. And last question on the Huron of course, we have a very large order book, which we received in FY23, right. We haven’t seen any incremental order inflow in that particular entity. How do you think about the order inflow in FY25 this fiscal?
Parakram G. Jadeja: So, basically even in Q1, we have received close to 97 crores. Let's say we have dispatches like that for close to 153 crores. But we have received the orders are close to 97 crores, and we are anticipating in that entity and to combine duty together, because the customers are common. We are expecting the large order we have already discussed on the last call also with you I remember that, and that's all our intake. And we will receive the orders what we have mentioned in our earlier call.
Moderator: Thank you. The next question is from the line of Mohit Motwani from Tara Capital Partners.

Please go ahead.
Mohit Motwani: Sir one question on the order inflow. So, yesterday, on the CNBC interview, you mentioned that you are expecting more than 400 crores of order in Q2 and typically looking at a 40:60, split in H1 and H2 your implied order book, order inflow for the year could be around 1700 to 1800 crores ballpark. In the last call, you gave a guidance of 25 to 3000 crores of order inflow for FY25 with 1500 crores of order inflow, just from aerospace and defense itself. So, just want to understand, where is the disconnect here is there any slowdown or any revision in guidance that you are providing for, if you can clarify that, it would be helpful.
Parakram G. Jadeja: No anything, I will not talk to on a CNBC like that basically. There is some confusion in your understanding. We are intact and we are looking to an order book from the aerospace and defense as close to the total order book and as we told you in the last call also about the order book of 1500 crores to 2000 crores, we are on track to achieve that. No area has been slowed down.
Mohit Motwani: Okay, perfect. And in terms of your margins, can you just give a color on how the margins in your domain differ from aerospace and defense. So, I am not looking for any numbers, but if you can give a qualitative sense on how your margins in all the sectors versus defense and aerospace, how do they vary?
Parakram G. Jadeja: Yes, so basically, we have a three category of margins like that. Number one is to be a, let's say aerospace and defense and then we divide it into three sectors, entry level product, the mid-level product, and high-end machines. In entry level product where my machine value is less than 50 lakhs and material cost are close to 60% to 63%, and the margin is close to 40%. Then the mid-level machine, the margins are around 40% to 45% while in aerospace and defense, our margin are close to 55%.
Mohit Motwani: Got it. And in terms of EMS, we were expecting some order inflow which was to be booked in Q1, so we haven't seen that coming through. So, can you clarify the order inflow for EMS that we were expecting. This quarter, there was no order inflow also in the EMS, right?

Parakram G. Jadeja: So, we were not expecting this in March because w

hatever machines we have supplied in Q3
last year, it took six months for the qualification round which is over now, and we are going to start the execution from Q3 and Q4 and we are expecting some new orders in Q2, and we are expecting large orders in Q3. Because parallel to this all the customers' sites are under construction. They are preparing the new constructions and everything to be there, basically.
Mohit Motwani: Sure. And just one more from my side, so in terms of EMS one of your premium customers, smartphone manufacturer looking to expand the ecosystem wherein they are advocating for, a local manufacturing for various components. Now, definitely they are engaging with the different players. So, do you see that this can further benefit your CNC industry as a whole, and there is more scope for growth in the coming years? Any color you can give.
Parakram G. Jadeja: Yes, a very prime customers have been now in India, and they are expanding very rapidly. Everybody knows that they are growing very fast. Until today they were buying these components from China, and they were doing the assembly. Now, they are putting up a plant and more and more contract manufacturers are coming to India, and that's how this machine demands are going to go up. We are expecting that in the next seven to eight years the requirement for the machines is going to be more than 1 lakh machines in various operations by various customer.
Mohit Motwani: Okay. And in your conversation, you said that you need to put up more capacity, as per your conversation EMS customer, so are you talking about more than 6000 machine capacity or is there something I am missing?
Parakram G. Jadeja: No. The 6000 machines capacity is almost about to finish now by next month as I have mentioned in my opening remarks. We are expanding our capacity further from 6000 to maybe another 10,000 numbers. So, we are talking to our customers and all our planning team is working with them as to how components to be manufactured for automation and for the sub-assemblies. The plans are going to be ready in the next one month, and we need to install this further capacity before March.
Mohit Motwani: Before March, you want to install this additional capacity of 1000 machines.
Parakram G. Jadeja: Additional capacity above 6000. I am not able to tell you exactly the numbers, because right now we are discussing with the customers, but it will be large a number.
Mohit Motwani: Sure understood. And last one from my side is, in your other expenses there is always a lot of fluctuation quarterly, if you see other expenses. So, if you can help, what is the nature of these other expense which vary a lot, in quarterly. So, if you can just give some color on that?

Parakram G. Jadeja: So, basically, other expenses for the Quarter 1 of the last year and this year, there is only one significant difference which is the large execution was there at an international level. So, there the cost was higher basically. There is no other variable attached to that.
Moderator: Thank you. The next question is from the line of Tanay from Kotak. Please go ahead.
Tanay: So, basically, we had guided to complete our order book in the next 18 months, and our 3200-crore order book, if we complete in 18 months.
Parakram G. Jadeja: 3400.
Tanay: Yes, 3400 order book if we complete in 18 months this year, probably we would be looking at 2000 crores in revenue. So, just, how are we on track to complete that, and how is the expansion getting into place and everything? How are we working on that plan?
Parakram G. Jadeja: Yes. So, basically, you can understand that this quarter we have grown by 74% and to maintain the momentum we have to increase the capacity at the same time. So, we are on track of achieving that. This execution is always challenging but we are already prepared for that. We have added more

than 600 people over the last six months to achieve that, and we are ready to deliver similar numbers.
Moderator: Thank you. Next question is from the line of Jainam Jain from ICICI Securities. Please go ahead.
Jainam Jain: I have a couple of questions for the management. Firstly, starting with, what is the revenue and margin guidance for the FY25?
Parakram G. Jadeja: So, margin, we are absolutely confident to maintain the margins at the similar level as the momentum will be maintained and we could improve a little bit from there. And in terms of revenue numbers also, we are focusing on the same number to be delivered over the next three quarters in percentage terms.
Jainam Jain: Okay, sir. And sir, what was the CAPEX done, in Q1 FY25 and what is the CAPEX plan for the balance FY25 in terms of amount?
Parakram G. Jadeja: Right now, we are only doing bottlenecks in the plant. In Quarter 1 we did 30 crore of CAPEX, and we will do close to the CAPEX of another 20 crores to 30 crores after that this CAPEX will be over. But the next CAPEX is going to be for more than 6000 machines. That plan will be ready in the next couple of weeks, and then we will be able to update you about that.
Jainam Jain: Okay, sir. And where do you see the order book going? Order book going by the end of FY25, if you can quantify it?

Parakram G. Jadeja: So, it will be the similar number what we have done last quarter, and we will be able to keep the numbers intact because our delivery period is going to be 15 to 18 months, and no customers are ready to give more than that. So, as and when our execution improves, the order book will increase accordingly. So, whatever numbers we are going to deliver, the orders in the pipeline will be somewhat similar or a little bit.
Moderator: Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.
Kamlesh Jain: So, one question on the part of EMS, like going forward currently, it's around 7% in our order book going forward, two years down the line, or three years down the line as the approval comes in. So, how do we see the mix of EMS going forward?
Parakram G. Jadeja: EMS sector, as I have told you last time also, we will be having this 7.4% and it is going to reach 20% to 25% of a total business portfolio.
Kamlesh Jain: Okay. And when are we like that, like we used to talk about like 10,000 odd machine capacity only for dedicated for the EMS. So, when that capacity is going to come up, we are seeing a better visibility on the order coming in from EMS. So, when are we going to have that capacity coming forward, and when are we going to start the work on that new capacity?
Parakram G. Jadeja: So, right now we have reached the final stage, and the capacity expansions are going to start from this October, and we are going to finish it by March or April.
Kamlesh Jain: So, that capacity would be how much sir, 6000 incremental for EMS?
Parakram G. Jadeja: So, today we have a 6000 machines capacity. As we are in the final stages of negotiations, and right now I cannot give you an exact number. The approximate additional capacity is going to be 5000 to 10,000 machines.
Kamlesh Jain: Okay. And that is going to take one, one and a half years to get built or how the?
Parakram G. Jadeja: No, it will be a shorter period than that because next year we have to deliver the machines to the client, so we need to finish this capacity expansion within six to nine months maximum.
Kamlesh Jain: Okay. And how that utilization would be there from that new facility, like say that contact utilization would also be that fast to come in. Like, say in a year's time would we be able to go to like to say, 70%, 80% utilization level on that capacity?
Parakram G. Jadeja: That's the hope.
Moderator: Thank you. The next question is from the line of Harshit Patel from Equirus

Securities. Please
go ahead.

Harshit Patel: Sir, my first question is on our inventory levels. I believe we had done a great improvement last year in FY24 wherein we bring down the inventory days, I believe you had guided for further bring it down to close to 170 days at the end of FY25, so where are we in that journey, are we on track and what are the steps you have taken to be able to achieve that?
Parakram G. Jadeja: We are absolutely on track Harshit. As and when our capacity will increase the volume will increase in tandem. So, based on that efficiencies are coming in our inventory days. And we are very confident that we will reach 170 days this year. We are on track right now.
Harshit Patel: Perfect, sure. Sir second is on the capacity expansion that you have mentioned. I believe you were talking about expanding this capacity at the Rajkot facility. I believe we were also expanding some capacity at our Huron facility in France. So, where are we, is it on track, have we completed the expansion, any further expansion that you envisage over there?
Parakram G. Jadeja: So, Harshit, basically in France also, the assembly constructions are going in the plant. And we are absolutely on track and maybe by November or December, they will hand it over to us. And this is a large machine capacity so the assembly capacity will be enhanced in France.
Harshit Patel: Understood. And sir just a follow up to that, in terms of order intake at Huron, could you give me the number as to what was the order intake last year for the full year, FY24 for Huron, I believe overall, aerospace and defense we had done some 1100 to 1200 crore of orders last year. But out of that, how much was Huron last year, FY24 for the full year?
Parakram G. Jadeja: Basically, all the aerospace and defense order are coming from Huron only.
Harshit Patel: Okay. So, the domestic leg of order intake will kick-in in this year only in FY25?
Parakram G. Jadeja: Yes, absolutely. These are all our exports orders and coming from Huron only.
Harshit Patel: Understood. And sir just lastly to check on the domestic piece of the business, I believe both defense as well as EMS, would be our huge revenue growth drivers. But what about our bread-and-butter business, the machines that we supply to dyes and mold, general engineering automobile, what kind of environment competitive intensity you see over there? Do you think this base business of us, it could grow at 15% to 20% in the foreseeable future?
Parakram G. Jadeja: Absolutely. As I have discussed last time, in an entry level product, and particularly in auto component, general engineering, valve, pumps, the dyes, and molds in the next five to seven years we are going to see around 20% to 30% average CAGR growth and we are expecting next five to seven years, this industries will grow. Right now whatever market share we garner, we will maintain the same market share in the entry level product. We will try to increase our share on imported machine because still in India even in a general engineering and this dye and mold sector, the 65% machines are coming from Japan and Germany. So, that's the area we are going to look at and to taking more parts on to that.

Moderator: Thank you. The next question is from the line of Amit Sawant, who is an Individual Investor. Please go ahead.
Amit Sawant: Wanted to ask you one question, what are the prospects looking forward for into a semiconductor or into a new mobile manufacturer?
Parakram G. Jadeja: Thank you. We are already into machines manufacturing which are used in mobile manufacturing. In terms of semiconductors, as I have discussed in my last presentation, our design team is already working on that, and we are working very closely with one or two semiconductor manufacturers, and we want to be a global p

layer. We are designing and
developing a new product, and that is going to be ready in the next 18 to 24 months. So, we are expecting it to be a large in 26 and 27. It will be our third revenue generation, number one is aerospace and defense. The second growth we are looking to be EMS. And third, we are working for the future on EMS, and particularly in the semiconductor industry, a very high precision machines are required, and our R&D teams are already working on that.
Moderator: Thank you. Next is a follow up question from line of Mohit Motwani from Tara Capital Partners. Please go ahead.
Mohit Motwani: In terms of margins, you have maintained that you will have a 25% to 27% margin range in a sustainable basis. Now, when you spoke about how the portfolio, the order book contribution from EMS will shift from 7% to about 20% to 25% in the coming years. Do you expect the margin profile to remain similar even with this shift in the EMS contribution?
Parakram G. Jadeja: Yes, basically we are targeting the aerospace and defense and EMS combination. And with this large number of executions, we will be able to maintain similar numbers. After this, even the EMS numbers will be higher.

Mohit Motwani: Okay. And for your the incremental, 5000 machines that you spoke about, what will be the CAPEX that you will need to incur for that particular expansion?
Parakram G. Jadeja: So, it depends. Today what where we are talking in terms of a 5000 to 10,000. So, there is a big difference. We are planning to have around 200 crores to 250 crores of a CAPEX to reach 10,000.
Mohit Motwani: Okay. And this will be funded via internal accrual itself or you plan to raise any debt for that?
Parakram G. Jadeja: Most probably from the internal accruals.
Moderator: Thank you. The next question is from the line of Ishita Lodha from Svan Investments. Please go ahead.

Ishita Lodha: My question is with respect to the EMS segment, so in the 1st Quarter we couldn't see any execution. So, is it because the technical round did not require any dispatches in the 1st Quarter, or we can cater to those technical rounds only once the newer capacities come online?
Parakram G. Jadeja: So, right now, there was a different qualification round. So, we have supplied the first batch of the machine in December, and there was a trigger for a six month that is over, and all the performance and criteria were matched with that line. So, we got the execution confirmation for this quarter, as well as the next quarter also and parallel to that the factories are under construction as well. So, the order for one of the companies has already been completed dispatch of the machines is going to start from September onwards.
Moderator: Thank you. Next is a follow up question from line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.
Kamlesh Jain: Jadeja would you please provide the number of machines sold in this quarter, and you have three buckets of realization segregation for the high range and middle and entry level, correct?
Parakram G. Jadeja: So, basically, in this quarter in total we have made 788 machines. Out of that, entry level machines were 718, mid-level machines were 29, and high-end machines were 41.
Kamlesh Jain: Okay. And what were the realizations for 718, and 29, and 41?
Parakram G. Jadeja: So, in terms of entry level machines, the average realization was 20.5 lakhs. In terms of mid-level machines, it was 89.78 lakhs. And for the high-level machine, the average was 4 crore 7 lakh.
Kamlesh Jain: Okay. And lastly, sir for the current capacity, which is 6000 so for that particular capacity, our realizations would be at 45 lakh, assuming the current mix of the sectors continue to be there or industry, and for the upcoming capacity that would be entirely dedicated to the EMS segment. So, there we see a realizations of 30, 35 lakh,

is that understanding, correct?
Parakram G. Jadeja: Yes, it’s correct.
Kamlesh Jain: And the margins would be at the similar levels in percentage terms over there as well?
Parakram G. Jadeja: In entry level product A I told you that our gross margin is going to be around 37% to 40%.
Kamlesh Jain: Okay, and in the high level, say the higher bucket?
Parakram G. Jadeja: In mid-level machines, the margin is close to 40% to 45% and in high level we have a 55% margin.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Parakram G. Jadeja: So, thank you everyone for putting your trust in us and we will do our best to deliver similar numbers again in the next quarters and going forward. Thank you everyone. Thank you very much.
Moderator: On behalf of Jyoti CNC Automation at Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

JYOTI CNC AUTOMATION LIMITED
CIN: L29221GJ1991PLC014914
Regd. Off.: G – 506, Lodhika GIDC, Kalawad Road,
Metoda, Rajkot – 360 021.

Date: November 2 3, 2024

To, To,
The Department of Corporate Services, The Listing Compliance Dept.
BSE Limited, Mumbai National Stock Exchange of India Ltd, Mumbai

BSE Script Code: 544081 NSE Script Symbol: JYOTICNC

Dear Sir/ Madam,

SUB : TRANSCRIPT OF CONFERENCE CALL POST DECLARATION OF THE FINANCIAL RESULTS OF THE FOR THE QUARTER ENDED ON SEPTEMBER 30, 2024.

In continuation to our letter dated November 12, 2024 and November 14, 2024, a Conference Call was hosted with the Management of Jyoti CNC Automation Limited on November 18, 2024 for discussion on the financial results for the quarter ended on September 30, 2024 .

A Transcript of the above Conference Call is enclosed herewith.

Please take the same on your records.

Thanking You,
For Jyoti CNC Automation Limited

____
Maulik B Gandhi
Compliance Officer and Company Secretary
Membership No.: F8819

Encl.: As Stated Above.

“Jyoti CNC Automation Limited Q2 FY25 Earnings Conference Call”

November 18, 2024

MANAGEMENT : MR. PARAKRAMSINH JADEJA - MANAGING DIRECTOR,
JYOTI CNC AUTOMATION LIMITED
MODERATORS : MR. MOHIT KUMAR - ICICI SECURITIES LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to the Jyoti CNC Automation Limited Q2 FY25 Earnings Conference Call hosted by ICICI Securities Limited.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Kumar. Thank you, and over to you, sir.

Mohit Kumar: Thank you, Neha. Good evening, everyone. On behalf of ICICI Securities, I welcome you all to Jyoti CNC Q2 FY25 Earnings Call.

Today, we have with us Mr. Parakramsinh Jadeja – Managing Director of Jyoti CNC.

Without much further delay, I will now hand over the call to Jadeja, sir, for his "Opening Remarks", which will be followed by Q&A. Over to you, sir.

Parakramsinh Jadeja: Thank you, Mohit. Good evening, friends. I'm delighted to extend a warm welcome to each one of you to the earning call of Jyoti CNC for a Q2 FY24-25.

Thank you for the level of trust and confidence you have placed in us in our journey so far. We truly understand the responsibility that comes with your investment, and we promise to deliver the best of us. We shall start with company presentation and have the question-and-answer session then later.

In terms of a consolidated financial performance of Q2, in terms of revenue from the operations, from Q2 FY24, it was Rs. 302 crores as went up to a Rs. 430.7 crores almost a 43% of the growth in revenue we are able to clock over here.

In terms of EBITDA and the margin, let's say on FY24 it was 18% and is now today went up to a 25%. In terms of EBITDA numbers, it was Rs. 54 crores is now reached to Rs. 106.6 crores in Quarter 2. In terms of operational PAT, the Quarter 2 FY24, it was Rs. 16.8 crores and it is grown up to a close to 352% and is up to a Rs. 75.9 crores, close to Rs. 76 crores.

And this revenue from the operations in a business mix, if you look at that out of this Rs. 431 crore, aerospace has contributed close to 38%. Auto and auto component, our vertical has contributed to be 29%. General engineering has contributed 16%. Dyes and mold has contributed to be a 2%. EMS business has contributed 11%. And others are almost a 4% there.

And average price realization, our machines were able to clock to a Rs. 41.

37 lakhs and the number of machines what we have sold in this quarter is close to 1,041 machines to be here.

 If I summarize for the H1 numbers, so H1 numbers from FY24 to FY25 has grown up by 55% and the total FYH1 numbers has reached to Rs. 793 crores almost over here. In terms of EBITDA, H1 EBITDA last year was 14.6% and this year has reached to 25%. It's close to 170% growth has been blocked. And Rs. 200 crores of H1 EBITDA has been touched over here. In terms of a PAT, last year H1 is close to Rs. 3.4 crores. It has reached to Rs. 127 crores almost to be like that.

Each one performance in terms of our verticals, the aerospace vertical has contributed to be close to 43%. Auto and auto component has contributed to be 28%. General engineering is 17%. Dyes and mold is a 1% and EMS is a 6% there. And in terms of revenue, it's divided into two areas. Like India, we have it close to 55%. And we have exports, it is close to 45% in there.

In terms of the order intake in a Quarter 2 FY25, the orders we have seen are very nice. The order book we have received in this quarter. And in terms of numbers, it is Rs. 1,283 crores is the order intake in this quarter. Out of that, even aerospace, we have received close to 22%. Auto and auto component is close to 15%. General engineering, we have received close to 17%. Dye and mold is close to 1%. And significant movement we have seen in terms of EMS, and it has reached almost 41% over here. And others are 4%.

So, in our closing order book today, let's say opening orders was close to 3,400, some Rs. 3 crores was there. New orders has been came to 1,283, and dispatch, if remove the dispatch now. Today, the visibility of a very good future ahead and the growth forward for us is to be looked like to be Rs. 4,289 crores orders are here. In terms of an order book, total order book today, out of this close to Rs. 4,300 crores, the aerospace is contributing now is to be a 43%.

Auto and auto component is 15%. General engineering is 16%. Dye and mold is 4%. EMS has reached to 17% and others are close to 5% like that.
Now we move forward to talk a little bit more about the Jyoti. So, Jyoti is basically a first-generation business, and we are into metal cutting industries. We make the CNC machine for manufacturing the metal cutting. We are fully a vertically integrated company, and we have our own foundry. We do the machine shop. We do all the component critical manufacturing in-house over here. We have a sheet metal shop. Paint shop integrated to be there. We have our own sub-assembly and fully controlled temperature sub-assemblies are there to produce the most precision world class manufacturing facilities.
In terms of our key strength, is in R&D capabilities are there. All this, our design and development, we are able to do it. This is in our Leonardo da Vinci R&D centers. There we have a more than 140 engineers are working to designing and developing every day a new product over here. In the last two decades, we have designed and developed more than 200 plus product variants out of 44 product verticals. We have developed very specific product baskets of today's need of the hours in industry as part of the Industries 4.0. Our product is
 serving them is called as 7 Sense, is a fully integrated design and developed over here. We have many AI-based tools we have developed. We call it as a Preci Protect. And this takes care of the complete machine through the real time accident-proof machines to be there. And we have many, many solution-provided, completely application-oriented team as a part of that. So, it is always supporting to our customer.
In terms of our manufacturing capacity, let's say the last year we were having 4,400 machines. And now with this our new bottleneck and everything has been removed. We have reached

to
the September end is close to 6,000 machines. And this is fully integrated into one plant over here. And we have one facility there in France there. Similarly, we can do in a same plant, this kind of a multiple by three more-fold we can do, that much of a space are available into existing plant at Rajkot over here. Huron is basically our technology backbone. Huron, since the company is established since 1857 is located into a central Europe part place called as the Strasbourg, is in border of France and Germany and very near to the most world machine tool builder, as well as the most automobile and general engineering and the highest precision manufacturing area in a central part of Europe there. Because of that, we have a technology access. We learn a lot of things from that, to make the sophisticated 5-axis machine. And with that, our product baskets and everything on 5-axis machines and all are very large there. Mainly because of that, we are able to cater to many aerospace companies to be there basically. And because of the Huron, it's a very esteemed brand and that brand value adding as a more and more customers base are there to us for the worldwide.
We have in terms of a sales and distribution network; we have a close to 29 sales and service center across the India. We have a two distributor and dealers are there in India. And the rest of the areas are Jyothi directly is reaching to the customers there. We have a global customer base are there. We are in more than 60 countries. Until today the installation has crossed more than 130,000 plus machines, mainly in Europe and Asia. And even we have a good installation into China, Canada, USA, and Mexico.
In terms of our end user industry segments, I would like to highlight you something more like that, because the metal cutting is required to every segment of the part in manufacturing that. So, we are covering aerospace, dye & mold, automobile, electronics, railway, agriculture, infrastructure, oil & gas, healthcare, pumps & valves, power, bearing, and etc. like that. We have divided, let's say, total of our presence into entire value chain. We call it an entry-level product. There we have a complete product basket. Total we have a 200 plus product variants are there. We have a mid-range machine, and we have a high-level machine. We have divided these categories based on the value of the machine. Let's say up to 50 lakhs machines, we call it an entry-level product. In a mid-level machine, we call it up to 50 lakhs. And more than 50 lakhs to 2 crores is up to mid-range machines, and above 2 crores and all, it's called high-end machines like that. And Jyoti is in this entire product basket. In terms of our client in aerospace, we have HAL, the Tata Advanced Systems, Airbus, The Thai, the GE, the Avic, the Sikorsky, the Boeing, Safran, Rolls Royce, Bharat Forge and in terms of automobile, you have
 all the names we have. It is a Tata, Mahindra, BMW, Volvo, Mercedes, Audi, Volkswagen, Ashok Leyland, Fiat, and they are Tier-2, Tier-3, all the suppliers are there. In terms of the other clients, let's say ArcelorMittal, Azad, Harsha, Bosch, many we have more than 12,000 plus customer base are here.
Recently in the last quarter, we recognized by three different awards in terms of, one is iconic

brand of India by our Times Group, ET Economic Times has given this award and another two was into a “Best Product” and the “Display Award” in two different exhibitions in our country. The road ahead over here, see India is in terms of manufacturing, is growing on a great speed over here. And our assumptions are like that in the next 5 to 7 years in Indian manufacturing is going to grow. Today is around 14% to 15% and India is our total, our government and everybody is looking to more than 22%, in between 25%. And there the machine tools a total growth are anticipate

d more than 20% of CAGR in the next 5 to 7 years. India is consuming close to $3 billion worth of CNC machine tools in India today. Out of that close to still 60% is to be imported and there going forward is our opportunities are there.

Let's say our vision and our mission is like that, propelling technology and prospering life. And with a strong management team, world-class infrastructure, wide product basket, strong R&D capabilities, large installation base, global footprint, and the legacy and technology from Huron, we are looking to be a very robust growth in coming days. And we are divided into this, let's say four different categories. Today, category number one, we call it as automobile and general engineering. Second is called as aerospace. These two areas, we are largely been established now. And the third area we are developing, in terms of our order book, it has been receiving significantly over here. In coming days, this is going to be third vertical, it's called as EMS. In a fourth vertical, it is going to be our future. And it is a nice area that all our R&D team is working. In the next two to three years, we will see the good revenues. It is in a semiconductor equipment to be there. So, these are our four, going forward four vertical for our business segment over here. Right now, our growth engine is we are looking to the aerospace, EMS, and now electric vehicles are there. And in future, we are looking to be the semiconductor industries to be here.

In terms of strategies for the next leap, what we are looking, number one is to be a people development, number two is to be a product development, three is a market expansion, and fourth is manufacturing capacity expansion over here. In a people development, the key, the biggest challenge what we are going to see it over here because the businesses, the way our order books are there and still the big pipelines are there, the key is that we need to ramp up in our execution capabilities and all the capabilities are directly related to the people. So, we are working towards to develop our own center of excellence. There we are able to develop this kind of people very quickly over here. So that's our one of the first strategy to be there.

 Product baskets is always the new product because every day the customers are coming with the new challenges and all. So, our R&D teams are making many a product on like that. And this year we have developed three more products. We call it as a GU5, it's called as a Tachyon 4FT and TS120. These are the three categories of the product. GU5 is basically aerospace machines. New Tachyon is basically the product for the EMS and healthcare industries. And PS200, this is the third product what we have developed for the automation. And for the more and more to a large production capabilities are there, it's a twin spindle machines are there basically.

Market expansion, we are looking to be entering. Now today we are very good in terms of our presence in India, in Europe. We are now looking to the US there. Very soon we will have some tech centers, and our sales offices are going to be within one year. This is our target to be there in a market expansion into the USA there. In other areas like Thailand, Vietnam, and Indonesia, there also we are working with some of our representatives over there, and we are looking to be a more business from that area also to be there.

In terms of a manufacturing capacity, it's going to be a big requirement that the way we have today's order book as well as we have a pipeline is available with us. And just now we have completed our bottleneck and all. So, our phase one, we have reached close to a 6,000 machine as per annum capacity. And this we are extending based on this our pipeline as well as our order books like that. Additional 10,000 machine capabilities we are doing over here. And on

the same plant and on the same geography over here and that additional facilities, we are expecting to finish in this two financial year, this year and to next year.

Yes, that's it from my side. I think we will go forward on a question-and-answer session now from here.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ankur from HDFC Life Insurance. Please go ahead.

Ankur: I had a couple of questions, one on the overall industry itself. While you said it's about a $3 billion machine consumption, you said about 40% is domestic. Within this, obviously auto is a fairly large proportion and given the slowdown that is seen in the auto industry, how would you see growth rates overall or do you believe there are new segments like for us EMS of course is a fairly large and upcoming segment. So, if you could just help us, how do you see

the overall industry maybe grow in the next 1-2-3 years? Within that, which segments are the largest growth drivers? And therefore, which ones help us in that case?
Parakramsinh Jadeja: Thank you, Ankur. Basically, in terms of automobile industries, yes, is the biggest growth driver for any metal cutting industries and for us also. In our segment over here also, but right now in auto and auto area, there is a lot of transformations are happening there and people are moving from, let's say, the more and more on the EV side. And there are a lot of new
 components have been designed and developed over here. It's a completely new arena has been opened. More and more hybrid side people are moving there. And the more components are like that. So, they are require basically for our assumption like that, we are looking to be more consumption required in the next 3 to 5 years in auto area to be there. And based on this, all the government and all, people are looking to be more and more on export side. All the component manufacturing, this people are exporting more and more. And then right now in China Plus One, let's say many of companies are moving to buying the parts in auto and auto industries also to be here. So in terms of auto numbers is stagnant in terms of a conception. But in our inquiry level and our order book and our component manufacturers are still investing, and their confidence is so high. So, we are looking close to a good numbers are going to come and growth rate, we are looking to be a 20% to 25% on an auto and auto component machines also to be there in the next 3 to 5 years. Other segment, what is in India we are looking is to be a general engineering. So general engineering, because of these exports and all are increasing, and a lot of manufacturing other areas like that here. So there we are seeing a good numbers are coming there. Of course, the third area is electronic is completely a new area for all of us here, and that is to be our growth driver to be there. So, in terms of Jyoti, our strategies are like that. Where we are here, let's say we are looking to be a 15% to 20%in our auto and general engineering growth to be there. And the rest other growth we are anticipating to the two areas, one is aerospace and second is the EMS.
Ankur: I understand. And since you spoke about EMS, it seems we got a very large order in Q2, right? Almost, if I heard you right, about Rs. 500 odd crores order in Q2. If you could just talk about this order, is it the same customer, delivery timeline, what is the current order book, how much of sales this year, next year? Is there some more details, please?
Parakramsinh Jadeja: So basically, a similar customer base here. We have now many, I told you in the past also, now we have 3 to 4 projects are there and every project has given us this contribution. And even we are looking to be large number in terms of in an EMS, it still is to come and that is going to come on a next year s

till. This is just the beginning over there. And how much would be the current order book for this customer, sir? Is it possible to share? And what kind of sales are you doing?
Ankur: I have given the numbers over here. In terms of a, it's close to Rs. 700 crores now. And this will be over how much time? About two years, three years? How much would be the execution time?
Parakramsinh Jadeja: This we have to deliver in one year.
Ankur: And just one more thing sir, on our overall market share, just if you could help us, on the CNC machine side, both on turning and milling, where would be the market share overall?
 Parakramsinh Jadeja: So overall market side in terms of a, let's say there are two areas are like that. One is called as
the number of machines and value wise there. So, we are close to in terms of a domestic player, if I look at that so market share is close to 10% to 12%. And in terms of the total, let's say import and everything together, let's say our percentage is only 4% in there.
Ankur: And also on competition, sir, if you could just generally talk, I mean, is that fairly stable? Are we seeing any new entrants here? Is it still that same consolidated shared where the top 5-6 players are controlling most of the industry. If you just talk about competition for the top 2-3 players?
Parakramsinh Jadeja: All are the same. All are the same people. All are the same manufacturers. Actually, in this industry, I'm the last one that's came over here to a new company kind of thing.
Ankur: The reason I ask is because when we last spoke, you spoke about this whole import substitution happening especially on the larger machine. So, anything there which you would want to highlight? I understand on the EMS side, of course, that substitution is something.
Parakramsinh Jadeja: Definitely. This EMS numbers and these aerospace numbers, what you are seeing, it's completely is an import substitute, auto and auto component, in an entry level product, the Indian machine tools market share is close to 80% to 90% and rest are importing. So, in Jyoti, whatever the growth we are seeing is basically is in, EMS also is completely imported areas to

be there.
Moderator: Thank you. The next question is from the line of Harshit Patel from Equirus Securities Private
Limited. Please go ahead.
Harshit Patel: Sir, my first question is on aerospace and defense, we have received orders to the tune of close
to Rs. 380 crores in the first half of FY25. I remember you had guided for an order intake of
close to Rs. 1000 crores to Rs. 1500 crores for the full FY25. So do you believe we are on
track to receive that?
Parakramsinh Jadeja: Absolutely.
Harshit Patel: So, this Rs. 1000 crore orders, these are mainly Huron driven, mainly export driven or does
this include the domestic orders also that you might get from especially from private players
who are doing CAPEX in the both?
Parakramsinh Jadeja: Both are there. But 80% is going to be is from the Huron driven and mainly on exports there in
Europe area. And rest are we are looking to be in Indian defense over here. And many
customers in India have started procurement over here.

 Harshit Patel: Just a follow up to that. I believe we were doing some deep bottlenecking, some capacity
expansion at the Huron level as well. So, are those activities over? And now we are fully
geared up to deliver those machines?
Parakramsinh Jadeja: That is Huron, this new facility is going to be ready in the end of this year basically still. It still
is going on there. By the end of the year, our Huron facility is fully going to be ready.
Harshit Patel: Then what kind of revenues at the peak fixed assets turn over that facility can do when we
would have completed this expansion project over there? So, what are the peak revenues
basically we ca

n expect from Huron?
Parakramsinh Jadeja: After this expansion, in Huron we can see up to €80 million to be there.
Harshit Patel: Just my second question on the Rs. 400 crore CAPEX that you have announced, which you
will do at Rajkot, close to 10,000 machines. So which industry these machines will be aimed
at? What kind of realizations we can do? What would be our peak revenues that we can
achieve from here? These capacities will also come with the inherent backward integration that
we already have at Rajkot. So if you can give some more color on the capacity expansion, that
will be helpful sir?
Parakramsinh Jadeja: Yes, so basically we are expanding this 10,000 facility on our entry level product over here.
And let's say this EMS product is also is an entry level product. Of course, this is a fungible
kind of a thing I can do a turning milling combination over there. But largely what we are
seeing, and we have a pipeline over here in EMS and with our customers and with the
guideline what we have it. So, we have dedicated of this almost 70% to 80% over this facility
is for the, the range of the machine is close to 30 lakhs to 35 lakhs. And this is completely at
base at Rajkot. So it's an expanding facility in terms of a foundry capacity, then machining and
assembly and sub-assembly in our sheet metal facility to be there.
Harshit Patel: So. you will commission this gradually, I mean phase-wise, or this will entirely come in one
shot, let's say 1.5 to 2 years down the line. How it will be?
Parakramsinh Jadeja: Basically, it will be ready in terms of a, let's say in a first phase, it will be finished with the
first day will be finished and we can have a capacity to add in close to 5,000 and the next will
be like that. So, within two years it will be finished completely on 10,000 machine. It is not
going to be in half year like that, but utilization will start in between over there. The way we
have order book and all, so we need to ramp up our execution on next year to be there.
Moderator: Thank you. The next question is from the line of Nidhi Shah from ICICI Securities Limited.
Please go ahead.
Nidhi Shah: Hello sir, thank you for taking my questions. I have a couple of questions on the guidance that
we have mentioned in the previous call. So firstly, on the orders inflow, we mentioned that we

 would be getting orders of around Rs. 2500 crores to Rs. 3000 crores. Now given both the
quarters, we are already close to Rs. 1600 crores which is sort of higher than the upper side of
the guidance. Would you like to revise that guidance for the order inflow for the year?
Parakramsinh Jadeja: No, I don't want to revise that I want to stay there what I anticipated, and we are going to be
delivering that basically.
Nidhi Shah: So, would that indicate then that we would probably not be able to do more than about 12 to 14
more in order inflow, 1200 to 1400 more in the remaining year? Or is it that we are just being
conservative about the order inflow?
Parakramsinh Jadeja: What guideline we have given we will maintain those things. We will be there.
Nidhi Shah: Alright and also on the revenues, the previous quarter you had mentioned that you would like
to deliver similar level of growth. Now this quarter has seen a 45% increase in the topline but

it is nowhere close to the 75% that we saw the previous quarter. So again, for the full year, what numbers are we projecting in terms of revenues and PAT?
Parakramsinh Jadeja: I cannot give you that, let's say today, the forecast number to you there, okay? But you can see that assumption like that, quarter-to-quarter, you have to look at that, Jyoti, to be quarter-to-quarter of the last year there, okay? And you will see the growth on every quarter to be there.
Nidhi Shah: So can we then, again, I know you mentioned that you cannot really say anything, but can we assume somethin

g like a Rs. 2,000 crore or Rs. 2,400 crore type of numbers for the full year?
Parakramsinh Jadeja: If I say yes, then you can say you're guided like that.
Nidhi Shah: Lastly, I just had questions on the EMS. So, these EMS machines, as you mentioned, they're on the smaller side. So, does that mean that these, what is the margin profile like for these machines? Obviously now the order book is increasing for this segment. How will we see the margins play out when these EMS orders are executed? Will the margins increase or decrease?
Parakramsinh Jadeja: We have a balance on that, on a product mix there. So, we have a counter to that, let's say, even in a past call, I have given you that. I have three categories of the product line. One is entry-level product, mid-range, and high machines. So, in an entry-level product, let's say the gross margin is coming to be close to 40% there, and mid is 45, large machines as close to 55% there. So with this mix, whatever the margin we are maintaining today, I think we will maintain the same profile on coming days over here.
Moderator: Thank you. The next question is from the line of Sanidhya from Unicorn Asset Management. Please go ahead.
 Sanidhya: Sir, first question would be on this capacity extension that we are doing. So, we are saying Rs. 400 crore capacity extension in two years and we are also saying that we are going to raise internally and externally.
Parakramsinh Jadeja: Yes.
Sanidhya: I think our cash flow would be sufficient enough to fund at least more than 50% of what we are planning and while two years, right? Not able to understand. Can you explain it more?
Parakramsinh Jadeja: The two years is like that. Let's say it's two financial year physically, okay? So, the one financial year is this and next financial year is coming. So, okay, based on that, this capacity will be ready there. And internal and external both are being given because almost we are going to do with our internal accruals only. If any timing mismatch are there and if we require something to borrow that. So, we have put up over there into that. But most of these things are going to be internal accruals only. It is sufficient internal accruals to match this overgrowth to be there.
Sanidhya: That would debt, right? No equity.
Parakramsinh Jadeja: Definitely. We'll have a short timeline we may use. Most probably it has not been required. But while we are planning, we should definitely tell the truth, so we have less internal or external, but it is not raising the capital to be there.
Sanidhya: It's only because my numbers are stating you will have sufficient headroom for that. And can we assume that FY26, the entire CAPEX should be completed before the year end?
Parakramsinh Jadeja: Absolutely.
Sanidhya: And sir, why is the delay in terms of the debottlenecking that we were doing? So if I see currently you are stating for 85% of capacity utilization for this quarter. And if I do the number, I am sure we didn't use the additional 1600 machine capacity that we are doing for the debottlenecking. So, what took us so long to do that?
Parakramsinh Jadeja: No, it's the time. I say it's the construction, the installation, the equipment and the way that new capacity we are doing is fully automation style like that. So, the installation capacity time is required, basically. The execution time is required. I'm ready to do it if anyone's able to establish my plan for 15 days, I will be most happy person to do it.
Sanidhya: So, should I assume that now that we are done at 85% utilization of 6,000 machines, can we do for the next two quarters?
Parakramsinh Jadeja: You can assume like that. That's why we are adding the facility also there now.
 Sanidhya: Definitely. And last time on the TV interviews said that we would be doing more th

an Rs.
2,000 crores of revenue. But looking at the current timeline, it looks quite difficult. Secondly, on what could be the maximum push that we can do on the average realization per machine?
Parakramsinh Jadeja: So today, average realization, what we see is 41 lakhs. And in terms of our order book today, it's close to 50 lakhs. So, in the next couple of quarters, you will see the rise in the average.
Sanidhya: And even after the EMS book, because you were stating that EMS would be 35,000.

Parakramsinh Jadeja: We have a combination of that. Execution is going to be there, large order books are there, and the machines are in (Inaudible) 0:39:02. So aerospace machines are going to be, it's a combination of a model mix there basically.

Sanidhya: And what kind of capacity utilization can we expect for next year since the capacity would start coming in? So not the entire would come of course, in the initial first half of FY26, say. So how much do you think would come in and what utilization do you think?

Parakramsinh Jadeja: So, it's basically when the facilities are being ready, based on that we have to let's calculate the numbers there next year.

Sanidhya: No, I don't want a number, sir, definitely. Just lastly, if I see the order book currently standard 42.

Parakramsinh Jadeja: Yes, you are right on a track, what you are asking there. Only thing is that, let's say, if my capacity, that's a 5,000 machine capacity ready by December or like that, based on that numbers I need to be calculated and given. But we are looking to be as fast as possible to capacity to be enhanced over here.

Sanidhya: Definitely, we will have more calls, and we can understand what's going on. Just lastly on the order book size, so 4200 is the current order book and we are expecting that to complete in like 12 to 18 months. So may I say that 4200 is what we can execute in next financial year completely and some additional as well?

Parakramsinh Jadeja: Based on the capacity, let's say, the ones that my capacity will be installed will go faster there.

Sanidhya: Because my numbers are saying that we can do if we get the additional capacity. So, what is your understanding on that?

Parakramsinh Jadeja: Let's say, if anything, I will give you the numbers. It will be going to be a forecasted numbers I'm going to tell you. You are on a chart, you are right on that, okay? Thank you.

Moderator: Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.

Kamlesh Jain: Sir, one question on the part of cash flow, if I see you had a Rs. 90 odd crore negative on the other financial assets, which I believe is more of an unbilled revenue, because last year, it was like, say, March 2024, it was 180 and it has almost increased by 100-odd crores. So I believe it's more of an unbilled revenue, which we have for the EMS.

Parakramsinh Jadeja: Correct. Absolutely right.

Kamlesh Jain: When are we going to realize that I know that machines will be in the testing phase and all that? And you have took the pain over the last many years, and you have established that you have got a big supplier there, big buyer there. So how the thing would be there on that part?

Parakramsinh Jadeja: So basically, you will see these numbers are going to be decreasing in the next couple of quarter now. Because the way the large machine, you know that every machines are very big machines and all and number of machines are in a pipe there. So, once it's been dispatched, and we are looking to be large dispatches are in a quarter three and quarter four. So you end up the quarter four, you will see this number will reduce drastically to be there.

Kamlesh Jain: And secondly, on the part of your expansion, if I understand correctly, you will get this capacity done by December 2025. Is it correct, the entire 10,000 incremental capacity?

Parakramsinh Jadeja: Plans are like that.

Kamlesh Jain: And sir, like if I see your EBITDA per machine, like say it has come down to Rs. 10 lakh now for this quarter. So, going forward, what trajectory can we see on the EBITDA per machine? Because EBITDA margin won't give that particular picture because you are like say the share of the EMS and all those machines, mid-level, or that would continue to vary. But on an EBITDA per machine, so where do we see that settling in?

Parakramsinh Jadeja: So, I told you that if 25% is the average margin, and that we are maintaining, and we are going to maintain forward also. And the average is 40 lakh plus. So, you are right there. And we will maintain on that track.

Kamlesh Jain: So around like Rs. 10 lakhs which is a current run rate?

Parakramsinh Jadeja: Yes.

Moderator: Thank you. The next follow up question is from the line of Sanidhya from Unicorn Asset Management. Please go ahead.

Sanidhya: Thank you for the opportunity again. I have two questions, first on the Huron cycle, so you were saying that for last two quarters, you have been saying that the extended capacity will be completed in September. And now you're guiding for the year end. So, what kind of delays are we facing and anything specific that we are stating there?

Parakramsinh Jadeja: In Europe?

Sanidhya: Yes, Huron.

Parakramsinh Jadeja: So basically, the capacity, the assemblies and everything is, we were initially looking to be December and still we are crossing our fingers but there is some delays are going on there. And in some installation of some equipment and everything is being delayed. But most probably this facility will be ready somewhere in end of December or middle of January to be there.
Sanidhya: Nothing worth highlighting like did we face any particular issue?
Parakramsinh Jadeja: Not anything, as in special kind of a thing.
Sanidhya: And I was looking at the annual report, so we had some unbilled revenues with the other person also talking. Just before me? So, you are saying that that would slowly try to come in the statement, right?
Parakramsinh Jadeja: Correct.
Sanidhya: And just above that, there is an interest in commission receivables from subsidiaries. And if I look at that number, so we have some investments in subsidiaries like Jyoti SAS, we have some Rs. 60 crores investments. Other than that, also we are having some investments in other subsidiaries. What kind of investments are these?
Parakramsinh Jadeja: So basically, this is what we are expanding this facility, so this assembly building is under construction there, what we are discussing and going to be finished in January to be there.
Sanidhya: I didn't understand what is then interest and commission received from these?
Parakramsinh Jadeja: You said investment there, correct?
Sanidhya: So, if, if I go on the page 149 - 148 on the annual report, there's a section for other financial assets.
Parakramsinh Jadeja: See, basically until today, Jyoti has fully supported from here in the last 15 years. And whatever our investment has been made over there, as per our Indian guideline, we need to charge the interest to be there. And whatever the non-fund limits and everything, we guarantee, so guarantee commission also to be taken from them basically. And Huron was not making the profit over there. So, they are not able to pay us in the past many years back. So that is accumulated incomes are lying there basically.
Sanidhya: Sir, what is Jyoti SAS, France if you can highlight?

 Parakramsinh Jadeja: So, Jyoti SAS is a 100% subsidiary of our SPV to acquire this Huron Graffenstaden there. So, Jyoti SAS is a 100% subsidiary Jyoti and he's holding the 100% Huron Graffenstaden to be there.
Sanidhya: So, the investment in the Jyoti SAS book would be t

he Huron investment?
Parakramsinh Jadeja: It's a Huron investment.
Moderator: Thank you. The next question is from the line of Swanand Samant from Klay Securities. Please go ahead.
Swanand Samant: So, sir, my question was on the competitive landscape, right? So, most of the competitors are on the unlisted. So, you have been pretty aggressive on capacity addition. So just want to get a sense on how the competition is also on the capacity addition part? And second on, we have been, again pretty good on the orders inflow side, right . So, has the competitive intensity increased in general with the CNC machine if the industry has been growing at 20% plus, right? So how has the competitive intensity in general has been increased in terms of order tenders or client addition, any sense on that will be helpful. Thanks.
Parakramsinh Jadeja: So basically, we are main 3-4 competitors are here. There is no competitor has been add-on there. And based on the India is increasing the capacity, let's say the India is consuming more and more machines. And there is a great opportunity still because once suddenly the spikes are coming, always imports are increasing there. So other than me also might be all other my manufacturers also, competitor also might be in a near term they will also invest and expand the capacity to be there because there is a great opportunity ahead to all of us over here.
Swanand Samant: And in terms of intensity, has it increased in terms of if they have added capacity? Do you find it difficult to get orders from your clients? How is the competitive intensity as per…?
Parakramsinh Jadeja: No, it's not that much has been increased there. Still, we have great rooms to compete to import machines there. So, there is a great opportunity to us to compete to let say the people are enjoying the business today we have to compete to them.
Moderator: Thank you. The next question is from the line of Jignesh Vayda from Jiva Capital Limited. Please go ahead.
Jignesh Vayda: I wanted to understand on the CNC front, since you mentioned you have 140 people in R&D division, so I presume the machine control unit world over is only used for two to three main companies like FANUC and all. So, sir, are we in the process of developing that machine control unit from our R&D division and how soon can we reach there?
Parakramsinh Jadeja: Thank you. What a nice question. That is the dream for us for the future. So already our teams are working, and we are expanding this team rapidly over here and we are expecting to

 develop something in the next 2-3 year pipeline over here. In the next future, we are going to be having a more investment plan is towards to the CNC controllers, drives and motors.
Jignesh Vayda: That would be, I think, really help in increasing our margins greatly.
Parakramsinh Jadeja: So basically, we are looking to be our core business today is a mechanical part today. And Jyoti's vision is to be there, our core should be mechatronics to be there. So mechanical and electronics combinations and many more opportunities are opening for us over here. So definitely, these parts are in our radar there and we are looking to be good investments on coming days to be there.
Jignesh Vayda: Right. On the semiconductor front, which is our future area, how Jyoti is pent up for to have this opportunity scale up going forward?
Parakramsinh Jadeja: So right now, we already started to our many products on our drawing board. And we are putting up a more R&D team on coming days over here. So that is going to be a great opportunity in coming days over here. So right now, 2 to 3 products we are designing. Once of prototypes and everything will be done, we are working with the very close to our 2-3 manufacturers come over here, we're directly in touch with them and we wanted them to move faster. But this is also a new b

usiness for us. So the design and developing time is longer time over here. So, we are anticipating the business we can able to see somewhere in 2026 over here.
Jignesh Vayda: So, some revenues will start flowing in.
Parakramsinh Jadeja: Yes. Large opportunities are opening up over here.
Jignesh Vayda: Sir, with AI coming up, and our machines integrating with the entire software like SAP with your clients, so kind of scheduling or the kind of parts production, is it already done or it is being scaled up?
Parakramsinh Jadeja: No. Right now, what I told you in my presentation, that our product code is a 7 Sense. So there, you can do your factory automation and completely you can tracking, monitoring and scheduling all the plants, like similarly to SAP there. Even in a quite better in terms of user friendliness and all, because it's completely on a soft flow requirement to schedule and planning. So that is an integrated part of our product to be there.
Jignesh Vayda: I think this 7 Sense kind of products would be more of used in the EMS industries?
Parakramsinh Jadeja: No. Every manufacturer there.
Moderator: Thank you. The next follow-up question is from the line of Sanidhya from Unicorn Asset Management. Please go ahead.

 Sanidhya: So, if we look in the Huron facility, so this quarter, is it safe to assume we did a revenue of 55 crores INR terms or if you can give Euro term that will be fine.
Parakramsinh Jadeja: Second quarter it is close to Rs. 70 crores.
Sanidhya: And what is the utilization this quarter for Huron?
Parakramsinh Jadeja: So, the Huron is today, let's say our plant capacity is close to €40-45 million. And this is almost more than 80% of that.
Sanidhya: And with additional capacity by yearend, we would like almost 1.5x the size there, right?
Parakramsinh Jadeja: Correct. Almost capacity is going to be a double, but we are expecting to be 1.5 in the next year.
Sanidhya: And secondly, on the EMS, so we receive 41% orders from the EMS this quarter. So, is it only from the one player or is it divided between two players? There I want you to answer without naming any clients, just from the diversification perspective.
Parakramsinh Jadeja: So, when you said basically 2-3 projects are there. And then all projects are at different point there.
Sanidhya: And on the side of, we are hearing that display manufacturing is also starting in India, one of the players starting that. So are we supplying to them as well, or display manufacturing we have mentioned?
Parakramsinh Jadeja: Yes.
Sanidhya: And for the IT hardware, that is laptops, notebooks, all that?
Parakramsinh Jadeja: So right now, let's say we can say that today is in the mobile and the watch and even some computers. These are our end users are making.
Sanidhya: So not into notebooks as of now. Any plans to go there?
Parakramsinh Jadeja: So already we are working with them and trials are going on. We are looking to be in future to be in notebook also to be there.
Sanidhya: Hopefully, by next year we shall get the approval check.
Parakramsinh Jadeja: I told you that EMS is going to be our target area, and we are working with many of them and one by one it will be covered.

 Sanidhya: And lastly on the US side so are we planning any big clients on that side because the world looks like moving maybe moving to manufacture in US. So, if that story is to develop, are we in the right place?
Parakramsinh Jadeja: Basically, because of Huron, now we have a capacity increasing in Huron, and we have now a capacity in more models that have been producing in here, in India. And we are very competitive here, let's say, on the scale. And US, in terms of aerospace, is the largest consumer. So increasing our market portfolio and reach out to more customer to be there basically

.
Sanidhya: Any plans for any facility in US or warehouse or anything?
Parakramsinh Jadeja: Yes, so we are going to create our technical center and warehouse there.
Sanidhya: In the US?
Parakramsinh Jadeja: 0:57:57 ___.
Sanidhya: Any timeline?
Parakramsinh Jadeja: So, within one year there right now.
Sanidhya: And we are getting any inquiries for the same, therefore we are investing into that?
Parakramsinh Jadeja: We are working with many of our large customers to be there, our existing clients, and they are asking us to come over there, so we are looking to support them nearby there.
Sanidhya: Do we see any impact on inventory and anything at all if we venture into that, because maybe they want in-time execution, so we might need to be…...
Parakramsinh Jadeja: It's not like that, it's not like that, but while we are making the machines to be there on the tech centers, as in demo centers there. And entry level product, what we are making it over here, those kind of products only we need to be stocks to sell faster to be there. Because in the US, people are looking to be delivery very fast over there.
Sanidhya: Yes, exactly. That's my point because for any player that we ask, they are always stating that for US players, we need to be some inventory so that we can…..
Parakramsinh Jadeja: Absolutely.
Moderator: Thank you. The next follow-up question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.

 Kamlesh Jain: Yes, so like I believe 10,000 capacity expansion is going to be there in a year's time. But over the next 3-5 years, so what particular capacity levels we are targeting. Like suppose this expansion, it would be 16,000. So, going forward, what is our end target? Like in next five years, what particular capacity levels we are going to target on or embark on?
Parakramsinh Jadeja: See, the capacity we are installing is basically to utilize as much as possible faster to be there. And the ones execution will be increased better and better, we would like to utilize more there. But in terms of, this is our phase two. In the next five years, this is not going to be sufficient to be there. So definitely we need to expand further to be here.
Kamlesh Jain: Because all the quarters you have highlighted that the way that China has gone in the value chain with regards to the EMS side. So similar levels like can we say that it can be 30,000 capacity by the like say by FY28-29. So just wanted to get a sense on that?
Parakramsinh Jadeja: Basically, you are right. We are looking for similar numbers to add on there on next __ 1:00:48 to be there.
Kamlesh Jain: And lastly, sir, can you provide a breakup between entry level, mid-level for this particular quarter in terms of machine sold and average realization which you provide for every quarter?
Parakramsinh Jadeja: Let's say, in terms of an entry-level product, we have 934 machines and the average of 21 lakhs. The mid-level machine was close to 88 machines and the high-end machine was close to 19 machines. So total close to 141.
Kamlesh Jain: And Rs. 21 lakh was entry-level and mid-level?
Parakramsinh Jadeja: Mid-level, the average was 1.1 crores. And the high-level machine average is Rs. 5.8 crores.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Parakramsinh Jadeja: Thank you very much to all of you. The way you put trust on us, we'll do our best over there. Thank you very much.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

JYOTI CNC AUTOMATION LIMITED
CIN: L29221GJ1991PLC014914
Regd. Off.: G – 506, Lodhika GIDC, Vill.: Metoda,
Dist.: Rajkot – 360 021. Gujarat India .

Date: May 30, 2025

To, To,
The Department of Corporate Services, The Listing Compliance Dept.
BSE Limited, Mumbai National Stock Exchange of India Ltd, Mumbai

BSE Script Code: 544081 NSE Script Symbol: JYOTICNC

SUB : Submission of Transcript of Earning Call.

Respected Sir/ Madam,

Pursuant to provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a transcript of an earning call held on Monday May 26, 2025 is enclosed herewith and the same is available on website of the company at https://jyoti.co.in/investors/announcements/investor-presentation/ .

Kindly take the same on your records.

Thanking You,
For Jyoti CNC Automation Limited

____
Maulik B. Gandhi
Company Secretary and Compliance Officer
Membership No.: A23849 / F8819

Encl.: Stated As Above.

"Jyoti CNC Automation Limited
Q4 FY'25 Earnings Conference Call"
May 26, 2025

MANAGEMENT : MR. PARAKRAMSINH JADEJA – CHAIRMAN AND MANAGING DIRECTOR – JYOTI CNC AUTOMATION LIMITED

MODERATOR : MR. HARSHIT PATEL – EQUIRUS SECURITES

Moderator: Ladies and gentlemen, good day, and welcome to the Jyoti CNC Automation Limited Q4 FY '25 Earnings Conference Call hosted by Equirus Securities Private Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Harshit Patel. Thank you, and over to you, sir.
Harshit Patel: Hi. Good evening, everyone, and welcome to Jyoti CNC's Fourth Quarter FY '25 Earnings Conference Call. We have with us Mr. Parakramsinh Jadeja, Chairman and Managing Director of the company. Sir, if you can start by giving your overview on the fourth quarter performance as well as outlook for FY '26 and beyond, and then we will open up for Q&A. Over to you, Jadeja, sir.
Parakramsinh Jadeja: Thank you, Harshit. Dear investors, good afternoon to all. This would be our second yearly results since the launch of our IPO. As I had expressed earlier also, we can fragment Jyoti's journey into 3 phases: Number one, establishment; second, sustain; and third is grow. Since the inception of the company way back in 1989, the initial phase was learning phase from where company has grown from a tiny start-up striving to find its pace in the machine tools industry, from that, a small foundation-driven company.
Jyoti has slowly emerged as established SME and gradually emerged as one of the leading machine tool builder of the nation. Slowly, it has become the professional-driven entity from the founder-driven management. Finally, we are carving the way ahead to make Jyoti a people-driven institute, which will run for generations to come on the strong fundamentals of our core values.
Friends, this would be my fifth investor call since launch of our IPO. At this juncture, you would have many questions with respect to financials and business of the company. Surely, I will be addressing the same in the next part of our call itself.
Since we have gathered in mass today, I would be glad to share the long-term strategic insight for the road ahead. Jyoti is on the way to build a strong foundation as a concerned business house that belongs to Indian manufacturing opportunity. Machine tool industry being the mother industry for the manufacturing, we are well prepared to contribute to the nation's initiatives of Make in India and subsequently would contribute to the GDP of the nation.
It is the fact that manufacturing in any nation can only grow where the machine tool industry is in the mature state. For example, countries like Japan and Germany have marked their dominance in manufacturing because they have a well-matured and advanced machine tool industry, driven by innovation and technology. It's now a time for India to mark this strong manufacturing footprint through innovation and technology-driven machine tools.

We had envisaged the strong industry pillars like aerospace and defense, automobile, general engineering and industrial automation would flourish in India and will enable us to become a manufacturing hub globally. Our aspiration to cater the aerospace and defense industry can only be fulfilled with the technology and innovation. This was the reason behind our acquisition of Huron in France, which gave us access to the most advanced 5 Axis Precision machi

ning.
In the same way, we had anticipated way back in 2015 that India would become a next manufacturing destination after China for electronic manufacturing. And hence, relevant product developments were initiated by our R&D team, which has paid us through our breakthrough entry in emerging EMS ecosystem in India. Till today, the foundation of Jyoti was built on its strong mechanical expertise base. The company is producing the high precision mechanical components and machine for decades.
As our long-term business strategy, we would like to build our strong footage in mechatronics and not only in mechanical aspect of manufacturing. Now we are building our championship in electronics also. And hence, we have already initiated the manufacturing activities and design and development of servo motors, servo drives, various electronic sensors, PLCs, controllers, which will enable us to manufacture the industrial automation and robotics in coming days. Subsequently, this developed expertise in electronics field would also help us to cater emerging semiconductor industry in India. Being a responsible corporate house, we are equally concerned about the sustainability. The company is determined to have a net zero carbon footprint within the next couple of years through various Go Green initiatives. As a part of diversification, Jyoti is also exploring opportunities in various solar energy-related manufacturing activities, which is currently being catered through imports from China.
We foresee a huge surge of demand from this industrial sector, which cannot be ignored by an engineering company like ours. Finally, in line with our Vision 2025, we are producing the highest quality, the lowest cost, easy-to-use product for our customer that integrates innovation and technology. The lower manufacturing cost is already reflected to higher margins in our March '25 results.
Now let me go through the financials of Q4 and FY 2025. First, let me take you through the

financials of Q4. Revenue, we have clocked the consolidated revenue of INR576 crores in Q4 FY '25 as compared to the INR450 crores in Q4 FY '24, delivering the growth of 28%. At EBITDA level, we have clocked the consolidated EBITDA of INR178 crores in Q4 as compared to INR134 crores in Q4 FY '24, delivering growth of 33%.
The EBITDA margin has increased to 30.9% in Q4 FY '25 as compared to 29.7% in Q4 FY '24. At PAT level, we have clocked the consolidated PAT of INR109 crores in Q4 FY '25 as compared to the INR100 crores in Q4 FY '24, delivering a growth of 9%.
Our Q4 FY '25 consolidated revenue from operations of INR576 crores consists of 44% from the aerospace and defense, 23% from auto and auto components, 23% from general engineering, 4% from die and mold, and 6% rest others. Our Q4 FY '25 order intake comes to INR530 crores,

which consists of 29% from aerospace and defense, 33% from auto and auto components, 26% from general engineering, 5% from die and mold, and 7% others.
Our total consolidated order book as on 31st March 2025 stands at INR4,346 crores. The industry segment split for the same is 39% from aerospace and defense, 17% from auto and auto components, 19% from general engineering, 16% from EMS, 4% is from die and mold, and 5%, rest others.
Now let me take you through the consolidated FY '24-'25 performance of the company. In revenue, we have clocked the consolidated revenue of INR1,818 crores in FY '25 as compared to the INR1,330 crores in FY '24, delivering growth of 36%. At EBITDA level, we have clocked the consolidated EBITDA of INR491 crores in FY '25 as compared to the INR301 crores in FY '24, delivering a growth of 63%.
The EBITDA margin is 27% in FY '25 as compared to the 22.5% in FY '24. At PAT level, we have clocked the consolidated PAT of INR316 crores in FY '25 as compared to INR151 crores in FY '24, delivering growth of 109%. Our to

tal consolidated revenue for FY '25 stands at
INR1,818 crores. The industry segment split for the same is 45% from aerospace and defense, 23% from auto and auto components, 20% from general engineering, 5% from EMS, 2% from the die and mold, and 5% rest others.
Let me quickly brief you because many people may have joined, new people. So many times I made this presentation, but let me have some quick view on that. Incepted in 1989, Jyoti has grown multifold. Jyoti has its subsidiary offices in France, Germany, Canada and Turkey. We have 2 manufacturing plants at Rajkot admeasuring 253,000 square meter and one at Strasbourg, France, admeasuring 46,000 square meters.
In this journey, so far, we have designed and developed 200-plus product variants and have sold approximately 135,000-plus machines across the globe. Our order book today stands at INR4,346 crores, and we have installed capacity of 6,000 machines at Jyoti and 120 machines at Huron.
Let me go a little bit back, let's say, in 2007, Jyoti acquired a French machine tools company, Huron, which is catering precision CNC machines of aerospace and defense industry. In 2008, we established the R&D center called Leonardo Da Vinci Center at Rajkot. In 2016, Jyoti designed and developed the 5 Axis Multi-Tasking Machine in partnership with IIT Chennai under the Indian government's scheme from Department of Heavy Industries.
In 2017, we launched 7th SENSE as an Industry 4.0 tool and a platform as well as the KX300 machine for aerospace industry. In 2019, we launched an artificial intelligence AI system named PreciProtect for machine collision prevention deaths. It is real-time collision prevention. In 2022, we launched a VST 160 machine to cater to EV vehicles. In 2024, Jyoti got listed on NSE, BSE Exchange on January 16, 2024. In 2025, we have launched 7 new products in January 2025 in IMTEX exhibition there.
Jyoti has an experienced Board and highly skilled management team to drive the strategy of the company for the next leap of growth. We have a fully vertically integrated manufacturing facility

such as foundry, machine shop, sheet metal shop, paint shop, subassembly and assembly shop, which allows us to manufacture all the manufacturing component and subassembly -- critical components and subassembly at Jyoti, reducing dependency on external supply, particularly from the imports, and bringing operational efficiency over here.
At our R&D, we have designed and developed 200-plus product variants across 44 product verticals, which, with our continuous focus on R&D, we are able to provide a customized

machine and technical solution to our customers. In terms of manufacturing capacity, we have 6,000 machines installed capacity at Jyoti and 121 machines at Huron, France. Total land of Jyoti is close to 237,000 square meters; and France, we have close to 46,000 square meters. And still more lands are available to further grow from here.

Our subsidiary, Huron, is a technology backbone for us. It is located in Central Europe, which is a hub of machine tool industry in the central part of Europe. We got access to simultaneously 5 Axis technology through Huron. We are able to cater to the European market through our subsidiary, Huron. We have marquee customers based in aerospace and defense industry through Huron products.

We have a strong sales and distribution network pan-India, having 29 sales and service offices across 12 states. Since inception, Jyoti Huron has installed 135,000-plus CNC machines in more than 60 countries across the globe. We cater CNC machines to 12 industry segments, which includes aerospace and defense, automobile, electronic manufacturing, railways, die and mold, infrastructure, oil and gas, health care, valves and pumps, power, and agriculture sector.

We classify our product range in 3 categories: entry-level, mid-range, and high

-end machines.

Our entry-level machine range, we consider from 0 to INR50 lakhs, our mid-range machines from INR50 lakhs to INR2 crores, and our high-end machine range from INR2 crores to INR20 crores.

Some of our key clients in aerospace industries are Airbus and their ecosystems, Turkish Aerospace, HAL, GE; in China, all AVIC group of Industries; in India, TASL, Bharat Forge, et cetera. Our clients in automobile are Tata, Mahindra, BMW, Mercedes, Audi, Volvo, Volkswagen, et cetera. There are many such marquee clients in general engineering and other segments.

We have received, for the seventh consecutive year, the award for Best Brand in the Metal Cutting Industry by Economic Times; received an award from IMTMA in 2024 for the exports performance. So these are our recognitions in India over here.

Let me explain you about the global machine tool industry. The global machine tool consumption of the machine tools is close to $80 billion. Currently, India as a consumer ranks sixth with $3.9 billion in consumption. By 2030, India is expected to enter in the list of 3 global consumers of machine tools. Going ahead, we continue to stay focused and grow our revenues from aerospace and defense, EMS, automobile and general engineering. And in future, we are looking towards to entering into a semiconductor sector there.

Going forward, our strategy enablers will be people development, product development, market expansion, manufacturing capacity expansion. In people development, leadership development being our prime focus, our center of excellence is fully operational now. Many of the calls, I have given this input that the biggest challenge we are going to see on our growth path is skilled manpower. And for that, we have made this our center of excellence. In the last quarter, close to 325 people have been trained on our center of excellence over here.

In product development, in 2025, we have designed and developed and launched following new product variants. We call it as GU 8, it is a 5 Axis gantry-type machining center; AWT 22 is alloy wheel turning machines; BTM 100 is twin spindle gantry automation; ATM 200, inverted turning center with automations; HP 4000 and HP 6000 high-performance series of a horizontal machining center; Tachyon Beta is a 5 Axis high dynamic machining center; and HUMA is a future of human machine interface. Recently, we have registered the patent for a HUMA and we got the patent rights over there. HUMA is our operating panel for our machines there.

In terms of manufacturing capacity expansion, we have just completed -- let's say, in the last quarter, 6,000 machines per annum have already completed. And in this quarter, we have close to 90% of this facility been clocked in terms of utilization level there. Further enhancement of additional 10,000 machines per annum will be completed in the next 2 years.

Thank you very much. And now we move forward to our next question-and-answer session.

Moderator: Thank you very much. The first question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited. Please proceed.

Manish Ostwal: My question on our capex program of 10,000 machines. So first of all, how much amount we need to incur for this expansion? That's the question number one. And the subset of this question is, sir, we have a current order book of INR4,300 crores, and you outlined almost 12 industries where we are catering. So based on the end user demand outlook, how do you see the execution of this order book and the overall revenue growth for the company in '26, '27, that will be quite helpful.

Parakramsinh Jadeja: Okay. So let's say about first your questions on the capex. Actually, on my last call, I have given the numbers. It's close to INR400 crores to INR450 crores capex are going to be on this

additional 10,000 machines of capacity to be built over here.
And y

our second question about the order book. Let's say, today, what you said is INR4,300 crores. And today, our, let's say, the capacity is close to now 6,000 machines. It's going to be a bottleneck for us until this new capacity will come to utilize over there. So we will try our best in execution over here to utilize this year to be maximum capacity and executions over there. So we will overcome this all our order book and try to do our best over there.

Manish Ostwal: Okay. The second question on the cash flow side, sir. The operating cash flow is negative. And if I look at our balance sheet, there is a sharp increase in the trade receivables as well as the other financial assets. So when you see, our growth is translating into cash flow generation also. So can you comment on that why it is not reflecting in financials so far, and how...

Parakramsinh Jadeja: Yes. So basically, let's say, we are growing on a very long-term manufacturing cycle on large machines on aerospace and defense. And in the last quarter, subsequently, it has been improved and destocking has been happened and all in the last moment. So you are able to see the debt levels and all, it has sharply been increased, because it happened in the last quarter and last month. So you will see this as being cooled down in coming days. And we have targeted positive cash flow in the end of this financial year of '26.

Moderator: The next question is from the line of Akshay from AK Investments.

Akshay Kaila: Congratulations sir for the great set of quarter 4 numbers. I have 2 questions. So first question is how much machines did we sell in quarter 4 of FY '26 and full year of '26 -- sorry, FY '25?

Parakramsinh Jadeja: 1,349 machines we have sold in quarter 4, and full year is 4,072.

Akshay Kaila: Okay, sir. Okay. Fair enough. And sir, what is our revenue and EBITDA margin guidance for FY '26? Can we sustain the same growth momentum in FY '26 for the EBITDA margins that we have shown in last quarter, this quarter, 31%?

Parakramsinh Jadeja: So basically, if you look at that, Jyoti is not in a quarter-to-quarter look at the area. But let's say, in an entire year, we are able to maintain the momentum and we are able to maintain the margin. Always, I have told in my past call also, we will maintain the margin around 25%, and that will be sustainable over there.

Akshay Kaila: Sure, sir. And sir, my last question is how much order flow are we expecting in FY '26 across all our categories?

Parakramsinh Jadeja: So basically, we are anticipating over here the similar momentum. And right now, a lot of opportunities are opening up into aerospace and defense in this geopolitical situation. But today, in terms of today's run rate, we have close to more than 2 years order book is there. And no customers are accepting to a delivery period more than 2 years. So as and when delivery and execution will improve, order book flow also will increase accordingly like this.

Akshay Kaila: Okay, sir. Fair enough. And sir, last, one more question, if I can ask. There is one patent we have registered for HUMA. So can you...

Parakramsinh Jadeja: It is HUMA, Human Machine Interface. Yes.

Akshay Kaila: Yes, right, HUMA. So kindly let us know what improvement will be in our machines and revenues by using this product?

Parakramsinh Jadeja: Let me tell you, it's a very interesting question. See basically today, the entire world in the CNC machine tool manufacturers are being constrained to use only with 2 or 3 CNC controller manufacturers, one from Germany and one from Japan. And every manufacturers are using like that, okay?

And we, going forward, are going to manufacture a base in our Make in India and our own controller there. So today, this is our first step towards that. And the HMI, the front end of the

machine, that we have des

igned at Jyoti's screen basically, and it is so user-friendly -- basically, our reason was there to be made user-friendly machine to be there.

So all our operators and the operators of the machines can be run very smoothly and very nicely. That's why we have designed and developed very unique HMI. There, I'm able to back-to-back use any kind of a controller, but front end is so nicely that operator easiness to be there basically. And that is the first step to enter into complete our CNC manufacturing cycles to be there.

Moderator: The next question is from the line of Kamlesh Bagmar from Lotus Asset Management.

Kamlesh Bagmar: Sir, my one question was on like a follow-up on HUMA. So say, if we compare it with like say

ABB or FANUC industrial-grade monitors, so how much cost efficient it would be, say, as compared to these 2 giants?
Parakramsinh Jadeja: So basically, Kamlesh bhai, see, basically, ABB is not a CNC controller manufacturer. It's basically Siemens, okay? Let me correct, first, you there. Siemens and FANUC is the main controller manufacturer today. And the entire machine tool industry of the world are using, there are the 2, 3 companies over there. And in the entire, our, this machine, let's say, in our entry-level product, this controller cost is contributing close to 20% to 25%.
In a middle-level machine, it's close to 15%, and high-end, it's close to 10% or less than 10%, like that. It's a huge big cost, okay? And there is a great opportunity to value addition over here. So we are looking in future to be backward integrated. And based on that, we are looking to be a good value addition, so that we can enhance our margin further more from here basically.
Kamlesh Bagmar: And sir, secondly, like, say, in this year, we had say, realization per machine of INR4,463,000 kind of margin. EBITDA per machine of around INR1,205,000. So like say, the current order book which we have, so would we be able to maintain those margins going forward? And do we expect further add up because of this HUMA coming over?
Parakramsinh Jadeja: No, HUMA is just a first step basically, okay? It's just the beginning of -- we need to develop the controllers and all. It will take another 2 to 3 years' time, okay? It's fully integrated into manufacturing cycles and all, it's going to be another 2 years. It's just the beginning. HUMA is the first step basically. All our customers, will feel it is user-friendly slowly and steadily, they should accept, adapt and like that, okay?
This is the front end of the machine basically. It's operating system. What you say in a computer is an operating system, this is an operating system basically, okay? So that we will see into coming years like that. In terms of your first question, regarding the average realization. So based on the order book, we are in line with that to maintain the similar average realization in FY '26 over there.
Moderator: It seems like the participant's line has got disconnected. Can I proceed with the next?
Parakramsinh Jadeja: Yes.
Moderator: Our next question is from the line of Saloni Jain from Nirmal Bang PMS.

Saloni Jain: Firstly, congratulations on a great set of numbers for Q4. Sir, so my first question is, we talked about growth catalyst coming in form of EMS and semiconductor for us, right? So could you please address the question of TAM here for both EMS and semiconductor? And what kind of a right to win can we see here going forward?
Parakramsinh Jadeja: So basically, let's say, whatever the order book we have built on electronics manufacturing, that we are able to execute nicely on a second half of this year. And on a similar time, we are working with many projects. Many qualifications are going on, and we are expecting to be a robust order intake in this year on a similar sector over there.
Saloni Jain: Okay. So in terms of import substitution, what is the kind

of opportunity that we are looking at?
Parakramsinh Jadeja: So basically, let's say, in India, still today, close to 60% of India's consumption is imports there.
Saloni Jain: That is for EMS and semiconductor, both?
Parakramsinh Jadeja: Total. This is the total machine tool consumption today. And right now, the electronics and the semiconductor equipments are 100% being imports. There are no manufacturing in India there.
Saloni Jain: Okay. So we are the only manufacturers there?
Parakramsinh Jadeja: Right now, many people are entering over here. We are the first entering over there, basically.
Saloni Jain: Okay. And sir, my second question is, you talked about the capacity that we have right now, 6,000 machines, and we are currently running at 90% utilization, while the additional capacity of 10,000 machines is supposed to come in 2 years, right? So given this capacity constraint that we have, how would you like to guide for the growth going forward? Is it the correct understanding that we might see a lower growth for the next 2 years before the new capacity comes in?
Parakramsinh Jadeja: So let's say, this capacity comes in a picture only on the last quarter. So last quarter of FY '25. And this quarter only we are able to clock this as 90%. So overall capacity being utilized is 65%.
Still, I have a room to grow up to 35% over here in this year.
Moderator: The next question is from the line of Mayank Chaturvedi from HSBC Mutual Fund.
Mayank Chaturvedi: So first on the EMS revenues. This quarter, again, there has been 0 revenue booking. For the last 2 quarters also, subdued revenue execution has come in. So could you just throw some light on the slow execution on this order book, please?
Parakramsinh Jadeja: See, basically, our delivery been asked of this order book is starting from this financial year on second half over here there. So it has not been asked because all the plant is under construction at customer site there, okay? Once the plants have been ready, then we are coming to picture and we need to supply from our side there.

Mayank Chaturvedi: Okay. Is the customer still facing those machine issues from China? Or are things easing there?

Parakramsinh Jadeja: See, basically, in this area, we are also just entering. Until today, all the machines has come from Japan.
Mayank Chaturvedi: And sir, on the capex side of this new 10,000 machines, it was earlier understood that it would come in by the end of FY '26. But now it seems like it's being shifted to FY '27. Is it because of a delay in...
Parakramsinh Jadeja: No, I'm not shifting. This is basically, I said, 2 fiscal years, okay, 2 financial years. So this will be coming on FY '27 in the beginning. Maybe in June, we'll be ready in '26 there, okay? We are not going further there. So this is just -- I said 2 years because in my presentation it was written 2 fiscal years in the past also, so I continued spelling out like this, okay?
Mayank Chaturvedi: All right. All right. Got it. Sir, just 2 bookkeeping questions. Can you just give us a breakup of this 1,349 machine sales that you've done in entry level, mid-level, and high-end machines, please?
Parakramsinh Jadeja: Yes. So in entry-level machines, we have done, in terms of value, it's INR218 crores 1,107 machines. On a mid-level, we have done INR74 crores at 165 machines. And high level is INR252 crores and 77 machines. This is a combination of 1,349 in Q4, what you asked.
Mayank Chaturvedi: Got it. Okay. Sir, it looks like the high-end machines realization has really fallen. Any comments on that? 32 million high-end level machines, 77 machines have been delivered for INR252 crores, and...
Parakramsinh Jadeja: So basically, when we say that, it's high end means 2 crores and above and different model and mix-up basically, yes, okay?
Mayank Chaturvedi: Because your aerospace and defense revenue has grown quarter-on-quarter. So I was of the opinion that maybe...
Parakramsinh Jadeja: Per machine value is INR3.27 crores.
Mayank Chaturvedi: Right, right. All right. Okay. Got it. Last question of mine, we've seen that the financial assets have grown significantly, other financial assets. Can you tell us why, what's the component that's driving this increase?
Parakramsinh Jadeja: So basically, there is a percentage of completion. See, these are the long -- you know that all this aerospace and this large machines, the contractors, the machine value is more than INR20 crores and a very long manufacturing cycle, okay? So those are the machines are being built up. Let's say, we are starting the percentage completion methods, and that's why it's become -- it's going into financial assets to be there. So let's say, we started 18 months back, so now it's completely pipe has been full. So regularly, this kind of dispatch has happened there, okay?
Moderator: The next question is from the line of Aniket Jain from Yes Securities.
Aniket Jain: I wanted to check that there's a lot of traction going on in the defense industry. So are you seeing any increased inquiries for the...

Moderator: Sorry to interrupt, Mr. Aniket. Could you please come closer to the device while asking a question?
Aniket Jain: So I wanted to check that there's a lot of increased traction in the defense industry currently. So are you seeing any increase in inquiries or any pipeline that you're expecting for the next year or a couple of years?
Parakramsinh Jadeja: Huge pressures are there. All our existing customers are pushing us like anything today. It already started in Europe largely, in India, even now China. So every area now, everybody is expanding their budget. And there are a lot of pressures on us to expand our capacity to deliver faster there basically. We are working on that.
Aniket Jain: So would it be fine to assume that a lot of capacity utilization will happen in probably defense and followed by EMS once the EMS portfolio picks up?
Parakramsinh Jadeja: Correct.
Aniket Jain: Okay. And sir, second one would be regarding the U.S. expansion plan. I remember that you mentioned opening a sales office there. So I wanted to check whether there's any impact of tariffs that might happen to your portfolio there?
Parakramsinh Jadeja: No. Basically, the tariff still is an open area. And now we are going forward. We were just, let's say, in the last couple of months, we were waiting to clarity on that to go to U.S. to open our sales and network there. And if anything is, let's say, adverse, then we will go and start to have some manufacturing there also. But now I think the things will be very soon be clear. There is

no tariff effect much on our product over there, basically.
Aniket Jain: Okay. Okay. So your U.S. expansion plans would...
Parakramsinh Jadeja: We are basically on a gain side. We are going to have a better -- right now, U.S. is importing from some other countries like Japan, Germany, Europe and China and all. Those are the main suppliers. Against them, India is in a good position. Though there is not any adverse situation, we'll be on a better advantage situation to be there.
Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited.
Manish Ostwal: My question on these new product launches in FY '25 where we launched almost 8 products. So can you talk about the potential market opportunity? And secondly, whether these products seem to be margin accretive in nature, because these are value-added products from the current portfolio. So can you talk about the profitability as well as the market size opportunity in the FY '26-'27?
Parakramsinh Jadeja: Yes. So basically, if you look at that, we have 2 products that we have developed on a 5 Axis Precision Machining area, particularly a product called as GU 8. Th

e GU 8 and then another product called as a Tachyon Beta, okay? On a similar product, the market size in worldwide in

EMS, aerospace and particularly on health care industries, it's a very large opportunities are there.
And India is also coming up more and more health care component manufacturing, all implants and everything. And worldwide, this product market size, okay, on a similar area and all, worldwide, it's close to $3.7 billion market size are there. So we are expecting a participation to get the orders from there. And yes, this is -- our coming machine is to be on a mid- to high-end market. So we'll have a better margin over here basically.
Apart from there, there is one more product we have built. It's called as Alloy Wheel Turning Machine. It's basically in automobile industries. And mainly the EV sectors are coming and the EV cars and everybody are more and more and all the cars are moving towards to alloy wheel. Until today, in India, all alloy wheels, people are importing, and now started manufacturing over here. So this is a product to our entry-level product basket.
And there, our margins are, mid-range margins are there. Then other product what we have built is called as a BTM and ATM and HMCs. This also is an automation product, because today, more and more people are looking to be in automation in India. So this is also on a middle range product, and we are expecting margin to be improved over here and there.
Manish Ostwal: Okay. And the second question on the semiconductor foray. So what will be the capital allocation from Jyoti's balance sheet for this venture, initial capital commitment for this venture?
Parakramsinh Jadeja: So right now, we've not reached to an infrastructure level. Today, we are designing the product. We are working with 2 or 3 manufacturers right now. Those are our potential clients, and we are developing equipment for them. And very high precision manufacturing components and assemblies are there. We will quantify this in the next couple of quarters.
Let's say, we are expecting, in the third quarter, we are able to see the complete road map ahead on a semiconductor, how much the plant needs to be expanded and how much revenue can be generated. And clear-cut visibilities will come end of this financial year to us.
Moderator: The next question is from the line of Harshil Sheth, an individual investor.
Harshil Sheth: So firstly, congratulations on a great set of numbers. So just wanted to understand that the company is closely making somewhere around INR16 crores of revenue, but it's still sitting on INR800 crores worth of inventory. So like could you just justify this, because I guess there are too many different model sizes and variations in your product categories, but still the inventory level is pretty high. So just to understand like...
Parakramsinh Jadeja: So basically, I'll tell you one thing. So it's a very good question, Harshil. Basically, in the early days, let's say, we have improved a lot on inventory days. Earlier on, let's say, in FY '24, our inventory days was close to 236 days was there. And that has come down to be 180 days. With this volume increase and model mix improvements and all has happened.
And that's how we are able to sustainably improve from last year to this year. And in terms of the nature of that, we are fully vertically integrated manufacturing company, from castings to

machining to assembly, subassembly and for entire this value chain we are doing. And we have 200-plus product variants. So that's how these are the inventory you feel it is higher, but we are

on a very good improvement stage from 234 days to come down to 181 days today.
Harshil Sheth: So going forward, do you see any improvement on the inventory days, and that effect...
Parakramsinh Jadeja: Yes, we are working

on to that. And we are anticipating to touch -- this is going to be around 150 to 160 days in the next coming year there. And that should be now the finest bottom level situation there.
Moderator: The next question is from the line of Mayank Chaturvedi from HSBC Mutual Fund.
Mayank Chaturvedi: On the EMS space, again, some of our competitors are talking about introducing machines that are capable for customers in the space. Are you seeing any increased competitive intensity there or any serious competition emerging in that space?
Parakramsinh Jadeja: See, Mayank, I myself am entering on to that and competing to a Japanese there. So it is so large business if any competitors comes today also, I will not be worried about it. I have to make worry to other participants.
Mayank Chaturvedi: All right. All right, sir. And sir, recently, there was a press release by one of our customers' parents in Taiwan that one display module facility will be set up in the southern part of India. Any discussions going on there? Or is our product, Tachyon, can that be custom made to cater to this plant that has been announced recently?
Parakramsinh Jadeja: I'll tell you, I have -- Mayank, I'm not able to tell you the detail more, because it's a very confidential agreement I have there. But the many projects on Tachyon, I'm working with many different applications on a similar product line there. And even for the modified machines, the different hybrid structure like 3D printing and machines together and all kind of combinations are going on. I'm not able to tell you much more about that because it's a very confidential parameter for me.
Moderator: The next question is from the line of Vaibhav Shah from Equirus Securities Private Limited.
Vaibhav Shah: Sir, my first question is related to Huron. So during the last call, you have highlighted that there is new building construction or the debottlenecking activities is going on. And all the approvals were expected during May '25. So are we on track here? Or is it fully operationalized now? And if yes, so what would be the total revenue potential here?
Parakramsinh Jadeja: Yes. So basically, in Huron, the building construction is over. The final installation is going on, the train mounting and electrifications and everything is getting over in the next couple of days. And I told you in the last call that we will get everything into May and June. And almost we are on track on to that until today. And with this, our capacity will increase up to $80 million worth of production manufacturing there.
Vaibhav Shah: Okay. And sir, just one question on Huron. So what was the full year revenue and EBITDA for Huron? And what is the outstanding OB for Huron at FY '25 end?

Parakramsinh Jadeja: So basically, at Huron, we have close to INR253 crores of revenue and close to EUR 865,000, which means close to INR8 crores as a PAT level there.
Moderator: The next question is from the line of Depesh from Invesco.
Depesh: Sir, I just wanted to check like last year, we spent around INR310 crores and increased the capacity from 4,400 to 6,000 machines, right? So I just wanted to check, will INR400 crores, INR450 crores that you have guided will be enough for 10,000 machines?
Parakramsinh Jadeja: Yes. Because there many things are being mixed, let's say, while I'm making the expansion. So let's say, in one building, there is a space like that on the last capex also there. So there are synergies to be there, and it might be like this. It's not an absolute number there, okay? You understand what I am trying to say? Let's say, we built up an assembly area, but I cannot build assembly area for just 100 or 200 machine. There will be large area. So that is available there basically.
Depesh: Okay. Okay. And you said...
Parakramsinh Jadeja: Let's say, you can see that from 6,000 to 16,000. So consolidated, we need INR450 cro

res like that.
Depesh: Okay. And you said that this capacity will come by June of next year, right? That is how to look at it?
Parakramsinh Jadeja: Correct. Correct.
Depesh: Okay. And will the entire capacity come in one go or we'll see 5,000 plus 5,000, something like that?
Parakramsinh Jadeja: No, it's in one go.
Depesh: It's in one go only?
Parakramsinh Jadeja: Yes, because there are very integrated -- the assembly and manufacturing line we are putting up there, particularly in machining and all there, we are doing a lot of automations over there. So

once it will be started, it will be started fully there basically.
Depesh: Okay. And sir, lastly, I think our order book has been very consistent for the last 3 quarters. And EMS order, I think, came in Q2, and we have not executed any of the orders in like Q3 and Q4. And I think our capacity got increased in third quarter only, right, towards the end. So why we are not executing that order and why not...
Parakramsinh Jadeja: Basically, we are not -- this execution has not been constrained about our capacity over here, okay? So my receiving end of the customer, a lot of infrastructure development is going on there. Once they will be getting ready, they will allow us to -- let's say, they will ask to deliver to them then after.
Depesh: And when do you think that they will be ready, sir?

Parakramsinh Jadeja: I think this year, we are looking to be near to be in September -- August, September.
Moderator: Ladies and gentlemen, we take that as the last question. I would now like to hand the conference over to the management for closing comments.
Parakramsinh Jadeja: Thank you very much to all of you. Thank you.
Moderator: On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

JYOTI CNC AUTOMATION LIMITED
CIN: L29221GJ1991PLC014914
Regd. Off.: G – 506, Lodhika GIDC, Vill.: Metoda,
Dist.: Rajkot – 360 021. Gujarat India .

Date: August 11, 2025

To, To,
The Department of Corporate Services, The Listing Compliance Dept.
BSE Limited, Mumbai National Stock Exchange of India Ltd, Mumbai

BSE Script Code: 544081 NSE Script Symbol: JYOTICNC

SUB : Submission of Transcript of Earning Call.

Respected Sir/ Madam,

Pursuant to provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a transcript of an earning call held on Thursday August 07, 2025, is submitted and enclosed herewith. Further the same is also available on website of the company at https://jyoti.co.in/investors/announcements/investor-presentation/ .

Kindly take the same on your records.

Thanking You,
For Jyoti CNC Automation Limited

____
Maulik B. Gandhi
Company Secretary and Compliance Officer

Encl.: Stated As Above.

"Jyoti CNC Automation Limited
Q1 FY '26 Earnings Conference Call"
August 07, 2025

MANAGEMENT : MR. PARAKRAMSINH JADEJA – CHAIRMAN AND MANAGING DIRECTOR – JYOTI CNC AUTOMATION LIMITED
SGA – INVESTOR RELATIONS ADVISOR

MODERATOR : MR. HARSHIT PATEL – EQUIRUS SECURITES

Moderator: Ladies and gentlemen, good day, and welcome to Jyoti CNC Automation Q1 FY '26 Earnings Conference Call hosted by Equirus Securities Private Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company and may involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is recorded.
I now hand the conference over to Mr. Harshit Patel from Equirus Securities. Thank you, and over to you.
Harshit Patel: Thank you. Good evening, everyone. On behalf of Equirus Securities, I welcome you all to the first quarter FY '26 Earnings Call of Jyoti CNC Automation. We are pleased to have with us Mr. Parakramsinh Jadeja, Chairman and Managing Director of the company. We will have opening remarks from Jadeja sir, followed by a Q&A session. Thank you, and over to you, sir.
Parakramsinh Jadeja: Thank you, Harshit. Good evening, everyone, and a very welcome to our first quarter FY '26 earnings conference call. Along with me, I have a senior management team and SGA, our Investor Relations Advisor. Results and presentation have been uploaded on the Stock Exchange. I hope everyone has had a chance to go through the same.
I will begin my remarks with a brief update on economy, followed by a key operational and financial highlights for first quarter FY '26. The global economy is going through a tough time. Many developed countries are still dealing with high inflation and slow growth. There is also uncertainty due to a new tariff and trade-related issues. But India continues to stand out. Our economy is expected to grow at 6.4 percentage in both FY 2025 and 2026, which makes us one of the fastest-growing economies in the world. One positive sign is the manufacturing PMI, which measures how fast the manufacturing sector is growing. In July 2025, it stood at 59.1. Anything above 50 means the sector is expanding and India has been consistently above that mark. This shows that India is becoming a strong base and a manufacturing hub for global economies. While India's overall outlook is strong, we need to keep a close eye on geopolitical situation and ongoing tariff-related situation. Since we have a manufacturing presence outside of India, we will be a better position to navigate the situation. However, it is still evolving and needs a close monitoring.
Now let me talk about Jyoti CNC. We are one of the top 10 CNC machine manufacturer in the world with manufacturing facilities in Rajkot, in France. With an annual capacity for manufacturing of over 6,000 machines, with over decades and experience and R&D, we have been able to develop world-class machine manufacturing capabilities, which is at par with the

global standards. We at Jyoti are proud to play a key role in supporting India's vision of becoming a global manufacturing hub. With our strong manufacturing capabilities and world-class infrastructure, we are well equipped to meet the growing needs of the industry.
Our machines are used across a wide range of sectors, including aerospace, defence, automotive, electronics, general engineering and many more, showcasing our ability to cater to diversified applications.
Our partnership with Huron, a global leader in high-precision machining, has further strengthened our technological edge and helped us expand our footprint across interna

tional
markets. We continue to see a steady demand for our product, both in India and globally, driven by a focus on quality, innovation and timely delivery.
Over the period, we have been able to penetrate into wide industries, including high-growth industries such as aerospace, defence and EMS. We have been able to acquire customers with high repute and have been able to add a wallet share among the marquee domestic and global clients. We remain positive on our end user industry growth and with our expertise in machine manufacturing and strong relationship across customers, we are optimistic of growing our revenues and profits going forward.
As we look forward, we remain committed to investing in new technologies building, a strong customer relationship and supporting the growth of India's manufacturing sector. Speaking of a few specific highlights, which I want to share.
In July 2025, our Board approved the purchase of 20 acres of land in Tumakuru Machine Tools Park in Karnataka. This part of our long-term growth plan, the idea is to set up support centers, technological center and a warehouse closer to our customers, especially those in electronic

manufacturing services called as the EMS sector, which is mainly based in Southern India. The strategy is to move closer to the customer cluster and diversify our manufacturing presence. Further opportunity in the EMS segment are promising. We are in active talks with the multiple customers and the initial assessment looks very promising. We are still in early evolution stage and we'll be able to share more insights once we firm up some decisions. As part of EMS-related PLI, the government has acknowledged that the companies in the entire supply chain of manufacturing will be eligible for PLI. We are in active discussion.
Nothing has been finalized yet, but we will definitely submit our proposal and await a positive responses there. We are also seeing increased inquiries from our European customers, especially from the defence and the allied sector. We are hopeful that this can in turn convert into large orders going forward.
Our current capacity utilization is close to 75 percentage. With current order pipeline and order inquiries, we will need additional capacity to cater to this high demand scenario. Our plan to increase capacities to 10,000 machines per year is in progress well and will be completed by September 2026.

Lastly, I would like to highlight that continue to follow a careful and disciplined approach when it comes to investing our future growth. Currently, we are planning to fund all the related organic capex by a mix of internal accruals and debt, and we do not envisage any need of external capital. We remain committed to maintaining a healthy financial position while making the right investment to support our long-term strategy.
Coming to the financial and operational performance for a first quarter of '26. We reported a very strong consolidated revenue growth of a 13.4 percentage. Our consolidated revenues stood at INR410 crores in the first quarter FY '26 compared to INR361 crores in first quarter FY '25. Historically, the first quarter tends to be a seasonally a soft period for our industry as order activity is usually lower during this time. Our business typically sees a strong second half of the year, and we expect this trend to continue this year as well.
Revenue split across the industries is 30% contribution from aerospace and defence, 36 percentage come from auto and auto components, 26 percentage contribution from general engineering and 8 percentage from other sectors. Our first quarter FY '26 order intake stood at INR451 crores, which consists of 33 percentage of aerospace and defence, 31 percentage of auto and auto components, 29 percentage of general engineering and 7 percentage from the others. Our current order book remains hea

lthy and well diversified, standing at INR4,412 crores,
reflecting a steady growth in customer trust. Industry-wise order book breakup stands at 39 percentage from the aerospace and defence, 19 percentage from general engineering, 17 percentage from auto and auto components, 16 percentage from EMS, 4 percentage from dyes, molds and rest coming from the other segment there.
Our gross margin for first quarter FY '26 stood at 55.9 percentage as compared to 53.2 percentage on FY '25, a growth of 270 basis points over there. EBITDA for first quarter FY '26 stood at INR100.2 crores, a growth of 6.5 percentage. Our EBITDA margin stood at 24.4 percentage this quarter as against 26 percentage in the first quarter FY '25. EBITDA was primarily impacted on account of increase in our employee cost and the same has been balanced out over the year with increase in revenue and operating leverage playing out over here.
Profit after tax for first quarter FY '26 stood at INR71.2 crores as compared to INR50.9 crores in first quarter FY '25, a growth of 40.2 percentage. Our PAT margins for the quarter stood at 17.4 percentage as compared to 14 percentage in the first quarter FY '25, a growth of 340 basis points on a year-on-year basis.
To conclude, we have made a strong start of FY '26, backed by solid revenue growth, a healthy order book and continued demand across the key sectors. Our strong manufacturing basis, focus on technology through our partnership with Huron and commitment to supporting India's manufacturing vision position as well as for the future. We remain financially disciplined with a balanced approach to investment and are confident of delivering a sustained growth in the upcoming quarters.
We may now open the floor for question and answers.
Moderator: The first question comes from the line of Manish Ostwal from Nirmal Bang Securities.

Manish Ostwal: I have a question on the current quarterly performance compared to the earlier quarter trend. So if I look at the seasonal softness of the quarterly revenue in last year, this quarter, the decline compared to March quarter is slightly higher compared to quarter 1 of last year. So can you explain anything which is impacted the more moderation of growth in the revenue compared to the seasonal pattern?

Parakramsinh Jadeja: So basically, Manishji, see, the first quarter is a little bit always softer after the stretch of last quarter. And even our reflections also, let's say, once every year all our customers are closing their financials and audit numbers and always they are reaching to again to budget approvals and getting the funds and everything. So first quarter, always in industries are like that, okay? And this is seasonally what we are seeing and things are here. There is no other than any significant change we have been addressed over here.

Manish Ostwal: Secondly, sir, like any industry where you indicated the order book in terms of end user industry. So those industry is growing faster than -- much faster than the current quarter growth rate. So in terms of yearly performance, where the revenue growth we can anticipate on a yearly basis compared to F '25, given the very strong order book position we have?

Parakramsinh Jadeja: So particularly, I will tell you this aerospace and defence area, okay, there, we are looking at a very strong wind still there, okay? And this area, we have a very, let's say, very large machines and everything that the value addition also is much better there. And we are looking further more in the coming next 2 to 3 years, this scenario is going to be happened there.

Manish Ostwal: Lastly, sir, recently filed a -- filing where you mentioned that the Board has approved purchase of 20 acres land in Karnataka. So what kind of capex -- what size of capex we have over there?

Parakramsinh Jadeja: So we have not make any final printout over there

because just it beginning. So the idea being that we would like to develop a very supportive things to our customers there basically. So we will do our tech centers. We will do our demo centers and we'll do all the supporting the qualifications and all to our customers there, okay? So we are going near to the customers for servicing support, spare parts and all like that.

So we are not looking at large anything a capex kind of a thing like that. It's just kind of a sales and service offices and the support systems to be developed over there in initial stage. And all our customers was demanding, especially on all this electronic manufacturing customers base our southern area.

So there were always the push was that you should come over near to us over here. So we are going there basically. In terms of capex, I'm not able to tell you anything today because it's not in plan. It has not been made out of that. We will see in a couple of quarters, and we'll update you on that...

Moderator: The next question comes from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah: Sir, my first question is on the other expenses, they have grown reasonably this quarter. So I was just wondering if this is a new level, other expenses that we can expect even Q4 other expenses were a little bit on the higher side. So -- and what are the drivers for this level of other expenses?

Parakramsinh Jadeja: So basically in other expenses generally, see the way we have increased our manufacturing capacity, okay? And let's say, this quarter, whatever the parts and everything we are manufacturing, we are a long manufacturing cycles are there. So in the coming quarter, these are all the components and everything is going to be consumed over there. So this is all our manufacturing activities has been increased. That's why this kind of expenses have been increased there.

Nidhi Shah: And so can we expect a similar level...

Parakramsinh Jadeja: Then it will be balanced. It will be sustained into balance there and it will be equally divided there basically.

Nidhi Shah: And also the other income this quarter is also quite high. So what is the reason for that?

Parakramsinh Jadeja: So basically, this is a forex gain came over here in terms of debtors and receivables there basically.

Nidhi Shah: How much would you be able to quantify the forex gain?

Parakramsinh Jadeja: So it's INR16 crores there. We are in a Eurozone, Okay. And euro has been appreciated very largely in the last couple of months. So that has been converted over here basically.

Nidhi Shah: Could you please call out what was your revenues and PAT for Q1? And also that we've spoken multiple times about how we want to shift most of our high-end manufacturing to Huron so that to gain a better market share in Europe. So what is the progress on that front?

Parakramsinh Jadeja: So basically, today, whatever this order intake and everything what we are seeing in aerospace and defence, this is a total area we have a client base are from the Huron side only, okay? So in terms of -- in Huron, we have done around INR70 crores as in revenue this year compared to the last year was INR67 crores there, okay? And at PAT level is close to around INR2 crores there basically.

There we have -- let's say, our new facilities are coming in operation from this month end, okay?
They have handed over and final -- everything is going on. So here, already there also, we have increased the manpower there a lot because the new facilities are going to start now. So almost in terms of expenses is INR8 crores has been add on because the people we need to be trained and to be ready with that, okay? So these are the things. Otherwise, there also, we have sustainable margins and all are very well there now.
Nidhi Shah: So given that the new factory is going to come up over the new setup, we are hiring people there. What

is the kind of revenue and PAT that we can expect from in, say, by the end of FY '26?
Parakramsinh Jadeja: So in Huron, let's say, until today, we are -- our capacity has been fully utilized, okay? So this year and still it is, let's say, 4 months, it's going to be -- it's almost gone from the fifth month is coming. It means half year is available with us. And whatever the machines we are making there, it's a long lead manufacturing machine. So we see the revenue growth on a last quarter, even for next year first quarter only to be a large growth we are able to see that.

Moderator: The next question comes from the line of Adil from ICICI Prudential Life.
Adil: I have two questions. One is what percentage of our total sale is exports to US? And the second one is that do you see any impact of this global uncertainty on EMS orders that we can get in India? Those are my two questions.
Parakramsinh Jadeja: So first of all, we -- in this today's revenue, we are not having any export sales to US there. We are mainly on Eurozone there. So US today, we are not directly as an affected any tariff time because we are just going and establishing our more sales networks in coming quarters there, basically, okay? And your second question is about EMS.
See all the situation is Today, all our customers are basically going on a very healthy growth levels and all and manufacturing is going to be in the coming times is all electronic manufacturing is going to grow furthermore. We are not seeing any adverse effect on the investment cycle.
So we are not feeling anything over that to be stopped in India today over there. In fact, there are many more customers are coming in India that I covered in my initial remarks. So we are seeing much more opportunities on this sector because this is just a beginning over here.
Moderator: The next question comes from the line of Ishita Lodha from SVAN Investments.
Ishita Lodha: For the land acquisition in Karnataka, how much have we spent only for the land?
Parakramsinh Jadeja: It's close to INR20 crores. It's a government land. The government has allotted this land, and it's a specific Machine Tool Park, okay? The Indian government has made this special park and it's been developed very specific machine tool activities over there basically. So it's a part, and it's a INR20 crores there.
Moderator: The next question comes from the line of Aniket Jain from Yes Securities.
Aniket Jain: Sir, I wanted to check that you have quite a good margin increment this year, one of the best over the last few quarters. So do you expect to maintain -- I'm talking about the gross margin. So do you think we'll be able to maintain those gross margins? And this time, it did not flow through EBITDA because of higher employee and other costs, other expenses. So once that normalizes, can we see margins increasing to probably 27%, 28%? That is my question number one.
Parakramsinh Jadeja: Okay. Basically, in terms of margin, so we are not seeing any pressures because the way we know what is our order book today, we are executing from them. So we know what is the price of the machine has been sell and we know that today's material cost and all, okay? So today, we are not seeing anything on any cost pressures there. I think we will be maintained margin growth very well in this year also.
Aniket Jain: Sure, sir. And the second one is, would you be able to provide any guidance -- revenue guidance for this year, any growth guidance or any absolute number that you are targeting for this year?

Parakramsinh Jadeja: So I'll generally have maintained the momentum. I never made a guidance, but I'll tell you one thing. We will maintain the growth trajectory nicely and momentum will be maintained there.
The way our execution will improve. See, the challenges part what we

are saying is not in
business because we are on the huge order book and still the pipes are coming bigger and bigger, okay?

Challenges still is in part of execution because the people, the way we are increasing the team
size, people and all. And this is not just commercial manufacturing activities over here. It's a
very high precision. So skill base has to be impact first. And that's the -- always in my call, I am
maintaining since last 4 calls that.
We are working more and more on to that. And based on that, our execution will improve and
we will include more and more growth to be there. In fact, all our order book, we have committed
to our customers very on a short time and all, okay? So we also are looking to be a very growth
trajectory in coming quarters to be there.
Aniket Jain: Just last one, if I can squeeze in. So due to this execution risk or the execution issues that you're
currently going through, are you saying no to any orders? Or are you deferring the orders to
probably after 2 years or after 2.5 years? So that would be my last question.
Parakramsinh Jadeja: See basically, we are not doing this kind of a thing. But yes, the customers have not been pleased,
if I commit the delivery more than 2 years. No ones are ready to wait for up to 2 years basically.
So we are also into -- so right now, whatever the things we are expanding, we are running behind
all our, let's say, the capex, what we are doing every day, we are chasing them and increasing
the people and the scale up of the people, our center of excellence are working fully, and we are
focusing on more and more to increase the team size and to better execution over there basically.
Moderator: The next question comes from the line of Mayank Chaturvedi from HSBC Mutual Fund.
Mayank Chaturvedi: Sir, just one. Firstly, on the Board meeting approval that has come in to acquire entities in USA
and China. Can you please elaborate more on this? Have you identified new entities? I mean, to
which part of your production will get cater to, etcetera?
Parakramsinh Jadeja: Thank you, Mayank. You have read the Board notes. Yes, Mayank, we took a decision to go to
China, because China is the world's largest market today, okay? And we are so cost competitive
when compared to the global market over there. And in China, Huron has a very long customer
base.
Basically, all our government customers are there, okay? And we are now aggressively looking
to expanding the geography China there. So we took a decision in this board. And in the first
phase, we would like to go and sales and services network, our own people and all.
And the second there, our existing client as well as this new area where we are entering in
electronic manufacturing. The largest consumers are sitting over there basically, okay? So it's a
great opportunity and all the customers also wanted to us to go there. So we are going there.
Mayank Chaturvedi: Is there a customer overlap between your EMS customers in India and China?

Parakramsinh Jadeja: Yes. So similar customer base also there. So we are going in.
Mayank Chaturvedi: Okay. Great to hear that. Sir, second, on your existing order book for EMS, when do you expect
that to get liquidated? And when do you expect...
Parakramsinh Jadeja: Yes, we are -- just now all my -- the customer client, okay, their supply chains have been
developing in many more plants under construction there, okay? So we have not been received
the schedule when it is to be happened. But any moment, we are looking and seeing their
construction activities and all. We hopefully, in the third and fourth quarter is going to be -- a
good liftings are going to be happened for there.
Mayank Chaturvedi: Okay. Okay, sir. And just last, bookkeeping, like you give every quarter, can you give a breakup
of the machinery sold and entry level, mid-level and higher-level machines?
Parakram

sinh Jadeja: Yes. So this quarter, we have sold 1,117 machines. And entry-level product is 994 machines, an
average of INR20.52 lakhs, okay? And mid-level is around 104 machines at 71 lakhs. And high-
end machines is 19 machines at an average value of INR5.6 crores. So last year, first quarter, we
sold 788 machines. And in terms of numbers, this quarter, we sold 1,117 machines. So this is
how a total scenarios are here.
Mayank Chaturvedi: I see the average price realization for high-end machine has also gone up significantly, I think...
Parakramsinh Jadeja: Yes. Basically, these are the long lead manufacturing machines. So some of the machines the
last year, first quarter has gone up more. This quarter, 2, 3 machines, let's say, is also is making
the impact of INR50 crores, INR60 crores of revenue. So that will come in the coming quarter.
Moderator: The next question comes from the line of Pratik Dharmshi from Union Mutual Fund.
Pratik Dharmshi: Congratulations Jadeja ji for a good set of numbers.
Parakramsinh Jadeja: Thank you, Pratik bhai.
Pratik Dharmshi: A couple of questions from my side. One on margins. Structurally, how should one see your
margins evolving over, say, next 2 to 3 years, considering you mentioned aerospace and defence
will take more share of business going ahead, which mainly will be driven by Huron. So how
should one structurally look at the margins? Will it hold around this level or there is scope for
improvement over the next 2 to 3 years' time frame?
Parakramsinh Jadeja: Yes. So again, in my answer I've given you in the past, differently asked this question in the first

time, let's say, the people -- let's say, we have an order book is close to -- if today's run rate, if we see that, 2 years, okay? So the margin is clearly visible there. We are not going to down below this, basically.
Pratik Dharmshi: Understood. And the second question I missed out. You mentioned something you would be applying for some PLI What was that?

Parakramsinh Jadeja: Yes. So great, Pratik. Thank you for that. See, now the government has come out with the new -- the scheme that all the supply chain on a PLI has been eligible, okay? And Jyoti has also been identified and, let's say, approved eligible.
Let's say, we are also eligible to get this PLI scheme. And whatever the capex we are doing, okay? And then some part of it is capex, we'll see that how they have been approving and all. So there, we have one of the support systems are in a capex, they are giving us a 25% of a subsidy from the central government. And similarly, if central government is giving the x, similar amount is given by the Gujarat government there, okay?
So it's close to 25% other there. And additionally, whatever the machines and this kind of a thing, so that we are just discussing with the government there and we've not been clarified that how we can able to get the productive, let's say, the linkage incentive there.
Right now, the scheme is for the 6 percentage on the sales, but how we are going to eligibles and all that is unclear things are there. That's why not I have given the numbers to you there. But yes, we are eligible, and we have approached to the government. We will -- very soon, we'll come to know how much we are able to get the support systems over here.
Moderator: The next question comes from the line of Venkat from Mirabilis Investment Trust.
Vipin Goel: Yes. Hi, sir, thank you for the opportunity. Vipin Goel this side from Mirabilis. Sir, just one question. Given that we have these capacity constraints and we are -- we plan to like increase the capacity, how do you usually go about planning of this capacity? Like in terms of if you were to prioritize this capacity between the sectors, EMS, auto, general engineering, how does that decision basically works out?
Is it based on the margin profile of that order or the growth vi

sibility of that sector or the customer -- the bargaining power or the -- let's say, the customer concentration within that sector? So how do you go about prioritizing these 3 sectors?
Parakramsinh Jadeja: Yes. First of all, let's say, your first question about the planning. So generally, we see there is a model mix of a business there, okay? See the size of the machines are been different in every different segments. In an entry-level product, the machines also goes to a -- size of the machines also goes to aerospace. So there is no much direct connectivity on a capacity planning on a sector-wise there. It's basically a frame size of the machines basically.
What kind of machines we are able to build? What is the frame size are available? What is the biggest part we are able to do it? And that's the -- all our planning directions and lead are based on that basically. All the capacity is based on a smaller machine, medium-sized machine or a large machines basically. And all these 3 categories are being distributed over all the manufacturing sectors to be there. So that's your first question and answer to be there, okay?
What was the second? Can you repeat that so I can give you the more better...
Vipin Goel: Yes. I mean that's pretty much clear that it's largely differentiated between small, mid and large categories of the size of machines.

Parakramsinh Jadeja: Yes, it's an envelope of machine basically there.
Vipin Goel: Okay. And given the current situation, which sectors then within the 3, let's say, you see would be growing faster than the others, given the capacity constraint again. So the reason, again, I have to ask is that how much flexible are you to -- in terms of the delivery time lines of these products within sectors? So which sector would be the most, let's say, flexible if you were to, let's say, delay or postpone that delivery time line?
Parakramsinh Jadeja: Today, I have only this large machines and particularly large machines today, what the order book we have receiving -- received and going to receive there and getting more and more inquiries from the Europe now today is on a large machine. And the large machines, let's say, in terms of today is our plant capacity, it's not unfungible.
All large parts cannot be produced in a small machine there on that area, okay? So small machines, I can produce in a large assembly area, but large machines, I cannot produce on a smaller machine area. So you can consider there is a large area that we are feeling to be a

constraint to be there. Rest are fungible there, yes.
Vipin Goel: Okay. Then in that case, how to think about the growth of -- for the, let's say, next 2 years of small versus medium versus large?
Parakramsinh Jadeja: So we are -- based on this model mix and seeing the scenario, our capacity, we are expanding accordingly there basically, okay? already is plan out and we are increasing similar level to be there.
Vipin Goel: Right, sir. But which sector of these 3 -- which category of these 3 would be like, let's say, the fastest growth and...
Parakramsinh Jadeja: Let's say today, what is our 10,000 machine capacity we are expanding, okay? Even the highest growing area we are seeing in coming next 2 to 3 years is going to be electronic manufacturing. There -- and even that is more comfortable for us because this all EMS and other sectors are very fungible. So we can do with the auto, auto component, general engineering, everywhere, the same capacity will be utilized there. So full these expansions are going to come on an entry and mid-level machine there, basically.
Vipin Goel: Okay. So this 10,000 capacity would largely be split between medium and small?
Parakramsinh Jadeja: Yes, yes, yes. And that is the fastest-growing area also there.
Vipin Goel: Great, sir. Again, let's say, 50-50 broadly -- or let's say, 60-40, 60 small and 40 medium?
Parak

ramsinh Jadeja: So this additional 10,000 machine is going to be dedicated to the entry and mid-level. So before that, let's say, while we have made this 6,000 machine capacity, we have almost a large machine capacity we already increased there. And in Huron also, whatever the capacity we are expanding, it is basically for a large machine only there.

Moderator: The next question comes from the line of Sandeep Jain from Baroda BNP Paribas Mutual Fund. As there is no response from this line, we will move towards the next question. The next question comes from the line of Ashish Kumar from Ampersand Capital Investment Advisors.
Ashish Kumar: Any kind of color you can give on -- like you have said that H2 will be significantly better than Q1. But Q2, can we see a higher revenue growth compared to what we have seen in Q1? And second question is on EMS. In past few calls, we have mentioned that the supplies will start from, let's say, later part of this year. What's the update on that? And when we start supplying EMS machines, like what kind of impact it will have on our margins? Yes, those are my questions.
Parakramsinh Jadeja: So basically, let's say, always first half and second half is 40-60 kind of a thing like that, okay? And Q1 to always Q2 always to be better. Q3 is much better and Q4 is greater than. That is the way we are going ahead. So there's -- I can say this is only color, more color, I'm not able to tell you there, okay?
Regarding this, let's say, in EMS. So people have fear that, let's say, EMS as a margin is gross margin is less a competitive area. It is not like that. Overall, our entry-level product and this combination of this is, all entry-level product and EMS on a similar level only there. So it is not going to be impacted anything is while EMS execution is going to be increased there. It is on a similar set of margins to be there.
Ashish Kumar: And like our EMS supplies will start from second half that we are sticking to that? Or is there any delay in that?
Parakramsinh Jadeja: So we are also looking to be eagerly to supply them. So the facility will be ready there. Hopefully, we will start from the third quarter. We hope if someone will put up early so we can deliver them faster.
Moderator: The next question comes from the line of Sandeep Jain from Baroda PNB Paribas Mutual Fund.
Sandeep Jain: Sorry, I got disconnected last time. So just one question. I joined late, so if you can clarify that. In Huron, our capacity expansion plan was got delayed in Q4 and all. And it was supposed to get started probably by Q2, if I remember it correctly. So is it online or there is further delay? How we can look at it?
Parakramsinh Jadeja: Sandeepji, it's online. Just 3 days back, I come back from there. The facility has been finally handed over to us as a final -- now our equipment installations and everything is going on. And from September onwards, we are starting assemblies over there. We already move into there in the plant and all the activities have been started there. There is no delay.
Sandeep Jain: And revenue booking and all those things will start from Q2 or Q3 kind of?
Parakramsinh Jadeja: No, because you know that manufacturing cycle is longer there. If I start any machine assembly, it is also going to be a longer period there basically.
Sandeep Jain: So from September, if you will start assembly and all, -- okay, so probably...

Parakramsinh Jadeja: We will see it in the last quarter, some color, but better -- yes, yes, yes. You know that now...
Sandeep Jain: Yes, yes. And all the facility in Huron is a high ticket size machinery, right?
Parakramsinh Jadeja: Yes, all are high ticket size machinery.
Moderator: The next question comes from the line of Jay Shah from OHM Portfolio Equity Research.
Jay Shah: Sir, I had a question on

your overall growth rate. Do I understand correctly that you have a capacity utilization constraint till the new capacities come in. So your growth is basically back-ended basically from, say, second half of FY '26 or actually FY '27? Because if I annualize your current first quarter growth rate even at the basis of 40-60 for first half and second half, your FY '26 revenues will be around close to INR2,000 crores, which only gives you 10%, 15% growth rate at the top line level for the current year.
Parakramsinh Jadeja: You are putting me in a difficult situation because I know any time to give any forward to you -- slightly. The first quarter, I'll tell you one thing. No, no, I'll tell you one thing. I'll tell you one thing. I'll tell you one thing. A little bit -- your calculation is a little bit to correct.
See, already the first quarter growth has been close to 15 percentage, close to 15 percentage, okay? And always, I said there is a second, third and all we will be having a good -- and today, our capacity is close to 6,000 machines, okay? And right now, let's say, we have based on this quarter is 1,100 machines we've done. So close to -- this year, we are expecting to almost 90% utilization and 90% utilization, you can now make and match and all. So you will reach a nice number there, okay?
Jay Shah: Okay. Okay. And do you have different margins in your segments like EMS, aero and defence? Or the margins more or less similar?
Parakramsinh Jadeja: So basically, yes -- Yes. In terms of we measure on a gross margin. So in the past also, I have been mentioned many times, maybe you have not been aware. So I'll let you know that. We have an entry-level product, what we call an entry-level product, okay?
There, we have a gross margin is close to 35% to 40% in between there. Then we have a midrange machines. There, we have around 40% to 45% to 47% of the gross margin there. And then we have the high-end machines, okay? There, we have close to 55 percentage, 57 percentage over there, okay?
Jay Shah: Right, right. And sir, how is the working capital cycle now?
Parakramsinh Jadeja: So now, let's say, last year, we have reached to close to 175 days. And this year, we are slightly going to improve from that now. So whatever the early call -- so we said that this year we will -- and we are on the way and nicely we are on the way, we are going to touch in between 150 to 160 days over there.
Moderator: The next question comes from the line of Kamlesh Bagmar from Lotus Asset Managers.

Kamlesh Bagmar: Sir, if I see like last year, like we had an EBITDA per machine of roughly around INR12 lakh. And if I see this quarter, like we have done on the gross margin, INR20.5-odd lakh, which is down 16% year-over-year. So can it be the case that in order to push our volumes, we may take a hit on the margins and the margins could be much lower, which we were expecting around INR12-odd lakh? So just a quarry on that.
Parakramsinh Jadeja: Less you are the only person is able to reach out to a per machine like that. So basically, margin, I say that as a combined EBITDA level margin, we are going to have to close to, let's say, this year in first quarter itself is 24.4%. And it's come down 1.5 percentage and that's only due to the people increase in the last 1 year, okay? So we are comparing to last year first quarter to this quarter, okay? And almost INR15 crores of additional the manpower cost we have incurred from last year first quarter to this year first quarter.
This is the only difference has been come over here. And that's how we are able to maintain. Number of machines, model mix may change, okay? Sometimes we make larger machines with less volume. Sometimes we make more machines with less value, but number of machines to be more. We are on a track to maintain on an EBITDA level, and we will be on that basically.
Kamlesh Bagmar:

Sir, I was just referring to the gross margin. So it's down 16% year-over-year in rupee terms. So last year, it was INR24.5 lakh and it is now INR20.5 lakhs.
Parakramsinh Jadeja: You are calculating per machine, basically.
Kamlesh Bagmar: Yes, yes, per machine.
Parakramsinh Jadeja: Yes. So basically, the per machine is not in parameters because this quarter, the number of machines we made more, that's why the per machine average is INR36.72 lakh. So end of the year, we will be having, let's say, if I reach to a INR50 lakh average. So automatically, it will be

set right over there, okay?
Kamlesh Bagmar: But sir, do we expect like, say, last year, it was INR44.6 lakhs. So do we expect...
Parakramsinh Jadeja: No, some quarter, let's say, in this quarter, this -- what I told you around 2, 3 machines has been coming on in next quarter more. The value of the machine is very high. So you will see the next quarter maybe or third quarter maybe more jump, okay?
Kamlesh Bagmar: And sir, lastly, you had -- like you are not -- you are not giving us a guidance and you have maintained that for the last -- many of the con calls. But as you are saying that you will maintain the momentum. And over the last 3 years, we have grown 35-odd percent CAGR. So what do we see? Like, would we be able to maintain that particular momentum? So I'm just sting to that particular part.
Parakramsinh Jadeja: So basically, I said we will maintain the momentum. It means we maintain the momentum. It's very clear.
Kamlesh Bagmar: No, but like on...
Parakramsinh Jadeja: There is a great opportunity in front of us, definitely, we will maintain the momentum.

Kamlesh Bagmar: Okay. Okay. And lastly, sir...
Moderator: Sorry to interrupt, Mr...
Kamlesh Bagmar: Just a follow-up to that. Sir, you have clearly articulated that you are not going to have any external capital. So does it mean that there will not be any fundraising to fund the...
Parakramsinh Jadeja: No, we are not going to come to take any capital on the market in my, let's say, organic growth. What I say is an organic growth, okay? So let's say, today, we are growing organically in the next 2 years. So there is no need of extra fund because our all internal accruals and our cash flows and everything you will see improving in the coming quarters very nicely. So we are able to fund it very well our own growth over here and there.
Moderator: The next question comes from the line of Depesh Kashyap from Invesco.
Depesh Kashyap: Sir, I just wanted to understand how to think about the capacity and capacity utilization. So as I understand, we have 6,000 machines capacity right now. So that means 1,500-odd machines per quarter, right? But this quarter, we did around 1,100-odd machines. And you talked about...
Parakramsinh Jadeja: 75 percentage.
Depesh Kashyap: Yes. So my question is like you talked about that you have capacity for small, mid and large machines, which are not fungible. So based on your order book, what kind of capacity utilization can we reach? Because we were already at 90-odd percent in the last quarter. Has the order book kind of changed? Because I think you have done more auto and general engineering this quarter. So how should we think about going forward in the remaining 9 months?
Parakramsinh Jadeja: Yes, nicely -- let's say, I'll hear you one thing that -- what I say that many of the machines, large machines, my manufacturing time is longer, okay? So sometimes it's not falling into a quarter-on-quarter then, okay? Sometimes, let's say, in this month as June has been not finished some machines and falling into July there, okay? So definitely, that kind of things will -- and let's say, some of the large machines manufacturing time is 12 to 15 months.
So coming on to direct in production, so it's not directly measurable quarter-on-quarter, basically, okay? So that's the challenge. I'

m not able to satisfy you there. But -- end of the year,
let's say, we see that we will reach 90% utilizations over here. And that's why I are on track there completely.
Depesh Kashyap: Okay. Understood. Understood. And then your capacity are going to come in September '26, that is on track right now. There is no further delay.
Parakramsinh Jadeja: Absolutely. There is no delay. We may hope we can do something better, but...
Depesh Kashyap: And there is no delay at the customer end also, they are also on track with their...
Parakramsinh Jadeja: Absolutely. Already, we have taken orders, and we want to execute it there very fast...

Depesh Kashyap: Understood, sir. Secondly, I think in the Board decision, you have taken a decision to set up acquire entities in US and China. So it is just a sales network or you are going to set up a manufacturing also there? Like any thoughts around that?
Parakramsinh Jadeja: So right now, in the first phase, we are looking to be set up the sales and services there. And then if we required to have some more, let's say, the opportunity there and to do some assembly plant over there, the way we have -- all the components have been manufactured, subassembly done over in India and very near to customers in Europe, the way China and the US also. And if the US increase the tariff and the opportunities are people are moving there for manufacturing,

we'll do some small assembly and then maintain a good momentum there.
Depesh Kashyap: Okay. But the sales network, you may not acquire, right? That is like 1 or 2 people you can put...
Parakramsinh Jadeja: No, no, no. We are going to increase only sales network right now. There are not acquisitions or not a company, not any large capex on kind of any like that.
Depesh Kashyap: Understood. And lastly, sir, the total capex that we are supposed to do this year and the next year was how much, if you can just remind us?
Parakramsinh Jadeja: So basically, our capex, what we have decided is close to INR400 crores to INR450 crores -- INR450 crores. That's the only right now, it's the things are going on there.
Depesh Kashyap: And this will be done by September 2026, that is what...
Parakramsinh Jadeja: September 2026. We will do before that basically. But the last date 2026.
Moderator: The next question comes from the line of Priyesh Babaria from Mahindra Manulife Mutual Fund.
Priyesh Babaria: Sir, just wanted to ask on -- just like you mentioned the gross margin with respect to, let's say, based on the level of machines entry mid or high. Would you be able to throw some color on as per the end user industries?
Parakramsinh Jadeja: See, I will tell you in terms of an entry-level product and let's say, the value, what I say is an entry-level product is up to INR50 lakhs, okay? So it's not like that as an end users are fit on always in these three categories, some industries like that. Every industries are having all 3 kind of products are required there, okay? Largely, I can say only one thing today, and that is today there, aerospace and defence are all are in a high-end machine there. Rest -- but in aerospace and defence, we have an entry-level product also there as an industry-wise there, okay?
There are some noncomplex parts are the machines and they use the entry-level product there, okay? I'm not able to -- because all the area has not been specific based on the industry spectrum there.
Priyesh Babaria: Understood. Understood.
Parakramsinh Jadeja: And I'll tell you one thing that we are so diversified, okay, we have close to now 14,000-plus customer base now, okay? To explain you to all my investors like you and all people, I have put into this main category and combine them, okay? But there are many manufacturing areas, okay,

like today, the railway is one of the biggest growing a

rea for us, okay? Like a medical implant is going to be one of the biggest area for us there, okay? So that's all our feel are under other categories. So there are many of these kind of things are there in subcategories to be there.
Priyesh Babaria: And we have also a second question is on we also hired 2 people, which is basically a senior management personnel. This is with respect to US and China only or something how...
Parakramsinh Jadeja: So I'll tell you that the way we are growing, so we are making our management bandwidth is we are increasing, okay? So two years back, we were at less than INR1,000 crore company, and we are growing now every year, 30 percentage, 35 percentage. So let's say, strategy and operations are two different areas. So today, everything was in one basket over here. So we have made one vertical on a strategy.
So one of the gentlemen we have hired, he looks to take care about the entire strategy there. Another person we have hired into operation that is on operation head over here. That's on the manufacturing and looking to. And many more people we are still taking in the near term to expand our management bandwidth...
Moderator: Ladies and gentlemen, due to interest of time, that was the last question. I now hand the conference over to management for closing comments. Thank you, and over to you, sir.
Parakramsinh Jadeja: Thank you very much to all of you for joining us today. I hope we have addressed all your questions. We remain committed to keeping the investment community informed with regular updates on any development in the company. For any further information or inquiries, please feel free to reach our -- to reach to us as well as our SGA, our Investor Relations Advisors to be there. Thank you very much to all of you.
Moderator: Thank you. On behalf of Equirus Securities Private Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

JYOTI CNC AUTOMATION LIMITED
CIN: L29221GJ1991PLC014914
Regd. Off.: G – 506, Lodhika GIDC, Vill.: Metoda,
Dist.: Rajkot – 360 021. Gujarat India .

Date: November 17, 2025

To, To,
The Department of Corporate Services, The Listing Compliance Dept.
BSE Limited, Mumbai National Stock Exchange of India Ltd, Mumbai

BSE Script Code: 544081 NSE Script Symbol: JYOTICNC

SUB : Submission of Transcript of Earning Call.

Respected Sir/ Madam,

Pursuant to provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a transcript of an earning call held on Monday November 10, 2025 is enclosed herewith and the same is available on website of the company at https://jyoti.co.in/investors/announcements/investor-presentation/ .

Kindly take the same on your records.

Thanking You,
For Jyoti CNC Automation Limited

____
Maulik B. Gandhi
Company Secretary and Compliance Officer

Encl.: Stated As Above.

"Jyoti CNC Automation Limited Q2 & H1 FY '26
Earnings Conference Call"

November 10, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10th November 2025 will prevail

MANAGEMENT : MR. PARAKRAMSINH JADEJA – CHAIRMAN AND
MANAGING DIRECTOR , JYOTI CNC AUTOMATION
LIMITED
MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES

Moderator: Ladies and gentlemen, we welcome you all to the Q2 and H1 FY '26 Earnings Conference Call of Jyoti CNC Automation Limited, hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company and may involve risks and uncertainties that are difficult to predict.
Now, I hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.
Mohit Kumar: Thank you, Shloka. Good evening, everyone. On behalf of ICICI Securities, we welcome you all to Q2 FY '26 Earnings Conference Call of Jyoti CNC Automation Limited.
Today, we have with us from the management, Mr. Parakramsinh Jadeja, Chairman and Managing Director. We will start with the opening remarks from the Management, followed by a Q&A session. Over to you sir.
Parakramsinh Jadeja: Thank you, Mohit. Good evening, everyone, and a very welcome to our Q2 and H1 FY '26 Earnings Conference Call.
Along with me, I have a Senior Management Team and SGA, our Investor Relations Advisors. Results and presentation have been uploaded on the stock exchange. I hope everyone had a chance to go through the same.
India is currently witnessing a strong capital investment cycle, supported by favorable government initiatives such as PLI schemes and various state and central programs that encourage manufacturing. These efforts are reshaping the country's industrial landscape.
While India has traditionally been known for its strength in the service sector, the last decade has marked a clear shift with the growing focus on becoming Atmanirbhar and building domestic manufacturing competitiveness. This momentum is particularly visible in sectors like defense, electronics manufacturing services, semiconductors, and automotive, where the capacity creation and technology investments are accelerating.
In this environment, the role of mother machine manufacturers, those who build precision machines that in turn produce other machine tools, becomes especially important. As industries expand, the need for high-quality CNC machine tools rises significantly.

Today, the Indian CNC machine tool market is estimated around close to US$3.5 billion in annual demand. Yet, nearly 60% of this requirement is still met through imports. This highlights both a challenge and meaningful opportunity. India must reduce dependency on external suppliers and develop strong domestic manufacturing capabilities in these strategic segments.
At Jyoti CNC, we see ourselves at the center of this transformation. Our vertically integrated manufacturing setup, strong in-house R&D, and deep understanding of high-growth industries give us a clear edge. We not only design and manufacture advanced CNC machines, but we do so with precision, reliability, and cost competitiveness suited to global standards.
Our acquisition of Huron, a global leader in high-precision machining, has further strengthened our technological edge and helped us to expand our footprint across international markets. Over the years, this strong foundation has allowed us to expand across a wide range of industries, including high-growth sectors such as aerospace, defense, and EMS. We have built relationships with customers of high reputation, both in India and overseas, and have steadily increa

sed our
wallet share with marquee clients by delivering reliable performance, precision, and service supports.
We believe this is our moment, not just to grow as a company, but to contribute meaningfully to India's journey of industrial self-reliance. By building world-class machines in India, for India, and the world, we aim to be among the leading machine tools manufacturers globally.
Now, let me share what we are doing at Jyoti CNC to prepare for the next phase of our growth:
1. We believe that our people are the heart of our progress. As we scale up, we need more than 1,000-plus skilled engineers in coming years. To support this, we are continuously investing in training, upskilling, and grooming our workforce. We are also setting up our own training institute to develop talent in-house so that our people grow with the company and company grow with the people.
2. As announced, to meet the rising demand we are seeing from both traditional industries as well as new age sectors, we need to expand our manufacturing capacity

based on our current order pipeline and market outlook. We are scaling our production capacity from 6,000 machines per annum to 16,000 machines per annum by September '2026. This will ensure that we are ready to serve customers quickly and efficiently without compromising on quality.

3. As I mentioned in the previous call, recent geopolitical developments have led to higher demand from defense and allied sectors from European customers. We have been engaging closely with these customers and recently participated in a major global exhibition called the EMO in Germany, where the sentiments and outlook were very positive.

In summary, we are expanding capacity, strengthening our talent base, deepening our capabilities, and preparing to serve a much larger and more global customer base. We remain financially disciplined and further focused, and we are confident of delivering a sustainable growth in years to come.

Coming to the financial and operational performance of Q2 and H1 FY '26 :

We reported a strong consolidated revenue growth of 17.9% for the quarter, standing at Rs. 508 crores. Our performance for this first half of the year was also strong, with consolidated revenue of Rs. 918 crores in H1 FY '26 compared to Rs. 792 crores in H1 FY '25, reflecting a growth of 15.8%.

In terms of revenue contribution across the industries in Quarter 2:

36% came from aerospace and defense, 26% from auto and auto components, 21% from general engineering, and the remaining 17% from the other areas. Our order intake for Q2 FY '26 stood at Rs. 619 crores. This includes 44% from aerospace and defense, means Rs. 272 crores, 23% from auto and auto components, Rs. 142 crores, 22% from general engineering, Rs. 136 crores, and 11% from the other sectors. The capacity utilization for Q2 FY '26 was 88%.

Speaking of our current order book:

It remains healthy and well-diversified at Rs. 4,546 crores, reflecting steady demand and continued customer confidence. The industries-wise breakup is as follows: 40% of aerospace and defense, 20% of general engineering, 17% of auto and auto components, 15% from the EMS, 4% from the die and mould, and balance from the other sectors.

Coming to the margin:

EBITDA for Q2 FY '26 stood at Rs. 124.6 crores as a growth of 17% compared to the same period last year. EBITDA margin was 24.5%, which is broadly in line with our last year, primarily due to the increase in employee expenses and other expenses, but still it is in line with our near-to-guidance over there.

Profit after tax for Q2 FY '26 stood at Rs. 85.5 crores compared to Rs. 75.9 crores in Q2 FY '25, reflecting a growth of 13%. We believe we are in a strong position to build on this momentum. The industry opportunity is large. Our order book is healthy, and our capacity expansion and talent development efforts are progre

ssing well.

With our vertically integrated manufacturing capacities, strong R&D focus, and expanding presence across high-growth sectors, we are confident of strengthening our leadership in the Indian market and growing our footprint globally. We remain committed to discipline execution, customer trust, and building a world-class machine in India for India and the world.

We may now open the floor for questions and answers.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question comes from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Sir, firstly, on our capacities, you have mentioned that our overall utilization currently stands at about 88%.

Parakramsinh Jadeja: For this quarter.

Harshit Patel: For this quarter, yes, sir. And our expansion from 6,000 machines to 16,000, that will become operational sometime in September '26. So, in this interim period of three to four quarters, how do we plan to grow meaningfully, given that we have such a huge order book?

Parakramsinh Jadeja: Yes, so that is the only constraint today, Harshit, with us. And we are trying to, let's say, optimize all our processes and everything and trying to stretch. So, today, this quarter, we have reached 88% of utilization, and the next two quarters, we will have something a little bit more than our capacity,and we will grow more the capacity over there. But until the full capacity will come into our utilization, we have to wait for the furthermore growth over there.

Harshit Patel: Sir, secondly, our order intake momentum has continued in the second quarter as well. And for the first half of FY '26, we have received almost Rs. 425 crore worth of orders from aerospace and defense alone. So, could you explain where these orders have come from? And out of these Rs. 425 crore, what would be the India contribution, and what would be from Europe and other geographies? And sir, just a follow-up to that, given that we are about to complete our de-bottlenecking exercise at Huron, and we have kind of doubled our production capacity over there, if you can give us the execution roadmap over there?

Parakramsinh Jadeja: So, Harshit, basically, out of these Rs. 425 crores, the first time we were discussing all the time to, , the India is coming in our kitty more and more of that, So, in these two quarters, and particularly in the last quarter, we have received close to Rs. 180 crores worth of orders only from the Indian defense area there, all our ordinance factories and all, and rest others are, we have global customers from Europe, even from China, even from Turkey, and mainly from the Germany. But the larger component has come from the Indian domestic player over here. So, this is about the order book intake to your first question.

Regarding the second question is the Huron facility has been started on now. It started our operational from September. And we will see the witnessing over there on a revenue conversion will come on the last quarter largely over there because the process time of assembly of the machine is close to four to six months. So, first batch of production is already on the floor, and we have started. So, it is going to be executed there. All this capacity will be utilized and everything. So, we will see revenue kicking in from the last quarter of this year, it means the

next quarter and then following the next year completely, we will come into a full-fledged utilization over there. Hope this is in line with your questions.

Harshit Patel: Yes, sir. Thank you very much for answering my questions. I will come back in the queue.

Moderator: The next question comes from the line of Aniket Jain from YES Securities. Please go ahead.

Aniket Jain: Hope you are doing well. Actual

ly, I wanted to check on there is a material increase in employee costs this quarter. So, I believe that it is mainly due to the expansion plan that you are currently undergoing. So, when do we plan to complete this hiring program that you are currently undergoing? That is question one.

Aniket Jain: So, when we will be completing the hiring program? So, when will you stop hiring additional employees?

Parakramsinh Jadeja: So, Aniket, we have started hiring last year. And gradually, every quarter, you see this, our manpower cost also is rising. Because already, based on the next year capacity, we are looking at the people in our factory one and one and a half years back, today, we have already hired the people. Still, we are hiring, but not much. Almost 80% to 90% people are already on the roll there now.

Aniket Jain: And sir, the second question would be on the EMS revenue. So, I see that this time you have booked about Rs. 25 crores, Rs. 30 crores of revenues in EMS. So, have the deliveries resumed now? Or will these continue going forward? And what is the plan to and when will this order backlog be fully delivered?

Parakramsinh Jadeja: So, basically, in our last call also, I was discussing that it has been started slowly, and we are expecting to grow in the last quarter. Third quarter also will be some of the things like that, but the larger we are expecting from the last quarter execution will be there.

Moderator: The next question is from the line of Anuj from Kotak Securities. Please go ahead.

Anuj: Congratulations on the good set of the numbers, I just wanted to understand what are the kind of volume growth that we are seeing in Fiscal ‘26 and for the full year as well?

Parakramsinh Jadeja: So, generally, we don't, , talk on the numbers directly. We don't give this kind of a guideline directly on that on a forward-looking. But let's say the growth momentums are going to be maintained. And usually, our tradition into the first half and second half more or less is a 40-60 kind of a ratios are there. So, always the third and fourth quarter is going to be the highest executions we are looking in terms of numbers over there for our traditional industrial practices on this manufacturing of machine tools there.

Anuj: And sir, on the plus side, our margins are one of the best in the industry. To what extent are we vertically integrated to have achieved these kind of margins?

Parakramsinh Jadeja: So, basically, we are fully vertically integrated in terms of our manufacturing side. It is on the cost side. Let's say we do our castings. We do all critical part machining. In a machine tool, the most critical assembly is generally the spindles, turrets, the rotary tables, pallet changer, tool changer, and many of this precision and sheet metal manufacturing and all like that.

Generally, the industries, these kind of high-end assemblies and all people are importing from the Europeans and Japanese areas like that. There, in Jyoti, we are highly integrated. So, that's the adding, the value additions we are reaching over here much better from the industry standard. As well as our, let's say, the application point of view, we do a lot of tooled-up machines, we do a lot of customer-centric machines and supporting to the customers. There, we are able to do value additions.

And third is, let's say, the product mix. So, we are having a very large product baskets and variety of products, the machine value, the minimum machine value in our product basket is Rs. 10 lakhs. And the biggest machines I am supplying is to Rs. 20 crores. So, this kind of a product mix is allowing me to have a better margin compared to the industry standards there, what the people are having there.

Moderator: The next question comes from the line of Yash Patel from Kotak AMC. Please go ahead.

Yash Patel: Sir, I wanted to ask you a question

about the HUMA control panel that you are developing. So, what would be the margin impact after this panel has been developed? And are you going to use this panel in the extended capacity of 16,000 and all the 16,000 machines that you are going to develop?

Parakramsinh Jadeja: Thank you, Yash. See, HUMA is our basically operating systems. We call it HMI. It is a front-end for my customers there. So today, this HUMA is in top of what we bought a controller from Fanuc or Siemens. So, we have made this HMI common for all these two and make more user-friendly to the customers.

In the future, yes, we are going to develop our own controllers, drives, and motors. That is already we are in progress. We are under the PLI scheme. We are also going to be applying for that. With that, once all the hardware and software are completely integrated with the HUMA, and we are going to develop this, yes, we are going to utilizing this all from all our 16,000 machines. And we are expecting gross margin to be increased close to a 4% to 5% over there.

Moderator: The next question comes from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar: Sir, would you please give the breakup of machines sold in this quarter and along with the revenue?

Parakramsinh Jadeja: What? Kamlesh, bhai?

Kamlesh Bagmar: Machines sold during the quarter with the breakup of revenue.

Parakramsinh Jadeja: One moment, please. So, we have sold 1,315 machines in Q2 at an average realization of Rs. 38.2.

Kamlesh Bagmar: And sir, breakup between, let's say, mid-high and entry-level along with the revenue?

Parakramsinh Jadeja: So, value-wise, Rs. 252 crore. Machine-wise, 1,237 machines. It is an entry-level product. Mid-level is close to 69. And at 69, number of machines also close to 69. Average value is Rs. 1 crore. A high value is 164 machines with the machine is 9, and average machine is Rs. 18.26 crore. So, total is 1,315. This is the breakup.

Kamlesh Bagmar: And secondly, on the employee cost, employee cost has risen by roughly around 43% year-over-year, 19% quarter-over-quarter. But if I see the number of employees, they are, let's say, stable for the last three quarters at 3,500 count. So, why are we seeing such a sharp increase in the staff cost?

Parakramsinh Jadeja: So basically, Kamlesh bhai, this year, we have compensated the salary increase of the people in the second quarter and it has been implemented from the first April and given all the arrears and everything. So, settle down like that. That is why the cost is you are seeing sharp rise in this quarter.

Kamlesh Bagmar: Where can we see it normalizing? And even on the other expenses side?

Parakramsinh Jadeja: So basically, now, this is normal, the cost of the manpower now. And in terms of this quarter, you have seen a little bit more expenses. This is a jump due to the two to three parameters. One is in manufacturing activities has been increased significantly, so that the cost has been increased. And that will be compensated with the next sort of dispatches on the next two quarters. And marketing, this is one of the biggest events we have participated in Germany, is the highest cost for us. So, because of that, the marketing cost has increased. These expenses are like that on this quarter.

Kamlesh Bagmar: And sir, lastly, your 10,000 machine capacity expansion. So, how that would be phased out? It would be coming in September 2026. So, how the ramp-up would be? So, over the, let's say, after a quarter from September 2026, would it get, let's say, 10,000 machines? Would it get utilized at 20%-25%? So, how the ramp-up would be?

Parakramsinh Jadeja: So, I have given you in the past also the answer similarly. This ramp-up will be, let's say, we are looking to be a growth continuation for t

he next three to four years. And we would like to maintain our trajectory between 30% to 35%. So, this will help us. We will maintain this, our growth trajectory for the next two to three years based on this expansion project.

Kamlesh Bagmar: And sir, what is our target on the machines? Let's say in this first half, we have sold roughly around 2,430-odd machines. So for the year as a whole, where do we see, let's say, 95% utilization level for the rest of the year?

Parakramsinh Jadeja: So, definitely we will cross 90% numbers. We will cross 90% plus.

Moderator: The next question comes from the line of Akshay from AK Investment. Please go ahead.

Akshay: First of all, congratulations for the good set of numbers. Sir, my first question is about Huron capacity. So, what was the Huron capacity before the expansion and what it is currently? And what kind of average realization that we have over there for one machine, for average machine?

Parakramsinh Jadeja: So, basically, the Huron in terms of the capacity, there was a €30 million to €32 million deliverables from the model mix over there. And now with this capacity expansion, we have reached out to close to €70 million to €75 million top line we are able to execute it over there based on the model mix there.

Akshay: And based on this new expanded capacity, when can we reach to 80% to 90% utilization over there in next how many years?

Parakramsinh Jadeja: So, in Huron also, we are expecting to grow year-on-year close to 30% to 35% there.

Akshay: So, at a consolidated level, we will grow by 30% to 35% for the next three to five years, right?

Parakramsinh Jadeja: Correct.

Akshay: And this year itself, we are expecting similar kind of growth in this financial year as well?

Parakramsinh Jadeja: Correct. Absolutely.

Moderator: . The next question comes from the line of Jayesh Shah from OHM Portfolio Equi Research. Please go ahead.

Jayesh Shah: I just had this one question. You are talking of 30%-35% CAGR growth, but we see that your capacity constraint for this year and perhaps first half of next year, which is why in the first half, you have grown only by 15%. So, how much is the realistic growth expectation for this year and next year? Because 30%-35% looks difficult, right?

Parakramsinh Jadeja: So, Jayesh, basically, always our first and second half is to be a little different. And based on our capacity utilization and the model mix, we are still on the track as per the delivery and the target to be achieved on the second half and this year. Because in this quarter, our Huron capacity comes in picture. So, we will see the last quarter that numbers also giving us a better add-on value to us on our revenues over there.

Jayesh Shah: So, second half we will have much better product mix, if not capacity utilization.

Parakramsinh Jadeja: Correct. And based on the total utilization, we are still on track to reach out our target what we are anticipating on this year there, , the next year is more challengeable because now the 30%-35% growth from here. But now our capacity is absolutely on track this time. And we are anticipating some of the things will start utilizing a little early there also.

Jayesh Shah: I see. But once you install the expansion by September '26, how fast can you ramp up the additional capacity?

Parakramsinh Jadeja: Basically, there are some assembly building, machine shop buildings, and everything is getting ready, basically starting from, let's say, January, February onwards. So, all the installations and everything is going to start from, a couple of months early before September there. So, there are many things that today is our bottleneck. It is going to resolve. So, we see the second quarter will be a good quarter for us to utilize some of the capacity over there. And then gradually, we will ramp up on the third and fourth quarter of the

next year there basically.

Moderator: The next question comes from the line of Aniket Jain from YES Securities. Please go ahead.

Aniket Jain: Sir, I wanted to check that the other financial assets have increased materially in this H1 from Rs. 538 crores to almost Rs. 673 crores. I believe a good portion of that is the unbilled revenues. So, what is driving this increase in unbilled revenues and why we are not able to bill these to customers and then show that as trade receivables?

Parakramsinh Jadeja: So, you see that this quarter, the numbers of 9 machines and 164, these are the very large machines. It is partially built up like that. And now we are enhancing the capacity over here as well as Huron there also now started there for the large machines there. So that you will see now we reached to a stabilization level and then regularly month-on-month sales will come on the pictures over there. So, pipes are being filled, and this is all our five-axis and large machines cycles. There the cycles are very long, more than one year like that.

Aniket Jain: So, these machines are usually billed at any milestone levels, or are these three or four months

level? At what interval?
Parakramsinh Jadeja: Yes. Is in milestone level there.

Aniket Jain: It is at milestone level. So, second question would be on that you currently have an order backlog of about Rs. 4,500 crores, which I believe you should be able to deliver it between 18 to 24 months or so. So, post the capacity expansion, is there a possibility that we will see accelerated deliveries post September or how is the delivery timeline structured out of this Rs. 4,500 crores of order backlog?
Parakramsinh Jadeja: Basically, this Rs. 4,500 crore backlog, once my delivery will start furthermore, okay, we will be able to receive furthermore orders. Right now, we are tied up and we are not able to give the delivery for this kind of a special machine less than two years like that. Once that will be improved, we will see furthermore upside on that in order book side also. But that we are able to see from next year onward. Once my customers also have been confident about the delivery, we will be able to increase over there basically.
Aniket Jain: And sir, probably if I can squeeze in one last question. So, when we are talking about the international markets, mainly the European markets, is it more skewed towards the aerospace side or towards the defence side? Because I believe maybe the growth dynamics are slightly different for both the end markets. So, how should we think about which end market are you delivering or serving more?
Parakramsinh Jadeja: Basically, my customers are common. Let's say these customers, let's say General Electric, GE is manufacturing aerospace as well as for defence. So, we don't know what is the exactly output is going from where there. But largely in Europe right now, all the French companies and everyone, those of our customers are mainly on the defence side there.
Aniket Jain: Mainly defense there. Understood, sir. That was it from me.
Moderator: The next question comes from the line of Keshav Bharadia from Wallfort Financial Services. Please go ahead.
Keshav Bharadia: Sir, congrats on being able to generate a positive cash flow at the end of H1 compared to last year and Q4 of last year. Sir, just given the nature of the business and our working capital cycle, what gives us the confidence to be able to sustain cash flow momentum going forward, possibly by the end of the year and once our incremental capacity goes live next year?
Parakramsinh Jadeja: Yes, Keshav, thank you very much. You pointed out a nice topic there. Now we entered based on our line on a cash flow and we are looking for the more better momentum from here to end of this year. We will see much better numbers in terms of operating cash flow in coming quarters there.

Keshav Bharadia: Sir, another question I had was in regards to the recent land that we acquired in Tumakuru in Karnataka. Is that for the next leg of growth or are we looking at something else over there in terms of once our entire 10,000 capacity goes live, are we looking for further increase in capacity over there or just?

Parakramsinh Jadeja: This question I have answered last time to some another guy. I will give you the answer to you here. Basically, our southern customers, South India customers, are very high on this electronic manufacturing and all. We are going near to them to support in terms of a spare part, in terms of their application. So, we are going to have demo centers and warehouses and quick service supports to them basically. We are not looking to be any furthermore large capacity expansion over there, but rather we are going near to the customers to have some small assemblies and to have some fixturing, some solutions, and R&D activity near to my customers over there basically.
Keshav Bharadia: Sir, I also saw in our investor presentation that we have plans to enter the semiconductor segment two years down the line. But could you throw some color as of today what our plans are for that segment and how we are looking at creating a presence over there?
Parakramsinh Jadeja: Basically, we are in purely a capital, let's say, the machine manufacturer. Our focus area is to build the machines. Right now, our R&D team is focusing and working with the semiconductor manufacturing machine builders and all. We are making some of the equipment for them. We are designing and developing one or two products right now. It is a very high precision zone for all of us. This is the first time it is happening in India also. So, we are learning and we are expecting within two years it should be commercialized over there in terms of manufacturing processing of this semiconductor there.
Moderator: The next question is from the line of Depesh Kashyap from Invesco. Please go ahead.
Depesh Kashyap: Sir, what is the total CapEx that you are looking at for this year?
Parakramsinh Jadeja: So, CapEx, what we have planned for a total Rs. 450 crores. And I think largely we will finish,

let's say, 3-4% we will finish this year itself.
Depesh Kashyap: Sorry, how much percent?
Parakramsinh Jadeja: Let's say almost 75% to 80% we will reach this year itself.
Depesh Kashyap: And pending will be next year?
Parakramsinh Jadeja: Next year, first half. Yes. First quarter itself.
Depesh Kashyap: And sir, the total capacity utilization that you have given in the first half is around 80% odd and you are targeting around 90% over the full year. So, that will come to around 100% utilization in the second half, right? Is that even possible? Just wanted to understand how much is the realistic capacity utilization that you can do in a quarter?

Parakramsinh Jadeja: Basically, this first half average will reach 81%. And definitely, in the second half, we will reach to almost 90% to 100% in between there. We may hit to, right now, we are looking to be on the last quarter, we will hit more than 100% there.
Depesh Kashyap: So, 100% is possible, you are saying?
Parakramsinh Jadeja: Yes. Let's say in the last quarter, everybody's pull and push are like that. So, we are able to execute those things.
Depesh Kashyap: Sir, based on the order book that you have given the number, right, in crores you have given that, if I just roughly do the math, that is coming out to be 11,000-12,000 machines that you have to deliver. So, can you give a timeline of what is the execution timeline that you have to give? And with the new capacity coming in next year, how much can you deliver in next year if you can give just a broader understanding?
Parakramsinh Jadeja: Next year, we ha

ve already committed to our customers to close to 10,000 machines.
Depesh Kashyap: 10,000 machines.
Parakramsinh Jadeja: Yes. That is our commitment.
Depesh Kashyap: Do you think it is possible? When your new capacity is coming in September, do you think you can be able to do that? Because 10,000 is a very big steep jump from the current delivery that we will do this year, right?
Parakramsinh Jadeja: I think that is our commitment and we try to achieve that. But I think around in between 8,500-. 9,000 is definitely we are going to show there.
Depesh Kashyap: Sir, lastly, though, we are happy to see the positive operating cash flow, but still a very small number, right? What is your target for this number for the full year? What are the things that you are doing to improve this operating cash flow?
Parakramsinh Jadeja: Depesh, it is just the beginning.
Parakramsinh Jadeja: In last year, let's say it was minus Rs. 100 crores, 100 plus. So, this first half, we have crossed Rs. 50 crores. Incrementally, it will be more than this basically.
Depesh Kashyap: Sir, last year the growth was also 35%-40%. This year first half, our growth is around 15% odd. So, that is what I am asking. Though the growth slowed down, generally, operating cash flow should ideally improve, right? But anyway, you are saying the second half we should see a meaningful improvement in the numbers that you are saying?
Parakramsinh Jadeja: Correct. Meaningful improvement.

Moderator: The next question is from the line of Nishant from Kotak AMC. Please go ahead.
Nishant: Just a couple of quick questions, sir. One, alluding to my colleague's point on the HUMA controller, so what is the timeline you are looking at for kind of coming out with that controller? When can we expect that 4% to 5% incremental margins in your overall financials? That is my first question, please.
Parakramsinh Jadeja: It is a little bit longer journey, but the prototype is the total we are looking to be in the next 12 to 18 months.
Nishant: Sir, currently, you were saying that you are vertically integrated. So, I just wanted to understand if a certain cost of a machine is fixed, how much of it is currently built in-house and how much of it is kind of imported?
Parakramsinh Jadeja: Still, in our total purchase, we have close to 30% is imports. Particularly, there is still, let's say, the CNC controllers, drives, motors, specific bearing elements. Some of the people are, let's say, they have given from India, but that is all our import product. Very high precision bearings and all, the hydraulic components, the pneumatic component, and basically all the sensors are coming from Germany and Japan there.
Nishant: So, 70% is in-house, 30% is imported. Correct?
Parakramsinh Jadeja: Yes.
Nishant: That's it from my side.

Moderator: Thank you. Due to time constraints, this was the last question for today's conference call. I now hand the conference over to the management of Jyoti CNC Automation Limited for their closing comments. Over to you, sir.

Parakramsinh Jadeja: Thank you all for joining us today. I hope we addressed all your questions. We remain committed to keeping the investment community informed of the regular updates on any development in the company. For any further information or inquiries, please feel free to reach out to us or SGA, our Investor Relations Advisors. Thank you very much to all of you, and have a wonderful day ahead to all of you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

JYOTI CNC AUTOMATION LIMITED
CIN: L29221GJ1991PLC014914
Regd. Off.: G – 506, Lodhika GIDC, Vill.: Metoda,
Dist.: Rajkot – 360 021. Gujarat India .

Date: February 18, 2026

To, To,
The Department of Corporate Services, The Listing Compliance Dept.
BSE Limited, Mumbai National Stock Exchange of India Ltd, Mumbai

BSE Script Code: 544081 NSE Script Symbol: JYOTICNC

SUB : Submission of Transcript of Earning Call.

Respected Sir/ Madam,

Pursuant to provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a transcript of an earning call held on Wednesday February 11, 2026 is enclosed herewith and the same is available on website of the company at https://jyoti.co.in/investors/announcements/investor-presentation/ .

Kindly take the same on your records.

Thanking You,
For Jyoti CNC Automation Limited

____
Maulik B. Gandhi
Company Secretary and Compliance Officer

Encl.: Stated As Above.

"Jyoti CNC Automation Limited
Q3 and 9 M FY '26 Earnings Conference Call "
February 11, 202 6

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th February 2026 will prevail

MANAGEMENT : MR. PARAKRAM SINH JADEJA – CHAIRMAN AND MANAGING DIRECTOR – JYOTI CNC AUTOMATION LIMITED

MODERATOR : MR. HARSHIT PATEL – EQUIRUS SECURITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Jyoti CNC Automation Q3 and 9 M FY '26 Earnings Conference Call hosted by Equirus Securities Private Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

Before we begin, a brief disclaimer. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company and may involve risk and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Harshit Patel from Equirus Securities. Thank you and over to you, sir.

Harshit Patel: Thank you. Good evening, everyone. On behalf of Equirus Securities, I welcome you all to Third Quarter and 9 Months FY '26 Earnings Conference Call of Jyoti CNC Automation Limited. We are pleased to have with us management represented by Mr. Parakramsinh J adeja, Chairman and Managing Director of the company.

We will have opening remarks from Jadeja sir followed by question -and-answer session. Thank you and over to you, sir.

Parakramsinh Jadeja: Thank you, Harshit. Good evening, everyone, and a very warm welcome to our Q3 and 9 M FY '26 Earnings Conference Call . Along with me, I have the senior management team and SGA, our Investor Relations Advisors . Results and presentation have been uploaded on the stock exchange. I hope everyone has had a chance to go through the same.

I'll begin my opening remarks with overview on the economy front followed by highlights on the company. India's economy continues to show strong growth momentum supported by healthy domestic demand and steady policy reforms that improves competitiveness a nd boost investors' confidence.

The Union Budget 2026 -'27 has reinforced this direction by focusing on long -term investment and structural growth. A key highlight of the budget is the continued emphasis on public capital

expenditure as a main driver of growth with an allocation of INR12.2 lakh crore s for FY '27, around 9% higher than the previous year.

This sustained capex push is expected to strengthen infrastructure, encourage private investment and provide long -term visibility for the manufacturing sector. The budget has also announced focus measures across se ctors Jyoti CNC is catering to.

The launch of India Semiconductor Mission 2.0 aims to expand domestic semiconductor and equipment manufacturing along with chip design capabilities, which will drive demand for high precision machining. Electronics manufacturing has been further supported through a INR40,000 crore s outlay under the Electronics Component Manufacturing Scheme helping to scale up EMS and component production.

In defense, higher capital allocation to domestic aerospace and defense manufacturing strengthened the push for self -reliance where precision engineering play a critical role. Similarly, continued policy support for the automotive and auto component sector through PLI schemes and duty reforms reinforced India's position as a preferred manufacturing hub.

On the global front as well, a greater clarity around tariffs supported by a free trade agreement signed with EU and U.S. is expected to provide a meaningful boost to our exports oriented

end
user industries.

This improvement in trade visibility should support demand across global markets and create additional opportunities for companies like ours. Overall, the current environment place both country and Jyoti CNC in a strong position driven by clear and su stained focus on manufacturing.

In this context, the role of mother machine manufacturers, companies that build a precision machine used to produce other machine tools, become especially very critical. As manufacturing activity expands across sectors, the demand for reliable higher quali ty CNC machine is expected to rise meaningfully creating a long -term opportunity for players like Jyoti CNC.

Now speaking of Jyoti CNC. As highlighted earlier, the Indian CNC machine tools market continued to be largely served through import, presenting a significant opportunity for domestic players. To strengthen our presence and capabilities and capitalize on t he opportunity, we are undertaking a large capacity expansion in India, increasing our manufacturing capacity from current 6,000 machines to 16,000 m achines by September this year.

I'm happy to announce that the capex is progressing as planned and we will be able to ramp up sooner than expected on the back of huge industry demand in our product in India and globally.

Alongside capacity expansion, we have also made investment in talent development, including upskilling our workforce and setting up an in -house training institute to build up a pipeline o f over 1,000 skilled engineers.

These initiatives form a critical part of our long -term growth strategy to deliver high precision machines across diversified sectors and support sustained growth. At the same time, R&D and

innovation remain a key strategic priority. We continue to advance our product development efforts through initiatives such as the Huma control panel along with plans to integrate proprietary controllers, drives and motors.

These steps will strengthen our product offering, technology capabilities and reduce import dependencies over a period. In parallel, we are actively exploring next generation products for high precision applications, including semiconductor equipment, whic h we believe can become a meaningful growth driver for t he company in the coming years.

In summary, we are expanding capacity, strengthening our talent base, defending our capabilities and preparing to serve a much larger and more global customer base. We remain financially disciplined and future focused and we are confident of delivering sus tainable growth in the years to come.

Now I will share with you the key updates of the company. In November 2025, we expanded our capacities at Huron, our facility in France, almost double in line with our growth plans. This expansion strengthened our manufacturing capabilities and positions u s wel l to meet rising global demand.

Huron continued to serve as a key technology hub for the company. With a strong focus on high end machines catering to global customers with the increased capacity, we are better equipped to address a growing demand from the aerospace sector and expand our global footprint.

We have commenced assembly operation at the facility and are seeing healthy ramp -up with material traction expected to reflect from FY '27 onwards. We are seeing a strong traction from defense sector both in I ndia and across global markets.

We have a healthy order book of aerospace and defense of close to 41% and around INR1,900 crores, reflecting growing confidence in our capabilities and the increasing demand for high precision machining solution in this segment.

With the ramp -up of our capacity at Huron, capacity expansion at India coming live in September 2026 and a strong growing order book across sectors; we expect the coming period to be significantly stronger supported by improved

execution, higher deliveries and sustained
demand across our key end markets.

Before I begin my update on the operational and financial performance, I would like to briefly explain the nature of our business and the reason behind our higher inventory days so that everyone has the right context.

Ours is a manufacturing business with a long production cycle and the working capital requirement is largely driven by inventory. We operate across 3 broad product categories. In entry -level machines, which are largely supplied to EMS, automobile and auto component and general engineering. The manufacturing cycle is around 3 to 6 months for mid -range machines to a low level machine. The cycle extends to about 9 months.

For large and complex machine, the manufacturing cycle can range between 12 to 18 months. Given this long build cycle, inventory naturally remain on the balance sheet for extended period. Historically, our inventory days were much higher than the current level. Over the last few quarters, through better planning, execution and process improvement; we have been optimizing our working capital cycle and seeing positive trends, in which will release and shorten the intensity of working capital requirement and we are on a trajectory of that.

Speaking of the financial and operational performance for the quarter and 9 months ended FY '26. We reported a strong consolidated revenue growth of 28.1% for the quarter standing at INR576 crores, in line with our internal expectation.

Our performance for the 9 months was also strong with consolidated revenue of INR1,494 crores in 9M FY '26 compared to INR1,242 crores in 9 M FY '25, reflecting a growth of 20.3%. With strong order book, stable economic and geopolitical situation, capacities in place and execution rigor; we are optimist ic of a stronger Q4 and FY '27.

Historically, also we have witnessed that Q4 is among the best performing quarter across the financial year and we anticipate the trend to continue this year as well. Speaking of segment revenue for 9 M FY '26: 42% came from aerospace and defense, 28% from auto and auto component, 22% from general engineering and remaining 8% from other sectors, including EMS

and dies and molds.
Our order intake for 9 M FY '26 stood at INR1,661 crores. This includes 46% from aerospace and defense, 30% from auto and auto component and 17% from general engineering. Speaking of our current order book, it remains healthy and well diversified at INR4,585 crores, reflecting a steady demand and continued customer confidence.
The industry -wise breakup is as follows: 41% from aerospace and defense, 19% from general engineering, 18% from auto and auto component, 14% from EMS and the balance from other sectors. Let's coming to the margin. EBITDA for Q3 FY '26 stood at INR155 crores, a growth of 37.3% compare d to the same period last year.
EBITDA margin were 26.8% compared to 25% in Q3 FY '25, a growth of 180 basis points year -on-year. EBITDA for 9 M FY '26 stood at INR379.4 crores, a growth of 21.1% year -on-year.
Profit after tax for Q3 FY '26 stood at INR89 crores compared to INR80 crores in Q3 FY '25, reflecting a growth of 10.3%. For 9 M FY '26, it grew by 18.5%. Lower growth in PAT is largely attributed to increased finance cost on accou nt of capacity expansion plans.
As this capacity is coming in live and will start contributing to revenue and profitability, we will see interest burden being absorbed and reduction in debt, which will enhance the overall profitability significantly. As we enter FY '27, Jyoti CNC is well positioned with stronger order book visibility and key capacity expansion, a project nearing commissioning.

With sustained demand across sectors and improving execution, we remain confident in our growth

outlook. We look ahead with optimism supported by our manufacturing scale, technology focus and long -term commitment to value creation.
We may now open the floor for question and answers.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aniket Jain from YES Securities.
Aniket Jain: Congratulations on posting really good set of numbers. So my first question is on the India, EU as well as U.S. trade deal. So I think India is reducing the tariffs at least for European Union from probably 18% to 20% to near 0 now while EU's tariffs are a lready in probably low single digit. So are we anticipating any kind of competition from European Union suppliers? What are your views on EU as well as U.S. trade deal?
Parakramsinh Jadeja: Basically I'll let you know that in machine duty today, the machines are coming from EU. This duty was only 7.5%. And all these machines our customers were importing against the exports license there. So almost every customer today, what the machines are c oming from Europe and U.S.A., it is in machine tool industries are almost at 0 duty there. So there is no significant change in terms of competition over there.
Rather, we are feeling little bit better there now because all our import content like we were importing the controller from Siemens, Germany and all; our duty was 7.5%. This is going to be 0 for us. So basically that will be a cost advantage is going to c ome to us. So we are looking very happily to see this deal there basically.
Aniket Jain: Understood, sir. And sir, for U.S., I think we had plans to set up a sales office there. So is there any progress on that?
Parakramsinh Jadeja: Basically we were just looking at the appropriate time. So let's say last 2, 3 months, we already progressed all the company registration, legalities and all is over now. And within Q1 now we are, let's say, appointing all our sales team and our tech centers and all. Hopefully, this operation will be started within the next 2 to 3 months. Very aggressively we are going ahead in U.S. there.
Aniket Jain: Understood, sir. If I can squeeze in 1 more. So we are nearing production. So basically we are nearing the capacity expansion for our Rajkot facility, but we are yet to receive any material orders for EMS. So I just wanted to check if you are anticipating any kind of orders during this quarter or maybe in Q1 of next year so that our capacity as and when it comes online, we have ready orders in hand so that it is optimum utilization. So what are your thoughts on orders as of now?
Parakramsinh Jadeja: Aniket, everyone is looking to answer of this. Basically we are fully prepared. Even our capacity is also coming up and we are fully booked with the order book of back -to-back to them. And right now we are working with many more suppliers, many more of the se manufacturers and approving their process and all. Basically all –this my future customers, they also are expanding their capacity.

They all are on an execution level there. Once their plants and things are ready, I think they need further machines and all and we are very much hopeful to get a few orders in coming quarters there.

Aniket Jain: So basically in Q4 so this quarter or maybe in Q1?

Parakramsinh Jadeja: Maybe on a Q1 there.

Moderator: The next question is from the line of Yash Patel from Kotak AMC.

Yash Patel: Sir, I wanted to ask you about the cash flow situation this quarter. Can you throw some light on what were the cash flow this quarter?

Parakramsinh Jadeja: Yes. we are on , let's say, end of the year what we are discussing in past also. So we are on a very positive trajectory on the cash flow side there. We are moving ahead very positive cash flow in a direction in Q4 there. You saw that in Q2 and half yearly, we were at break

even level,

as a positive there. Similarly we are at a similar level and we are hopefully that it will be last quarter is always to be a better quarter for us. So we are looking very positive cash flow.

Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited.

Manish Ostwal: I've listened to your initial commentary on the industry and we all understand the industry has a very strong outlook in terms of growth. But when I look at, sir, our order book position especially this year compared to the last year performance, last year FY '25 we started an order book of INR34 crores, INR38 crores and end up INR43 crores, INR46 crores, 26.4% growth.

Whereas in this YTD basis in this particular financial year, order book growth only 5.5%. So order book growth has disappointed materially. So can you make detailed comment why the order book growth is not happening and what is our current capacity utiliza tion in the business?

Parakramsinh Jadeja: See, basically now today, we have reached the order book to almost 1.5 years to 2 years. These industries are not ready to listen to us for the longer delivery period so there is not that you are able to see that numbers are growing higher there , let's say, this year our capacity utilization has touched to almost 90% now.

Once our new capacity will come in the picture and we deliver the old order book there, we will see the traction to be more over there today. And we will build a new a bulky order book on that then after only that once the capacity expansions are going on.

So today -- let's say once this is on that. Today, we are at almost INR4,600 crores is a very heavy order book and no more customers are ready to wait more than 18 -month delivery commitment there.

Manish Ostwal: So basically, sir, because of supply constraint at our end, we are not taking the new order or customers not placing new orders to us till our new capacity come on stream. That is the w ay I should actually look at it?

Parakramsinh Jadeja: Absolutely. Because if I get any new orders ,very bulk orders and all, my delivery period is going to be more than 18 months there. No customers are willing to wait for 2 to 3 years there.

So INR4,000, let's say, if you look at that, 18 -month order book is a very happy order book for our industries there.

Manish Ostwal: Understood, sir. The second question on our capex plan of the new capacity. I believe we have taken term loan of INR300 crores from Union Bank. So how much we have used it for this capacity expansion program and how much we need to spend more through term loan?

Parakramsinh Jadeja: So basically this year, you know that we have earlier announced that we are going to do INR400 crores to INR450 crore s capex and we are behind that very aggressively to finish as early as possible because today our growth are being constrained based on the capacity today now. So we have used that almost INR200-plus crores from Union Bank and we will use this financial year aggressively as soon as possible to finish the capex over there.

Manish Ostwal: Right. And the last question on the supply chain situation because a lot of components we import from Japan. So how the supply chain situation is stable, it's volatile or currency impact. Can you talk about that, please? Tha t will be my last question, sir?

Parakramsinh Jadeja: Today, our supply chain is very stable in terms of internationally, Japan and Germany are well , Supply chain, there is not much issues over there. It's a very stable supply chain we are seeing that.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, we are planning to develop proprietary controllers, drives and motors under PLI scheme equal to 4% to 5% of gross margins. Just want to understand this proprietary

like it's meaning

we are going to place CNC controllers like Fanuc and Siemens, which i s widely used in the industry. I think we are taki ng with Huma the front -end HMI.

Moving to full state controllers involve decades of cumulative software stability and server tuning expertise. I just want to understand beyond prototype, what specific milestones like we are planning to achieve under the PLI schemes, whether we are developing entirely Fanuc or Siemens and how it will reliable compared to those softwares? Can you be able to make i t reducing royalty or import cost at the component level? If you can share more details about the controller part?

Parakramsinh Jadeja: See, particularly on a journey of Atmanirbhar Bharat

Parakramsinh Jadeja: So basically for this journey of a CNC controller development and Atmanirbhar Bharat over here. See, in a decade this Japanese and German manufacturer has developed this product and they have made mastery and, let's say, today they are a driver of the worl d's total motion control over here.

Our journey is starting now, but we have now experience people, now Jyoti has completed almost 30 years plus. In Huron, we have 190 years plus experienced people are available there. So we

have a very , in terms of a drive tuning and fine -tuning the parameters and all on a control design side, we have very experienced knowledgeable people available.

Plus in our country today, very youngsters, new people and all our institutes like IITs and CMTES and all people together, we are quite confident that and we are able to manufacture , design, develop, manufacture reliable product not only the reliable product, in terms of a technological forefront over there.

So let's say today, any new technology is coming, there will always to be one step ahead in terms of a more advancement because those guys are not able to change the platform very easily once the product has been developed. So we are very much confident in terms of that and looking forward to develop one of the best controller in this earth there. I think I've given you the one part of that. What was your next question there inside that?

Balasubramanian: Sir, like if you could explain PLI scheme for proprietar y controller, drives and motors?

Parakramsinh Jadeja: So basically the Electronic Component Manufacturing Scheme, what you have already -- the government has expanded the budget also from INR20,000 crore s to INR40,000 crore. So we are eligible over here to be on a capital subsidy over there and there is a specific mark out there for capital subsidy.

The amount what has been disbursed by the granted by the central government, same amount will be in Gujarat government also. So we are expecting to be a very large number of this scheme advantage going to be received to manufacturing these controllers, drives and motors and sensors there.

Balasubramanian: Okay, sir. And sir, another part, 4% to 5% gross expansion is entirely dependent on replacing Fanuc or Siemens controllers entirely or it's reducing royalty or input cost at the component level?

Parakramsinh Jadeja: So basically these are the very high value import items. And particularly on high end machines, the cost of these controllers are very high there., So definitely we are able to , and once we are manufacturing in India and now electronics component manufacturing ecosystem also has been developing so nicely in India.

So even the microchips and all also is going to be available Made in India chips only. So we are no more dependent on future on that. So our cost controls will be very much in our hands there.

Balasubramanian: Okay, sir. Sir, my last question. We are designing products for semiconductor manufacturing machine builders. I think it requires extreme precision, even nanometer range. I just want to understand what kind of market w

e are targeting. It's majorly for like front -end fabrications or back -end OSAT assembly side? If you could go through that ?

Parakramsinh Jadeja: Basically in the semiconductor side, you are right there, it's required nano precision. And based on our this experience at Huron as well as Jyoti, we are now entering into nano precision over there. We are going to create the infrastructure to produce the nano precision over there. And particularly we are targeting to equipment to b uild semiconductor chips there.

So we are designing and developing many differential processors from casting foundry to inspection units and many, many more equipments are there. Around 8 to 10 different technologies we are developing over here in equipment side to serve to our Semiconductor Mission 2.0 there.

Moderator: The next question is from the line of Kamlesh Bagmar from Lotus Asset Managers.

Kamlesh Bagmar: Just 1 question on the part of, let's say, if we deduct stand -alone from consol. So if I see the revenue so it is down 7% -odd year -over-year. So it may be because of ramp -up in the Huron. So can you highlight , because on a consol basis, our margins are looking lower or the growth in EBITDA looking much lower while on the stand -alone, it is looking very strong.
So because on stand -alone we have done INR165 crore s of EBITDA while on consol basis it is INR155 crores. It may be because of like say ramp -up in the expenses at the Huron operations while the revenue has not reflected yet. So can you share some highlight or insight into the Huron operations and the gap between the earnings?
Parakramsinh Jadeja: Already what you are saying is absolutely right. You answered yourself only, Kamlesh bhai. Definitely the revenue has not been came over here and the cost has been incurred. In this now with our new facility comes on a picture, we have add on around 27 mor e people in manufacturing in France to ramp up our production further more now there.
Even in terms of inventory building up also, we have started very aggressively and supply material from Jyoti to there and we started all flows and everything like that. So you will see this be very normalized things.
And number -wise in next year quarter -on-quarter, you will see more and more Huron numbers will come very positively on a growth side there. Once the growth we will be able to execute there, all these costs will be absorbed and you will see the EBITDA level will increase 1 plus 1 like that.
Kamlesh Bagmar: Okay. And sir, if I see margins like if I just do the math EBITDA per machine, let's say, it is roughly around INR10 lakh in this 9 months. So going forward, as our execution improves and the new capacity comes in, Huron further complements the expansion in the growth. So where do we see our margins? Like do we see significant jump in the margins because the scale and like large capacity expansion comes into play?
So that would get absorbed over larger base in terms of fixed costs. So where do we see our margins? Because in the street, there is some concern that the margins , because year -over-year our margins are at INR10 lakh, which was INR11.5 lakh a year back on a 9 -month basis?
Parakramsinh Jadeja: Kamlesh bhai, I'm answering to you on consecutive last 6 calls on the same question and my answer is same. Let's say we are delivering, we are committed and we are seeing that there is no margin pressure we are seeing at a 25% or so EBITDA. And let's say, if it is increasing, it is okay; but we are not seeing any pressure on that to below that.

So we are fully committed in the next coming 2 years , the way we have order book with us, we are very much sure that our margin parameters will be maintained very strongly for the next coming 2 years. That's the visi

bility we have today there.
Kamlesh Bagmar: Great. And sir, you have highlighted in your presentation with regard to the semiconductor. So are we catering to the semiconductor sector as of now or we are developing the machines to cater to that?
Parakramsinh Jadeja: So we are developing the technology today and once the technology, we will reach out and reach out to that same level of requirement, then we will launch our product there.
Kamlesh Bagmar: And how much time lag would be there like say from current date or what time period we would be able to have?
Parakramsinh Jadeja: So I think we are seeing that in the next 2 years definitely we will come with the commercial product to be launched there.
Kamlesh Bagmar: And lastly, sir, can you give the breakup of machines like the entry level, mid -level, high end and commercial programming ?
Parakramsinh Jadeja: So let's say quarter 3 , the entry level machines is 1,207 at a value of INR247 crores. The average is INR20.46 lakhs. Mid-level we have 128 machines and value is INR83 crores. Average is coming INR64.84 lakhs. Around 23 machines at value of INR221 crores, average is coming INR9.6 crore. So the total number of machines is 1,358 and average is coming as INR40.5 lakhs.
Moderator: The next question is from the line of Shrenik Mehta from Indo Aalps Wealth India Limited.
Shrenik Mehta: I have couple of questions. One, I wanted to ask you, you had almost INR4,600 crores of order book. What is the advance that we take when we do this order book?
Parakramsinh Jadeja: So let me tell you while we take any entry -level product and in entry level, we have a common, let's say, around 5% is the minimum advance to be with us there. And while while high -end machines for exports and all so there we are able to get a milestone pa yment also and we are getting at around 10% to 15% advance. But in government orders, let's say we have many government defense orders, there we are not getting the advance there. Government don't give advance.
Shrenik Mehta: Okay. Because this will be always your key concern when it comes to the operating cash flow. As you're seeing the trend, you are making a lot of net profit or the operating profit, but your net

cash from the operating activities has been negative and there 's a big difference. On one side, you earn almost INR500 crores. Other side, you have a negative INR100 crore s net cash from operating activities?

And going forward with the expansion of the capacity, your requirements of the inventory will remain quite high even in the next few quarters. So I don't know if you have some idea about when you expect this cash flow from operating activities to be in lin e with the operating profit that you make?

Parakramsinh Jadeja: Yes. So already in my first question I've answered to Aniket there and my answer is same that you will see the things that we are on a growth trajectory. One side we are capacity expanding , second side, we are expanding. But our overall inventory days we are reducing from very large to that.

Once the scale -up has reached on an economical scale has reached that, that our inventory days also will reduce there. So you will see quarter -on-quarter very significant improvement from the next year. Even you will look at that end of the year, you will see positive operating cash flows to be there. We have very much worked on that and we are on line with that.

Shrenik Mehta: Okay. And for your French Huron capacity expansion, which has happened sometime in November, when can we expect sales to start showing in our quarter -after-quarter results?

Parakramsinh Jadeja: So the growth we are going to see from first quarter onwards because there is a manufacturing time for the machine is longer there. So we will see the good numbers. The first time you will see the growth trajectory from qu

arter 1 onwards there.

Moderator: The next question is from the line of Jenish Karia from Union AMC.

Jenish Karia: Considering that the private capex will pick up going forward, should we see growth accelerating? And can we guide for 25%, 30% growth in FY '27 and northward of 30% in FY '28?

Parakramsinh Jadeja: Yes. Absolutely FY '27, you can consider same numbers for FY'27 as well as FY'28.

Jenish Karia: Understood. And you mentioned in your opening remarks that aerospace, defense and auto ancillaries are some of the sectors you are seeing incremental growth coming from an order book building up. But apart from that, are there any specific sectors you woul d highlight both on India and global perspective where the growth you see accelerating not in the current order book, but in the upcoming order book?

Parakramsinh Jadeja: So basically, the entire manufacturing is growing , always it’s very much difficult while I'm presenting numbers to you to combine the general engineering and auto and all like that. So many manufacturing sectors are growing; valves, pumps, domestic and every area. Today, I have a 14,0 00-plus customer base in India.

We are consolidating and bringing this number into 4 sectors front of you there basically. It's exploding completely on manufacturing. If you look at that, the Viksit Bharat India's target is to be a $30 trillion economy and 25% of manufacturing.

25% of manufacturing, today we are at 13% and growing this economy at 6% to 8% in between. You can understand every sectors are going to grow there, every sector. Railway, apart from what we are not discussing over here, we are seeing the very tractions on the railway.

The railway component manufacturing is increasing and we are there supplying many machines to them, but it falls under a category of what we call as general engineering. If you see that every quarter -on-quarter, our general engineering baskets are increasi ng there.

Jenish Karia: Understood, sir. And just one last thing. What would be the revenue mix from exports currently and do we see that changing materially improving on the export side going forward or we'll be majorly focusing on the domestic growth story?

Parakramsinh Jadeja: So Jenish bhai, we are very much focused to be maintained around 35% to 40% is to be exports and 60%, 65% is to be domestic. And this is in line we are looking for the next couple of years, it is going to be maintained similarly like this.

Moderator: The next question is from the line of Aniket Jain from YES Securities.

Aniket Jain: So I had 2 more questions. So number one is on the material cost inflation. So I believe there is probably 20%, 30% of your total cost could be coming from the raw materials, maybe steel, aluminum, copper. So are we hedging those or how are we protecting o ur margins? Is there any price escalation clause included in the product?

Parakramsinh Jadeja: Aniket ji, we are absolutely on a natural hedging scenario. See, every orders are fixed orders.

We are not having a long -term contract to repeat to same price to give the next machines to them customer there. And you know that our inventory cycles are almo st at 200 to 240 days of our manufacturing. Whenever this commodity prices plus and minuses, we are transferring on the same next month to the new customers and we are balance these things there.
Aniket Jain: Got it, sir. And probably one more on Huron. So I did some reverse calculation. I think one more participant asked a question. So on Huron, what are the revenues? Because on my numbers, I think it is coming between INR45 crores to INR50 crores versus probably around INR60 crores in the last quarter. So why is there a decline in Huron?
Parakramsinh Jadeja: No, it's not decline. I'll tell you one thing. It's because of a consol level. I told you that we are now increasing the new

inventories and everything there. So in a consol level, there are more material being dispatched from Jyoti to there. So in a consol, it has been reduced there basically. Otherwise, right now there is a almost it is little bit higher than the Q2 numbers to Q3 numbers there.
Aniket Jain: By any chance, are you able to share the number? Not sure if you're comfortable doing that, but what is the Huron's revenue and how much are we sending from Jyoti to Huron?
Parakramsinh Jadeja: Yes, absolutely. I'll just find out and not front of me. I'm right now in Huron right now. I'll share with you that detail there.
Aniket Jain: Sure. And probably last one. So our gross margins increased to 57% now. So what kind of margins are we making on the high -end machines? And probably is there any increase in the margins for low - and mid -end machines as well? And are we able to sustain these kind of margins or is there a one -off or probably a temporary situation although it has been continuing?
Parakramsinh Jadeja: Basically, Aniket bhai, we are always working is more and more is to be our value addition program. Based on this, our complete back -end manufacturing cycle and whatever the critical subassemblies and all we were importin g, we are adding more and more.

Even our local entry -level product also, we are expanding the margin. Of course our margins are much better on the high -end machines and we are executing like that. In between I'll tell you the this our quarter 3. In Huron, my sales is INR80 crores not INR40 crores, INR45 crores.
Aniket Jain: Huron is INR80 crores, okay?
Parakramsinh Jadeja: Yes, yes. And then total together in the 3 months is close to INR222 crores in 9 M there.
Aniket Jain: Okay. So how much is then out of INR80 crores so probably INR30 crores, INR35 crores is being exported from Jyoti to Huron. Am I correct in my understanding?
Parakramsinh Jadeja: Yes. So basically at consol level, let's say whatever the manufacturing is going to increase there, the 70% goods are going from here to there. So if you look at that this year, we have close to INR85 crores worth of material has already been supplied to them and that's how we are going to see the future expansion growth are there. Right now it is affecting to us. In a consol level, it has been removed and once it will be executed from Huron, that nu mber will come in a picture there.
Moderator: The next question is from the line of Keshav Bharadia from Wallfort Financial.
Keshav Bharadia: Congratulations on a great set of numbers. Sir, just 1 question I had. You mentioned that we were trying to get our working capital cycle more in control by various efforts that we're taking. Sir, could you talk a little bit about how we're trying to get t hose inventory days down and optimize working capital? That is first.
And sir, second, we've seen a lot of tensions between EU and U.S. and that has led to a renewed uptick in defense spending globally. So is there anything that we are looking at inorganically to kind of increase our wallet share with European customers or g et access to newer customers to kind of capitalize on that opportunity?
Parakramsinh Jadeja: Basically about the inventory optimization. See, Jyoti is having more than 200 -plus product variants. In the last 3 years, we have reached out to almost 2.5x to 3x on similar SKUs. So based on these SKUs, our optimizations are coming, more and more scale w ill increase, further more optimization will come on the same set of SKUs we are delivering them more. So my inventory is become optimizing there. That's one.
Second, now in a new plant we are doing lot of automations over there. Those are our general -- some of the manufacturing processes was in manual. That we are putting into very sophisticated automations are going to be in a place to be there. So we are se e

ing further optimizations are going to be seen over there in terms of flexibility on the manufacturing, easy setup c hange and everything like that.
That's the one part and that's how we are looking to be going forward. Going forward, we are looking to be more and more optimizations on there. Your second question about the EU in this

area. Yes, there is a lot of now after the EU bill, we are seeing , already there are delegation has came. I met many people over there and all.

And we are seeing that more and more investments are going to be happened in Europe there and particularly, Germany has taken a lead in terms of defense manufacturing. They are going to spend more than $500 billion.

And rest all the other people together, they will invest close to $1 trillion in coming days. And already , our all salespeople are working with them very closely. We are seeing that aerospace, defense as well as very high precision manufacturing in EU zone is increasing dramatically there.

Apart from that , I remember just now. Apart from that, I'd like to tell you one thing more. We have recently now started our China operations also there. We are going to furthermore on China with our sales activity there. And all these geopolitical situations, every country has started investing there. So in this quarter, we got a good number of orders from China as well there.

Keshav Bharadia: Got it, sir. That's very helpful. So sir, as part of our efforts to get more automation in the general manufacturing processes of the new plant, do we expect that to kind of help margins more from the 26%, 27% level we are right now ?

Parakramsinh Jadeja: I think here I'm always giving you 1 simple answer. So yes, there is possibilities are there. We will improve the margin. But I would like to be very, let's say, conservative over here and I'll not like to guide you that from 25% to 30%. We'll be in a rang e in between 25% to 27%. Already we are - one of the best in the industries we are serving over here.

Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited.

Manish Ostwal: Sir, I have only 1 question. Like of the total inventory which we have, what is the breakdown of RM versus WIP as on 31st December 2025?

Parakramsinh Jadeja: One second. So I think I have given a number on a half yearly. I need to take from this number because I'm sitting in France right now. I can send you the details.

Manish Ostwal: Alright. I connect to your offices.

Parakramsinh Jadeja: Yes, definitely we'll send you that.

Moderator: Ladies and gentlemen, due to time constraints, we'll take this as the last question for today. I would now like to hand the conference over to management for closing comments.

Parakramsinh Jadeja: Thank you all for joining us today. I hope we have addressed all your questions. We remain committed to keeping the investment community informed with regular updates on development in the company. For any further information or queries, please feel free t o reach out to us or SGA, our Investor Relations Advisors . Thank you very much to all of you there.

Moderator: Thank you, sir. On behalf of Equirus Securities Private Limited, that concludes this conference call. Thank you for joining us , and you may now disconnect your lines.

Call: Jun 2026

"Jyoti CNC Automation Limited
Q4 & FY26 Earnings Conference Call"
May 29, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 29th May 2026 will prevail

MANAGEMENT : MR. PARAKRAMSINH JADEJA – CHAIRMAN AND MANAGING DIRECTOR – JYOTI CNC AUTOMATION LIMITED
SGA, INVESTOR RELATIONS ADVISORS – JYOTI CNC AUTOMATION LIMITED

MODERATOR : MR. NIKHIL KANDOI – AXIS CAPITAL

Moderator: Ladies and gentlemen, we welcome to the Q4 and FY26 Earnings Conference Call of Jyoti CNC Automation Limited hosted by Axis Capital. As a reminder, all participant lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note this conference is being recorded.
This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements do not guarantee the future performance of the company and may involve risks and uncertainties that are difficult to predict.
Now I hand the conference over to Mr. Nikhil Kandoi from Axis Capital. Thank you, and over to you, sir.
Nikhil Kandoi: Thank you, Steeve. Good evening, everyone. On behalf of Axis Capital, I Nikhil Kandoi, welcome you all to Q4 and FY26 Earnings Conference Call of Jyoti CNC Automation Limited.
We are pleased to have with us management represented by Shri Parakramsinh Jadeja, Chairman and Managing Director of the company.
We'll have the opening remarks from Jadeja, sir, followed by Q&A session. Thank you, and over to you, sir.
Parakramsinh Jadeja: Thank you, Nikhil. Good evening, everyone, and a very welcome to our Q4 and FY26 Earnings Conference Call. Along with me, I have a senior management team and SGA, our Investor Relations Advisors. Financial results and presentation have been uploaded on the stock exchange, I hope everyone has had a chance to go through the same.
I will begin my opening remarks with an overview of the economic environment, followed by updates on the company's operational and financial performance.
The global economy continues to remain uncertain due to tariff-related issues and the ongoing conflict in West Asia. These developments have resulted in higher energy prices globally, supply chain disruption and challenges in the availability of the raw material for manufacturers across industries. In today's interconnected world, no country can remain completely insulated from such disruption. And India may also witness some impactif the West Asia, conflict continues for a prolonged period. However, India's long-term growth outlook remains strong, supported by the government focus on Atmanirbhar Bharat, improving India's standing as a manufacturing hub and continued investment in infrastructure, which is supporting expansion of domestic manufacturing capacities.
On the global front as well, a better clarity around tariffs, along with free trade agreements with key economies such as the EU and the U.S. is expected to support export-oriented industries. Improved visibility on global trade should strengthen a demand across the international markets and create additional growth opportunities for companies like ours.

Speaking about Jyoti CNC, first, let me highlight the performance and progress on a standalone basis. FY26 was another year of a sustained momentum for the company. We currently have an installed annual capacity of 6,000 machines in India and Huron together during the year.
One of the key challenges we encountered was capacity constraint with our facilities operating at utilization level exceeding 100% during peak demand months. This impacted our ability to fully execute orders despite a strong and expanding order book, supported by the robust demand across all major sectors we serve, including aerospace and defense, auto and auto component, general engineering and EMS.
The outlook across both domestic and global markets remain positive across all manufacturing sectors and especially we have seen a good pickup in auto and general

engineering sectors. All
sectors are expected to play a key role in our next phase of growth, and we are witnessing our customers' inquiries that converting into the orders at the fastest pace.
To support this growth, our plan to expand our annual capacity to 16,000 machines remain on track for a commencement of commercial operation in quarter 2 of this financial year. This capacity addition will be a major driver for the company's next phase of growth.
And given strong demand and environment, we remain confident of ramping up utilization at a healthy pace. While we are witnessing strong customer inquiries in view of our order backlog, we have been considerate in the order booking to match our delivery obligations.
If we look at the standalone India business, which reflects the underlying growth momentum, the performance remained very strong during the year. Standalone quarter 4 revenue witnessed growth of 13% to INR599 crores, while FY26 standalone revenue grew by 20% to INR1,949 crores. On the profitability front as well, quarter 4 EBITDA stood at INR191 crores with margin of 31.9%, while FY26 EBITDA stood at INR564 crores with margin of 28.9%.
Quarter 4 PAT stood at INR135 crores with margin of 22.6%, while FY26 PAT stood at INR391 crores with a margin of 20.1%. This strong standalone performance reflects the healthy focus across sectors, improved operating leverage and strong execution capabilities across the businesses.
Coming to our consolidated operations. The global demand environment for our product portfolio continued to remain strong, and we are witnessing increasing customer engagement. However, as previously disclosed to the stock exchange, an ongoing investigation is being conducted by the export control authorities concerning certain export order at Huron. The investigation has had no material adverse impact on the company's operations, including order execution, exports, customer servicing or ongoing manufacturing activities.
We would like to reiterate that Jyoti Huron continued to enjoy a strong reputation across both domestic and international markets, and we remain confident in our ability to navigate the current situation effectively and emerge stronger going forward. Importantly, these investigations are not limited to Huron alone, but extended across multiple companies operating within the industry across Europe.

Speaking about the financial implication during the current period, based on the assessment of our local auditors for Huron and as a matter of prudence, for Huron, our company has reversed a revenue amounting to INR67 crores during the quarter, which had previously been recognized under the percentage of completion method called POCM.
I would like to clarify that this does not represent a loss of revenue or cancellation of the orders, but merely a deferment of the revenue recognition to future periods. Consequently, this impacts our consolidated revenue from operations. On a consolidated basis, revenue for Q4 FY26 stood at INR599 crores, excluding the impact of the revenue reversal.
Revenues would have grown up by 16% Q4 FY26 and by 19% in FY26 on a year-on-year basis.
On the profitability front, the revenue reversal has also impacted profitability as the manufacturing costs related to these machines had already been incurred, while the corresponding revenues could not be recognized during the current period.
Lower revenues, coupled with the associated cost and de-operating leverages adversely impacted our profitability. As a result, consolidated EBITDA for Q4 FY26 stood at INR147 crores with a margin of 24.6%. FY26 EBITDA stood at INR527 crores with a margin of 25.2%.
PAT for the quarter stood at INR91 crores and for FY26, PAT stood at INR336 crores, an increase of 6% year-on-year basis. Had there been no impact of reversal, PAT growth would have been faster.
Speaking of

our order intake, our order intake for Q4 FY26 stood at INR700 crores plus, driven
by all sectors and particularly by auto and general engineering segment.
For FY26, the order intake stood at INR2364 crores. This includes 27% of aerospace, 28% of
auto and auto component and 31% from general engineering. As on 31st March 2026, our
outstanding order book stand at INR4,732 crores, which is very healthy and growing.
On the operational KPIs, the segmental revenue for FY26 consists of 39% from aerospace and
defense, 26% from auto and auto component, 23% from general engineering and the remaining
from other sectors, including EMS and dies and moulds.
Speaking of our current order book, it remains healthy and well diversified at INR4,732 crores,
reflecting a steady demand and continued customer confidence. The industry-wise breakup is as
follows: 38% from aerospace and defense, 19% from general engineering, 20% from auto and
auto components and 4% from EMS and balance from the other sectors.
As we enter FY27 we remain optimistic about the opportunities ahead for the company. The
demand environment across our key sectors continue to remain stronger, supported by increasing
manufacturing investments both in India and globally. With our ongoing expansion of 10,000
machines progressing on schedule and expected to commence operation by September.
We are entering the next phase of growth with significantly enhanced capacity and stronger
execution capabilities. We continue to see a healthy customer engagement, stronger order inflow
and improving long-term opportunities across domestic as well as export markets.

We may now open the floor for question and answer.
Moderator: Thank you very much sir. We will now begin the question and answer session. The first question
comes from the line of Nishant with Kotak.
Nishant: Sir, just wanted to understand what are the timelines for the investigation to get over? And by
any chance, like did we have an alternative opinion with respect to the auditors to not kind of
take a revenue write-off, but to kind of take a provisioning, which probably could have just kind
of impacted your bottom line, but your top line wouldn't have got impacted so much.
And that probably looks to be a better accounting rather than just taking a complete revenue
write-off and with respect to the timelines, if you can just help us out when the investigation
timeline will be completed? And when can we get back that revenue of INR67 crores, which has
been written off? That's my first question, sir.
Parakramsinh Jadeja: See, first of all, Nishant, this is not a write-off. This is a deferment and this deferment of revenue
of a POCM. POCM also is, let's say, is in future sale basically. It's a revenue recognition based
on a percentage of order completed. So the auditor's view was that it is just a deferment. It's not
in a write-off that.
Once we get this, let's say, the situation that in investigation, there are a few machines was under
POCM and that was not available the export license clearance. So they stated that once this
export license you will receive, you can immediately can convert it into your revenue in the
coming quarters over there.
So first of all, remove in this mind, this is no more a write-off there. It's just deferment there. So
this is the clarity there. And let's say, the POCM cannot be a provisioning -- can be a provisioning
on like that on a financial kind of a thing.
And the fact is a fact it is just a deferment. So there was nothing to be kept as like that. Regarding
the investigation, we have retained the legal counsel. I am not in a position to indicate a specific
time frame for resolution of the matter. However, this investigation has no material adverse
impact on the company's operations, including order execution, exports, customer servicing or
ongoing manufacturing activities.
Everythi

ng else it is working nicely there. And there are more than 50 companies are under
investigation in last 3 years. And we have not seen any conclusion from any companies today -
- in Europe today.
Nishant: Okay. And sir, second question, I just wanted to understand the order book, if you can see --
congratulations for the order intake. It looks to be a little more well diversified and not skewed
towards aerospace. But in general, sir, while we execute the order book and the new capacity
coming in, the order book still looks to be more towards high-end machines where the working
capital cycle could be a little more extended.

So how are we thinking of managing the cash flow in the coming year, FY27? What is the typical
CFO to EBITDA ratio which one can probably look at in your business for the next 1 year as

well as for FY28?
Parakramsinh Jadeja: Thank you on your remarks on order book. It's a very healthy order book we are seeing. Even in the last quarter, we have received -- even end of this month, we have received a very good orders from European areas like in Ukraine and all. Including French government, we received a good order there. Even India also, we have received good orders on aerospace and defense in our Indian context also there.
Apart from there, there is a very significant movement we have seen in the last quarter in the auto, auto components and general engineering area. You know that we have more than 15,000-plus customer base now in India across manufacturing sector there. So we see very robust outcomes in the next coming days over here.
In terms of our capacity is coming is also is a mix of all. It's not just only entry level, but with the mix of all. And the way the new capacity is coming up we are expecting to our manufacturing cycle also to be improved. And we see that based on that, our cycle will reduce.
We are able to see the more working capital requirement is going to be reduced there. And we see the conversion of a cash flow over there basically. Even this year also from the last year to this year, the last year, we were into negative cash flow to we entered into positive, and we are looking to be a very robust cash flows in quarter-on-quarter in coming days over here and there.
Nishant: And sir, if I can squeeze in one last question. With the commodity inflation, which is kind of prevailing at this point of time, what percentage of contracts are fixed in nature? And what percentage of contracts are passed through in nature? And what is the time lag by which we can kind of pass on the cost to our customers?
Parakramsinh Jadeja: Yes. So the cost, Nishant, we have always a fixed cost base there, okay? We are not able to pass on the increase any cost to the customer there, okay? But we are naturally hedged over here because we have a very long manufacturing cycle and any new orders we are taking, we are able to increase the price.
Let's say, today, in the last 2 months, we have seen the cost has been increased, close to 2 to 3 percentage over there on raw material prices. On our -- from 1st of this May, we have increased our prices for the new -- to our new customers and new orders over there basically. So we are able to compensate over here with the new cycle there.
Moderator: The next question comes from the line of Adil Khan with ICICI Prudential.
Adil Khan: Sir, my first question is on the standalone segment. So we did roughly about INR600 crores revenue in the standalone book. So I just wanted to -- which is a 13% Y-o-Y growth. So I just wanted to understand this growth was lagging in the standalone segment. Is this because of capacity constraints or are there any other reasons?

Parakramsinh Jadeja: So first of all, I'll correct you here. The year ended -- the standalone business is not a INR1,600 crores top line. It's IN

R1,950 crores.
Adil Khan: Sir, I was talking about Q4 alone?
Parakramsinh Jadeja: Okay. Q4 alone is INR600 crores. The total is INR1,900 crores. And in Q4, let's say, we have executed 1,750 machines. So almost we crossed this quarter is more than 100% capacity. You can understand that how the situation we have faced there.
Adil Khan: Right. So just to make sure -- so this growth was lagging because of capacity constraint. Is that understanding correct?
Parakramsinh Jadeja: Correct.
Adil Khan: And sir, on the Huron side, so if this investigation continues, then would you be able to recognize revenue in Q1 of FY27?
Parakramsinh Jadeja: Yes, absolutely. Even every -- this is only related to this -- the machine was under manufactured -- under manufacturing and not available the license. Only those things, they have been not recognized and pull forward there basically. Once that license will also will come, once the export permission will come, definitely, we can able to recognize those also.
Adil Khan: Okay. Okay. Apart from that, there will be a usual business -- business as usual for Q1 and once the license comes, this INR67 crores will get recognized, right?
Parakramsinh Jadeja: They would get recognized.
Adil Khan: Right. And sir, so incremental...
Parakramsinh Jadeja: And this INR67 crores, see, there, we have -- the margin was very healthy. So basically, even we got the hit of INR40 crores on the margin side. That also will recognize in future once the machines will be cleared out of that.
Adil Khan: Okay. Okay. And sir, capacity -- the incremental capacity that will be coming in from September. So when can we see ensuing order inflows coming for the same?
Parakramsinh Jadeja: So already, we are -- let's say, today also, we have reached to INR4,700-plus crores order book there. And it's -- you can understand what is the customers' expectation from us there. Already

this quarter, we started to taking the orders, and we reached more than INR700 crores. But apart from that, we are -- definitely, we are going to increase our pace from September onwards there.
Adil Khan: Understood. And sir, what kind of inflows are we expecting from the EMS segment, namely from Tata Electronics and what kind of expansion are they looking at?
Parakramsinh Jadeja: So basically, right now, they all are optimizing their manufacturing capabilities and capacity there. So we are just -- the delay side we are seeing from all the EMS player there. Nothing has been invested much on the last component manufacturing in the last 1.5 years there.

So we are also waiting to -- and you know that now ISM 2 and component manufacturing PLI has also been increased. Many more player people are getting these permissions are going to coming out there. Right now, our all the teams are very much busy to multiple customers over there. And we are expecting to see the results very soon now.
Moderator: The next question comes from the line of Manish Ostwal with Nirmal Bang Securities Private Limited.
Manish Ostwal: Sir, I have only one question. Most of the questions have already answered. On the current order book position, what is the execution period -- execution timeline and how much we can execute in F27?
Parakramsinh Jadeja: So basically, right now, with this total order book, we have INR4,700 crores. And based on the commitment, we have to execute in 18 to 20 months over this.
Manish Ostwal: And how much we can see execution in F27?
Parakramsinh Jadeja: So let's say, we will see once the capacity on place. Definitely, we are looking to be a good growth from here.
Manish Ostwal: Will you be in a position to quantify?
Parakramsinh Jadeja: Let's say, I'm not able to quantify right now. Otherwise, it will be fixed the numbers. And now we need to see that also. Once the capacity will come, we need to optimize and everything to increase there.
Manish Ostwal:

Okay. And secondly...
Parakramsinh Jadeja: But definitely, we will be able to tell you in the next 3 to 4 months time once the capacity will be complete there.
Manish Ostwal: So once the capacity commence operation in September, sir, how fast we can see ramp-up? Can you just give...
Parakramsinh Jadeja: Yes. See, basically, we already we have add on the people and everything since last 1.5 years. So we are training the people. This is completely once the plant has been commenced and start. We hope that we will increase at least 20% to 30% further more on speed over here.
Moderator: Next question comes from the line of Harshit Patel from Equirus Securities.
Harshit Patel: Sir, firstly, on the execution on the EMS side, as you explained, the client facilities are still not pretty much ready. So the execution in FY27, will it be more of back-ended? We will see more execution in the second half and first half will be relatively muted. Is that the right understanding?
Parakramsinh Jadeja: Harshit, already, we are running almost 100% utilization in last quarter. You can understand that without EMS also we are in the situation today. We are expecting in the second half. If it is coming in the first half, let's say, almost 2 months has gone, we are not seeing anything on much

speed but the pace is going to be increased in September. But onwards September, yes, we are also being ready, and we will definitely will capture these opportunities.
Harshit Patel: Understood. Sir, secondly, we also have a very large aerospace and defense order book, and we also execute quite a lot from the India as well. So could there be any risk on the India aerospace and defense execution because at the end of the day, the technology comes from Huron, I mean, at least that's what my understanding is. So that India execution piece, whatever we supply from here, is that on track or maybe some sort of delay because of this investigation?
Parakramsinh Jadeja: First of all, clear to you that this technology is completely -- is from Jyoti now, okay? We have -- it's not from the Huron there. All the machines what we are manufacturing is more than the Huron. If you look at that, the total numbers, this year, we have executed more than INR800 crores of aerospace and defense, okay?
And almost out of that, around 75% is execution from India only there. And this is all Jyoti's own capabilities on -- in the last 25 years, we learned everything from the best practices from the European side. But now the technology front is -- completely is our own there. And we are

not dependent there. So we are not seeing anything any slowdown over here for the execution side from this perspective there.
Moderator: The next question comes from the line of Vaibhav Jain with Axis Asset Management Company.
Vaibhav Jain: Sir, just one clarification that I needed. The order book that we have today is what is the proportion of order book, which -- where similar constraint on export license not being there is applicable and then you would want to kind of delay that execution?
Parakramsinh Jadeja: So right now, in this order book, we have some orders is from the Huron side. And out of that, around 6 machine and close to around INR70 crores is from the Ukraine. So -- and Ukraine because it's just received only on the last month. So that's the only new orders in this quarter that is -- and that is going to be executed from the Huron, and we need to apply and to take licenses there on the next year there.
Vaibhav Jain: And sir, as far as -- this reversal of revenue is concerned, now whatever we have in terms of unbilled revenue, etc., we don't expect anything in the coming quarter, right?
Parakramsinh Jadeja: Absolutely. Absolutely. It's all are done. It will now come from a different way. It will come to a reversal different way, okay? It will add on.
Vaibhav Jain: Right. And sir, as yo

u mentioned, as far as Huron's operations are concerned, you don't see any impact whatsoever because of this development. And can we see ramp-up in terms of revenues in Huron, given the fact that the capacity expansion got completed last year in FY26?
Parakramsinh Jadeja: Absolutely. There is nothing is in terms of the impact of a company's operation, including the order execution, exports, customer servicing, manufacturing activities, anything. And we see that now it's become -- already we have incurred more cost on the people.

We have added around 25 people in manufacturing there, okay? And we entered all the additional new facilities from November onwards. So definitely, you will see the quarter-on-quarter, there will be improvement from this last year's number there.
Vaibhav Jain: Okay. Sir, would you like to share a number or a range as in what kind of growth we can see just from Huron? And then obviously, India growth is dependent on the new capacity, which gets commissioned in September?
Parakramsinh Jadeja: So in Huron also, basically, let's say, the capacity has been increased. And being in a long-term manufacturing cycle, it started from December onwards. So you see that somewhere this our -- the execution, let's say, the first dispatch and everything will start from the new assembly is around August and September there.
Moderator: The next question comes from the line of Mohit Motwani with Tara Capital.
Mohit Motwani: Sir, on the first question regarding -- I think in the past, you had mentioned in your previous earnings calls that since you are capacity constrained, you were not taking on much orders in your order book, given that the delivery timelines were higher than 18 months and customers wouldn't accept a very longer delivery timeline than that.
So can you just give a sense of how much of -- if you can give any color, how much of that was you did not accept? And now with the capacity coming up, how much boost it can give to your order inflow growth in FY27? And which sectors would it be driven by?
Parakramsinh Jadeja: See, Mohit, basically, right now, look at that as an only if I talked about the India perspective over here. There is a great opportunities emerge over here. The Indian market in the last 3 years is consecutively is consuming more than 20% CAGR level of consumption. And we people on all the Indian machine tool builders, somehow we are not able to capture those due to our constraint and all.
Imports are surging. Imports are increasing. It's painful for us also. We are also waiting to increase our capacity as much as fast can come over there. So once that will come, definitely, I'm not able to quantify how much directly we are losing today revenue, let's say, today, the order book there. But it's a huge pipelines are infront of us there, and we are not able to capture them.
Mohit Motwani: Okay. And let's say, in your order book moving forward towards next year, you expect this aerospace to come down and auto component and general engineering where you are seeing a lot of traction, that mix to go up. And as a result of that, you have mentioned in the past that you will have a 25% EBITDA margin as a stable, as a steady state. Even with the mix changing, do you expect that to continue as well?
Parakramsinh Jadeja: Absolutely. First of all, we are not looking in the next 5 to 10 years is now with this global scenario, the way this -- even the Western Asia, the issue has been erupted, okay? It has become a more uncertainty and fear factor has started. And we see that in this area, people are going to invest further more.

We are already in discussion with many of our clients, okay, in Europe and everywhere, they all are expanding. China is expanding. Turkey is expanding, Italy, every area, people have started to investing o

n the aerospace and defense area there. We don't see there is any decline on the next -- that is a very steady-state business we are seeing over here there. So we are not thinking like that, it will be dropped there.
Mohit Motwani: Okay, fair. And sir, just a last question from my end. In terms of your debt has gone up from last year to this year to about INR850-plus crores. And I understand that would have been for working capital requirements as well. Should we expect any increase in debt going forward? If you can give any color on that? That's it from my end.
Parakramsinh Jadeja: So I'll tell you the debt, what we have increased in this year is close to -- close to INR300 crores is the debt has been incurred on our capacity expansion basically, okay, on our new capacity there. Only working capital has increased only INR45 crores to be there.
And we don't foresee this increment will end of this year, we are seeing that is a lot of cash flow will come in the situation with the improvement on our efficiency after the new facility will come, okay? We don't foresee the from here to debt, has been increased there in terms of a percentage and all.
Moderator: The next question comes from the line of Kamlesh Bagmar with Lotus Asset Managers.
Kamlesh Bagmar: One question on the part of, like, say, how much machines we sold, sir, 1,750?
Parakramsinh Jadeja: Kamlesh Bhai, exactly the number of machines is 1,760.
Kamlesh Bagmar: Okay.
Parakramsinh Jadeja: For the quarter 4.
Kamlesh Bagmar: For the quarter 4. Okay...
Parakramsinh Jadeja: And the entire year is 5,550.
Kamlesh Bagmar: Okay. Got it, sir. Sir, if I see like we have grown at roughly around 30%-odd year-over-year. While I'm just comparing the standalone numbers because in consol, there is an impact of Huron. So if I see our EBITDA that has grown at 9%-odd for the quarter in standalone operations. While our machine count, that has increased by 30%-odd.
So that reflects that our margins from INR13 lakh per machine, that has dipped down to INR10.85-odd lakh. So going forward, like the higher number of machines are getting compensated by or getting negated by sharper fall in the margins.
So going forward, like can we assume the margins to be in the range of -- and that also in a peak quarter. So can we assume that the margins would remain at INR9 lakh to INR10 lakh, which used to be at roughly around INR13-odd lakh or INR12 lakh to INR13 lakh?

Parakramsinh Jadeja: Kamlesh Bhai, every call since last 4, 5 call, I'm not able to give you the correct picture for machines and everything because we have a very much variety of models and all like that. And a number of machines. Ultimately, what I said always in the past to you and my answers are remaining same that we will be at EBITDA level margin at total level of a standalone or a global. We will not go down by 25%. We are at -- if you imagine this, even this event happened, and we have taken this all deferment on revenue and margin. Still, we are at 25% -- near to 25% in this quarter also.
Kamlesh Bagmar: No. But like, sir, the realizations like INR34 lakh, which is the lowest since our listing from machine, INR34 lakh realization, it is the lower...
Parakramsinh Jadeja: This year, the total realization is INR35.62 lakh.
Kamlesh Bagmar: Yes, yes, yes. So like no doubt, we are increasing the capacity, but that entire benefit is getting negated by lower realizations because as we have to sell more and more machines. So can it be right in saying that going forward, our realizations would remain at INR35-odd lakh and with a margin of 25%-odd?
Parakramsinh Jadeja: See, I'll tell you one thing that even though we have been -- Kamlesh bhai, we have discussed in the past call also, and I have told you that the way number of machines are going to increase.
The machine average price going to reduce, okay?
But our margin profi

le, let's say, it's going to be at 25% -- 25% plus, it will be remained there.
Even let's say we see that in a forward situation, okay, in our -- this additional INR6,000 to INR16,000, if we reach to a full -- let's say, full utilization, even the margin -- let's say, the machine average price will reach to INR30 lakhs. Still we'll be at around at close to 25%. It will not go down there.

Kamlesh Bagmar: And secondly, like, our EMS order book that has been INR700 crores for last -- static at INR700 crores for last 2 years or 1.5 years. Sir, don't you think that now with the price -- like say, the order book at those levels and from there, the cost would have increased significantly. So we won't be making margins on those -- on that EMS order book because that's 1.5...
Parakramsinh Jadeja: In fact, we'll do a more better margin right now because whatever the prices was fixed up, okay, all was connected with the -- indirectly with the dollar terms permission, okay? So basically, while we will execute, we will gain more there.
Kamlesh Bagmar: Okay. Okay. Great. And sir, lastly, any target for machines in FY27, sir? What is our target? How much we would be doing? Like say, this year, we did 5,500. So what is the target for next year?
Parakramsinh Jadeja: So let's say, we are seeing that in September once everything will be completed. So we see the steep growth should come. Exactly, I'm not able to tell you the number of machines and all because only I'm going to get last 6 months available with me there. And that also, we will set right the people and everything, but we'll have a good numbers there.

Moderator: The next question comes from the line of Rachit Agarwal with Unifi Mutual Funds.
Ruchit Agrawal: I'm fairly new to the company, so just excuse me. One broad question on the Huron. So I believe we bought the company about 20 years back in 2007. Just wanted to understand 20 years in now, our revenues are broadly similar to what they were at the time of acquisition, slightly lower in fact. So just want to understand what has taken -- what has been the due course when we look at Huron, even in terms of Huron in itself and the tech integration for Jyoti as well?
Parakramsinh Jadeja: Thank you. Very interesting question you asked. So I'm able to express nicely there. See the 20 years back when we bought Huron, so Huron is same as today, okay? But when we took over this company, Jyoti's topline was INR50 crores. Today, we are at close to INR2,000 crores, okay? And that's the technology and everything.
Let's say, basically the operational excellence, how to do the precision manufacturing, everything, we learned and we implemented over here and we have grown up over here, okay? That's the one part.
Second, in this journey, the first time when we bought Huron, then after the first time we could able to invest only in the last year, as it is, let's say, when we took this company, we have never invested any single euro over there for expansion of a capacity and everything to be there because we were not in a position to invest further more over there.
Only in the last year, we have invested and increased the capacity. So we will see in future to the execution also increasing from there. But whatever the things are, we are doing the business is putting into account of our here. We are exporting from here to all global over there basically. So you see this is in a consolidated base advantage over there basically.
Ruchit Agrawal: Got it. So that helps a lot, in fact. And sir, second question on the ongoing investigation. As you mentioned that it's very tough to figure out how that pans out. But if you can help us give some color if something -- some sort of similar investigation has happened in the geography and how that has panned out? And if maybe that can help us understand maybe how the Huron investigation pans out as well?

Parakramsinh Jadeja: Very -- let's say, I cannot able to give exactly the name of the company and all, but you can just -- in this world, very simple, if you ask to any the AI or, let's say, any of the Google or anything, you can able to find out how many investigations are going on since last 3 years there. In Europe -- it's -- right now it's a new normal there.
Moderator: The next question comes from the line of Aniket Jain with YES Securities.
Aniket Jain: Sir, so your capacity expansion will be complete soon. And I think you previously mentioned that about 60% to 70% of that will be used for EMS. But as of now, our EMS order book is quite low. So I wanted to check if the capacity is fungible and if we can produce maybe aerospace, defense or auto machines from that and then we can maybe export it or can be utilized in India. So is the capacity fungible and how much additional capex we'll need to incur on that?

Parakramsinh Jadeja: No. It's fully fungible from a general engineering, auto, dies and moulds and all the areas there. So we are able to utilize fully on that basically. And Aniket, I'll tell you, let's say, today, I'd like to tell you, again, every call, I'm telling to the people. We have -- last year, we were having a 14,000 customers.
This year, we have crossed to be 15,000 customer there. The small MSMEs and all these

manufacturing area in the country is increasing drastically there. Just to tell you that the last to last year, in my town, in Rajkot alone, we have sold more than 1,000 machine over here.
Aniket Jain: That's quite a big number, sir.
Parakramsinh Jadeja: So it's all fungible, and we are able to execute nicely there.
Aniket Jain: Understood, sir. And sir, my second question would be, there is increased momentum in auto as well as general engineering. So what kind of machines are these? So would these be higher-end mid-level or entry-level machines? And maybe if you're able to give the order book split as per the high-end mid-level or entry-level machine?
Parakramsinh Jadeja: Yes, I can give you that. But I'll tell you, we are now more and more -- seeing the more and more machines people are looking with automation. okay? Because the manpower shortages everywhere people are seeing.
And Jyoti is a very forefront in this area. So we are getting more and more in automization over here. And that's the new normal we are seeing even in auto and general engineering and everywhere there basically. So in terms of this yearly pending order book...
Aniket Jain: Order book...
Parakramsinh Jadeja: Yes, I'll give you that one-- Order book. Yes. So basically, right now, -- let's say, the aerospace is close to 38%. Auto and auto components are 19%. General engineering is close to 20%.
Aniket Jain: Sir, actually, I wanted to check -- so out of this aerospace can have mid and high end probably auto can have entry level...
Parakramsinh Jadeja: I'll give you the -- in terms of-- I will tell you -- basically in aerospace and defense, is largely on a high end. You can consider --yes, largely all are in high end basically. Almost our 40% is in high-end and 60% in entry-level and mid-level there.
Aniket Jain: 60% is in entry level and mid level. So basically, autos and general engineering would be mostly entry mid-level only.
Parakramsinh Jadeja: Correct. Correct.
Aniket Jain: Okay. And so, if I can...
Parakramsinh Jadeja: And our definition -- I'll again tell you what is the definitions we have identified there okay? So up to INR50 lakh, machines we consider to be entry-level product. And from INR50 lakh to

INR2 crores, we considered a medium, let's say, midrange machines. Above INR2 crores only we consider the high-end machines.
Aniket Jain: Understood, sir. Sure. And maybe if I can squeeze in one more. So I just wanted to check on the ongoing

investigation. So is the total revenue reversal complete? Or is there any possibility of further revenue reversal as well?
Parakramsinh Jadeja: Already -- just ask no problem.
Aniket Jain: And I also read somewhere that maybe that was a document from Ukraine government so that we have delivered some machines to maybe Russia or so. So the machines that are in question, are those related -- so are those machines that have been already delivered to Russia as per the claims by Ukrainian government? So are those into the question or these machines are yet to be delivered? And...
Parakramsinh Jadeja: So first of all, you are telling something I'm listening the first time because there is no Ukrainian government in here. In this part. Basically, the French government is investigating okay? And this is a normal investigation they are checking what are our exports ordered today, what we have delivered in the past and what is going to be happening in future. That's the only investigations are going on basically.
Aniket Jain: Got it, sir. So there is no...
Parakramsinh Jadeja: There is no Ukrainian Government. In fact, we have received a good order from Ukraine right now.
Moderator: The next question comes from the line of Shrenik with Indo Alps Wealth.
Shrenik: My question is also related to Huron and probably similar to what the previous participant had asked. So the question is, was the Jyoti management aware of this alleged Russia via India re-export channel during the years 2022 to 2024? And what due diligence on Huron export compliance was performed during that period?
Parakramsinh Jadeja: First of all, we have never exported anything. The machines come from France to there to here -- to Russia there. By the way, for the input for you that whatever the machines Huron built there, almost 70% goods are coming here from India there. They does just the assembly there.
Shrenik: Yes. But this is getting rerouted into Russia, and that's the reason for this investigation?
Parakramsinh Jadeja: Yes. But we have not made any rerouted there. And that we are going to prove out there basically because all the machines, the Jyoti has been full capabilities and Jyoti only has dispatched at '22, '23 there. Then after we have not exported to Russia at all there.
Shrenik: Yes. So during that time, the export had happened and probably for that only, this investigation

is happening right now. What you're suggesting is this is no longer the case. No longer any movement is happening to Russia?
Parakramsinh Jadeja: Correct.

Shrenik: Your general manager there has been put on suspension. So I'm guessing it is not an ordinary investigation, right?
Parakramsinh Jadeja: Correct. So basically, any investigation and particularly like this, there is a standard protocol that general manager cannot be reach out to any inside material and all, okay? So they wanted to be a fair investigation over there. So it put on to their hold at that home.
Shrenik: Okay. So when we are looking at similar kind of cases in other companies, we are seeing that the base case for such kind of investigation, the time frame is anything between 2 to 3 years. So even when you look at the INR67 crores revenue that could not be recognized.
Parakramsinh Jadeja: Correct.
Shrenik: The chances that it will get recognized in the next 24 months are also -- there could be chances that they will not get recognized in the next 2, 3 years as well, right?
Parakramsinh Jadeja: No, we are not looking that because that the machines are -- absolutely are in the queue to get the licenses there. So that -- Yes that is sure that -- basically that is sure that this -- the investigation, the conclusion will take very longer time. Until today, they have not concluded anything. It will take very long time, 2 years, 3 years, 5 years, we don't know. We can't comment on that also today.
Shrenik: Corre

ct. Because we have similar experience in another company, and it took, as you're rightly saying, a much longer time in the whole process. And the entire money had to be -- and that is the reason why your auditor probably mentioned that it should be not recognized completely while you've taken the cost.
Parakramsinh Jadeja: Correct.
Shrenik: So this really puts the whole Huron into a significant drawdown for you rather than an upside. Of course, the India business is doing extremely well and will grow extremely well once the new capacity comes in. But this drag down from the Huron, is there a chance for you to sell out that business completely?
Parakramsinh Jadeja: Not at all. We are not looking at all because we have been very well recognized over there to all our customers, and we are very much near to our customers. And we don't see -- foresee anything kind of like that.
Moderator: Shrenik, does that answer your question? Okay. We'll move on to the next question. It's from the line of Yash Ginoria with Moneybee Securities.
Yash Ginoria: Sir, firstly, I wanted to understand the revenue of standalone Huron, what is the standalone revenue of Huron?
Parakramsinh Jadeja: EUR25 million is close to -- in quarter 4 is INR25 crores.
Yash Ginoria: And full year, I'm assuming INR100 crores?

Parakramsinh Jadeja: One second. Full year is INR248 crores.
Yash Ginoria: And sir, how much of this is intercompany, like how much is supplied to Jyoti?
Parakramsinh Jadeja: INR105 crores.
Yash Ginoria: Okay, sir. Sir, since we are expanding our capacity, I wanted to understand the utilization. Like how do you see the utilization of this capacity, if you can quantify in percentage terms?
Parakramsinh Jadeja: So we see that, let's say, in September, it will come. So it is only available for us the next 6 months. Yes. And in terms of -- year forward, FY27, '28. 2028. This is the FY26, '27, the capacity is coming only in September there, okay? It means only the last 6 months are available to us there.
So we see that number of machines initially will started and everything. So close to, you can say, additional, let's say, right now, we are almost 100% but the 50% of that area, we will reach maybe around 8,000 something machines to be there, 8,000 or 9,000 plus.
Yash Ginoria: By FY28?
Parakramsinh Jadeja: FY27. And we are trying to do that.
Yash Ginoria: And FY28, any time?
Parakramsinh Jadeja: So we -- in the past also, I told you, this is all our based on today, how we are able to execute through the people and all. And we maintained our momentum close to 25% to 30% year-on-year that.

Moderator: The next question comes from the line of Rohan Advant with Prad Capital.
Rohan Advant: Sir, I just wanted a clarification on your standalone revenues and consolidated revenues that you've given in the PPT, both of which for Q4 FY26 are INR599 crores. They don't match with the reported numbers. So are there any adjustments? And why are both these same numbers because there is some revenue at Huron also. Can you just explain these numbers, sir?
Parakramsinh Jadeja: So let's say, because of this elimination in this quarter, that's why is, let's say, numbers coming near to same, but it's because of elimination -- intracompany elimination.
Rohan Advant: Okay. So whatever INR25 crores that Huron did, it was sell to the standalone entity. So it got eliminated while consolidation. Is that correct?
Parakramsinh Jadeja: Correct. Correct.
Rohan Advant: And sir, when I look at your reported number, say, your standalone revenue reported in the P&L is INR529 crores and consolidated report is INR575 crores. But in PPT, it is INR599 crores. So there, what am I missing?
Parakramsinh Jadeja: One second. First of all, -- that's the last year basically.

Rohan Advant: Yes, yes, yes. So I got t

he answer for the first question, which is elimination during consolidation.
Parakramsinh Jadeja: Yes, correct.
Rohan Advant: Okay. And sir, against INR248 crores that we did in Huron this year and Q4 is only INR25 crores that too only to standalone. So when does Huron recommence it's like the other operations, its business which is not to the standalone entity? And how much would that be in your estimation for FY27?
Parakramsinh Jadeja: So FY27, we are seeing to come to a normal level first, and that normal level is close to INR300 crores to INR350 crores.
Rohan Advant: In Huron?
Parakramsinh Jadeja: Yes, in Huron, standalone level there, okay? That is our expectation from this year.
Rohan Advant: Sir, but in FY26, you did INR250 crores, $105 crores of which were to standalone. So you did only INR150 crores net. And against that, you can double the revenues in FY27 in Huron?
Parakramsinh Jadeja: No, no. Basically, it's eliminated because all the supplies are going from here. Whatever the Hurons are being manufactured, all the component subassembly being manufactured over here basically.
Rohan Advant: But there will be growth in Huron FY27 versus FY26?
Parakramsinh Jadeja: Absolutely. Absolutely. And we have a very robust order book and execution, new capacities also -- people also has been there. So we see there is a robust execution we'll see on second quarter onwards there.
Rohan Advant: Sir, and this growth in Huron, is it dependent on you getting the licenses you've been saying in the call because in Q4, it seems there was no other revenue that Huron did?
Parakramsinh Jadeja: So basically, it's a reversal has come. That's why it's no revenue there. In fact it has come only on quarter 4.
Rohan Advant: Sir, sorry, last question, sir. If there was no reversal, what would have been -- I mean, Huron's revenues would have been gross and minus INR67 crores. So INR25 crores plus INR67 crores would have been its normal revenue -- and INR67 crores, so it came to INR25 crores again?
Parakramsinh Jadeja: Correct. So absolutely...
Rohan Advant: Of INR67 crores. Yes.
Parakramsinh Jadeja: Yes. INR67 crores with the net revenues could be extra there.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand the conference over to the management for closing comments.

Parakramsinh Jadeja: So thank you all for joining us today. I hope we have addressed all your questions. We remain committed to keeping the investment community informed with the regular updates on any development in the company. For any further information or queries, please feel free to reach out to us or SGA, our Investor Relations Advisors. Thank you very much to all of you.
Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.